

Risk and Capital Management

- Information according to Pillar 3

2016

This is Handelsbanken

Handelsbanken is a full-service bank for both private and corporate customers. The Bank has a nationwide branch network in Sweden, the UK, Denmark, Finland, Norway and the Netherlands. The Bank regards these countries as its home markets. Handelsbanken was founded in 1871 and has operations in more than 20 countries.

**More
satisfied
customers**

than the sector average
in all six of our home
markets.*

**More than
800
branches** in our
six home markets.

**145
years**
of availability.

45 years running
with better profitability than
the average of peer banks in
home markets.

Svenska Handelsbanken AB (publ)
Corporate identity number: 502007-7862
Registered office: Stockholm
handelsbanken.com

This report is also available in Swedish. Every care has been taken in this translation into English. In the event of discrepancies, the Swedish original will supersede the English version.

* According to EPSI/SKI (Swedish Quality Index). Since SKI surveys started in 1989, Handelsbanken has had the most satisfied private customers among the four major Swedish banks – Handelsbanken, Nordea, SEB and Swedbank.

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Svenska Handelsbanken AB (publ), corporate identity number 502007-7862, provides this information about risks, risk management and capital adequacy in compliance with Part Eight of Regulation (EU) No 575/2013 (CRR) on prudential requirements for credit institutions and investment firms and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) regarding prudential requirements and capital buffers for Handelsbanken's consolidated situation. Information pursuant to CRR Part Eight, on remuneration policy, is found in Handelsbanken's Annual Report. For periodic information where Handelsbanken has found there is a need to submit information more often than once a year, please refer to the Bank's interim reports.

The information is presented as at 31 December 2016, unless otherwise specified. The amounts in brackets are the figures for the preceding year.



Read more on our website

Handelsbanken's Annual Report and interim reports can be downloaded from handelsbanken.se/ireng. Information concerning Risk and Capital Management pursuant to Pillar 3, relating to 2007 onwards, is also available there.

SVENSKA
HANDELSBANKEN



Introduction

Handelsbanken works on the basis of a well-tested business model which has been unchanged for more than 40 years. This business model means that the Bank has very low risk tolerance. As a consequence of this, the Bank has reported very stable profitability levels for a long period of time and its financial goal has been achieved for more than 40 years running. The Bank's business model focuses on taking credit risks in its branch operations, and the model means that the Bank only takes credit risks which are in line with its very restrictive view of risk. The Bank aims to restrict as far as possible all other risks, such as market and liquidity risks.

For the past few decades, Handelsbanken's loan loss ratio has been significantly lower than the average of other Nordic banks. The Bank's stated goal is always that no credit will lead to a loss. This approach completely determines the branches' granting of credit and work with their credit portfolios.

By building up liquidity reserves and matching cash flows, the Bank has worked on limiting its liquidity risks for a long period of time. This is also a natural consequence of the Bank's low risk tolerance, and this work started before the new liquidity regulations were formulated. Handelsbanken is the only major Swedish bank which has managed completely on its own for its funding, with no support from central banks or public authorities, throughout the latest financial crisis, as well as the crisis of the early 1990s.

Market risks at Handelsbanken have also further decreased in the past few years, from already low levels to very low at present. This work has been under way for a long time. It started before the financial crisis broke out and before the regulations started to assign the importance to market risks that they do today.

SCOPE

The disclosure requirements in Pillar 3 include a description of the Bank's capital requirements for credit and market risk and operational risk (Pillar 1), as well as information about the Bank's internal processes to assess the Bank's total capital requirement (Pillar 2). The latter includes risk types in addition to those in Pillar 1.

Svenska Handelsbanken AB (publ) is the parent company in the Handelsbanken Group. In the context of capital adequacy, in addition to the individual institution, it is also the consolidated situation and not the Group that is subject to capital requirements. This publication therefore principally provides information about the consolidated situation. Handelsbanken is also covered by the rules applying to financial conglomerates. For Handelsbanken, the conglomerate rules mean that the capital requirements for the consolidated situation and the capital requirement for the insurance operations are combined. The conglomerate is not covered by the Pillar 3 rules.

Just as in the consolidated accounts, associated companies are consolidated using the equity method in the regulatory consolidated situation. Subsidiaries are consolidated according to the acquisition method. The Group's Annual Report provides information about which subsidiaries exist. Companies that are part of the consolidated situation and are thus covered by the capital adequacy requirements according to the capital adequacy regulations, are listed on page 77. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds. Related party disclosures can be found in the Annual Report, note G48.

In 2007, Handelsbanken received initial permission from the Swedish Financial Supervisory Authority to report parts of the credit portfolio according to the IRB Approach. In 2010, the Bank also received permission from the Swedish Financial Supervisory Authority to report parts of the corporate portfolio according to the IRB Approach with own estimates of loss given default (LGD) and credit conversion factors (CCF). In 2013, Handelsbanken received permission from the Swedish Financial Supervisory Authority to report large corporates on the Bank's home markets (excluding the Netherlands) according to the IRB Approach with own estimates of LGD and CCF.

At the end of 2016, Handelsbanken had reported capital requirements using the IRB Approach for about 79 per cent (80) of the total risk exposure amount according to CRR. Some 86 per cent (80) of the corporate exposures reported according to the IRB Approach were reported with own estimates of LGD and CCF.

REGULATIONS AND REGULATORY DEVELOPMENTS

Capital adequacy

According to the current capital adequacy regulations, Directive 575/2013/EU (CRR), the Swedish Capital Buffers Act (2014:966), and the Swedish Special Supervision of Credit Institutions and Investment Firms Act (2014:968), the Bank must have common equity tier 1

capital of at least 4.5 per cent, tier 1 capital of at least 6 per cent, and total own funds that correspond to at least 8 per cent of the total risk exposure amount for credit risks, market risks and operational risks.

In addition to maintaining capital to meet the minimum requirements, the Bank must also maintain common equity tier 1 capital to comply with the combined buffer requirement, which in Sweden comprises the sum of a capital conservation buffer of 2.5 per cent, a countercyclical buffer of up to 2.5 per cent, and a systemic risk buffer of 3 per cent. The capital conservation buffer builds up capital during good times with the aim of preventing banks from breaching capital requirements during difficult periods.

The countercyclical buffer, which is decided upon by the Swedish Financial Supervisory Authority, varies over the business cycle, with the aim of counteracting excessively high credit growth. As of 27 June 2016, a countercyclical buffer of 1.5 per cent is applied for Sweden. In Norway, the buffer has been 1.5 per cent since the end of the second quarter of 2016. The Swedish Financial Supervisory Authority has decided to increase the requirement in Sweden to 2.0 per cent as of 19 March 2017. In Norway, the level will be increased to 2.0 per cent as of 31 December 2017. No other countries where Handelsbanken has operations have decided on a countercyclical buffer requirement of more than 0 per cent. The aim of the systemic risk buffer is to create a buffer at the largest banks in Sweden to protect the banking system as a whole in times of financial instability. To avoid restrictions on dividends, for example, the requirement for the established combined buffer requirement must be met.

Capital requirements within the framework of Pillar 2

In addition to the above-mentioned requirements, the Bank must hold capital for requirements under Pillar 2 of the regulations. These requirements are specific to each institution and are decided by the supervisory authority. Various factors are assessed within Pillar 2, such as concentration risks, pension risk, interest rate risk in other operations, additional systemic risk needs, etc.

In addition to the regulatory minimum capital and buffer requirements, the Bank must perform an internal capital adequacy assessment, in which all risks and capital requirements are assessed in an unbiased manner.

Within the framework of Pillar 2, there is a buffer requirement for systemic risk of 2 per cent and a risk weight floor for Swedish and Norwegian mortgage loans of 25 per cent. For Handelsbanken in 2016, this means a common equity tier 1 capital requirement in Pillar 2 of approximately SEK 22.2 billion, based on the Bank's mortgage loan volume at year-end. The risk weight floor means that banks must have buffer capital in Pillar 2 for Swedish and Norwegian mortgage loans corresponding to the difference between the actual risk weight in Pillar 1, which is based on the Bank's internal models, and the risk weight floor in Pillar 2.

The internal models reflect the banks' historical losses on mortgage loans, including margins of conservatism, and imply a correct calculation of the capital requirement under Pillar 1. The Swedish Financial Supervisory Authority's intention is that the extra capital surcharge in the

form of a risk weight floor for mortgage loans in Pillar 2 will partly manage risks which may have arisen in the Swedish housing and mortgage loan market in recent years, and which are therefore not fully reflected in the historical data on which the banks' internal models are based. It will also manage the systemic risk which may result from households' increased debt negatively affecting consumption in the case of a large interest rate increase or other major impact on the housing market.

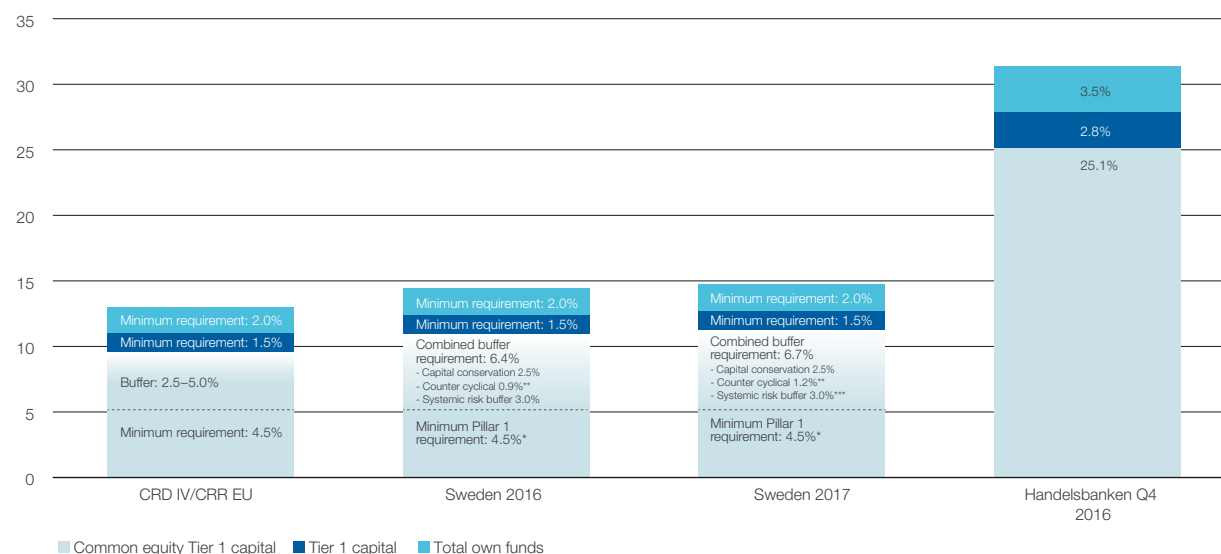
In March 2016, the Swedish Financial Supervisory Authority announced its intention to review the banks' own methods for calculating the probability of default. Within the framework of this review, Handelsbanken has sought permission to apply a new method for estimating the probability of default in corporate exposures. Pending their decision, the Swedish Financial Supervisory Authority will make a capital surcharge within Pillar 2 for the expected impact of the new method. The total surcharge on common equity tier 1 capital related to increased risk weights amounts to SEK 8.6 billion, corresponding to 1.8 percentage

points on the common equity tier 1 ratio. As a result, the capital requirement for credit risk is expected to be much more stable over the business cycle. Once banks begin to apply the new methods, all or part of the above-mentioned capital surcharge in Pillar 2 will shift to Pillar 1 by means of higher risk weights. In Pillar 2, the Swedish Financial Supervisory Authority has also introduced a floor of 2.5 years for maturity assumptions for corporate exposures; the common equity tier 1 capital surcharge amounts to SEK 2.1 billion, corresponding to 0.4 percentage points on the common equity tier 1 ratio.

Since the introduction of Basel II in 2007, in its internal capital adequacy assessment process Handelsbanken has kept considerably more capital than is formally required under Pillar 1. This is because the Bank's capital assessment is based on calculations of economic capital and conservative stress tests which indicate that the capital supply in a normal business cycle should be sufficient for potential losses and capital requirement changes which may occur under stressed conditions.

The Swedish Financial Supervisory Authority

Capital requirements for Swedish banks and actual capital for Handelsbanken



* Pillar 2 includes risk weight floors on mortgage lending in Sweden and Norway, add-ons for systemic risks of 2% as well as institution-specific add-ons for concentration risk, interest rate risk in other operations and pension risk.

** Based on the buffer requirement in Sweden and Norway.

*** Including 2% buffer requirement aimed at other systemically important institutions (O-SII).

also calculates the need to hold a capital planning buffer. The capital planning buffer does not result in any further capital requirements for the Bank as long as it is not larger than the capital conservation buffer.

All surcharges within the framework of Pillar 2 are made in the overall capital assessment, i.e. the Swedish Financial Supervisory Authority's individual assessment of the Bank's capital requirements. The assessment is in addition to the minimum requirements set out in Pillar 1 and normally the Swedish Financial Supervisory Authority will not formally decide on the Pillar 2 requirements. In the absence of a formal decision, the Authority's overall capital assessment will not affect the level when, for example, automatic restrictions on dividends come into force.

In November 2016, the Swedish Financial Supervisory Authority informed Handelsbanken that the Authority assessed that Handelsbanken's total requirement for common equity tier 1 capital at the end of Q3 2016 was SEK 98.8 billion, corresponding to a common equity tier 1 ratio of 21.3 per cent.

Leverage ratio

The leverage ratio is a capital ratio defined in CRR. The ratio is defined as the tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated using the credit conversion factor defined in the standardised approach, as well as regulatory adjustments of own funds.

No decision has been made to date on what level of leverage ratio requirement will apply, and whether it will constitute a binding capital requirement or not. The European Commission published its proposal for implementation on 23 November 2016. The proposal corresponds to the level which the Basel Committee has indicated of 3 per cent and is included in the risk reduction package which contains several proposals for changes to the present regulations (see below).

Liquidity

In liquidity regulation, pursuant to the European Commission's delegated act, a minimum European requirement for banks' liquidity has applied as of 1 October 2015 in the form of a short-term liquidity buffer: the liquidity coverage ratio (LCR). The minimum requirement was 70 per cent during 2016, to be gradually raised

to 100 per cent by 2018, when the delegated act will be fully implemented. According to the delegated act, the LCR is based on the less stringent LCR proposed by the Basel Committee in 2013 and certain EU-specific changes, for example that the liquidity reserve may include a higher proportion of covered bonds.

By making requirements for a short-term liquidity buffer in FFFS 2012:6 as early as 2013, Sweden has implemented this more quickly than required by the EU. The requirement is 100 per cent, but the definition of a short-term liquidity buffer differs from the definition in the delegated act. The LCR which the Swedish Financial Supervisory Authority has implemented is a stricter LCR measurement, mainly in terms of deposit outflow assumptions and the composition of the liquidity portfolio.

The minimum requirement for the structural liquidity measure, net stable funding ratio (NSFR), the ratio between available stable funding and the requirement for stable funding is expected to be introduced in the EU in 2018 at the earliest.

Solvency II

In 2016, the new Solvency II regulations came into force. An overall purpose of the regulations has been to strengthen protection for insurance policyholders by more clearly linking the capital requirement to how the insurance companies identify, measure and manage their risks. During the past few years, Handelsbanken Liv has worked actively on adapting its operations to the new regulatory demands. Handelsbanken Liv's occupational pensions operations are still governed by Solvency I, and in 2016 the company's reporting complied with the old Solvency I regulations. The rest of the operation has reported in compliance with the new Solvency II regulations.

New resolution legislation and minimum requirement for own funds and eligible liabilities (MREL)

The Bank Recovery and Resolution Directive (or BRRD, 2014/59/EU) has been implemented in Sweden by the Resolutions Act (2015:1016), which took effect on 1 February 2016. The regulations contain provisions for managing crisis-stricken banks and make it possible for authorities within a certain framework to take control, restructure and sell all or parts of the operations

without having to liquidate the bank or declare it bankrupt. In addition to the actions mentioned, the regulations introduced the option of writing down certain forms of debt instruments with the aim of recapitalising a crisis-stricken bank.

The regulations also introduce a minimum requirement for own funds and eligible liabilities (MREL). The requirements for each individual institution are to be established by the resolution authority – in Sweden, the Swedish National Debt Office – in connection with the preparation of a resolution plan (see also the Own funds and capital requirement section).

Changes in liquidity, capital adequacy and resolution regulations – “Risk reduction package”

On 23 November 2016, the European Commission published proposals with clarifications, changes and additions to the present regulations. The proposals comprise capital adequacy regulations (CRR and CRD IV) as well as resolution regulations (BRRD). The aims invoked are to increase financial stability, to improve banks' lending capacity within the Union and to make it easier for banks to contribute to deeper and more liquid capital markets within the Union. The package includes proposals for a binding leverage ratio requirement of 3 per cent, the introduction of a binding NSFR and requirements that are more risk sensitive according to the standardised approach in terms of market risk, counterparty risk and central counterparties (CCP). In addition, it is proposed that a requirement on total loss-absorbing capacity be introduced for global systemically important institutions (G-SII) within the framework of the existing MREL regulations. The proposals must be processed by the member states and the European Parliament before they are finally adopted.

Risk management

Handelsbanken's goal is to have higher profitability than the average of peer banks in its home markets and for the Bank to generate good, stable value growth, regardless of the business cycle. High profitability assumes low funding costs and low loan losses. Well-functioning risk management has contributed to the fact that Handelsbanken's business model has stayed intact over the years, during financial crises and recessions, and it has proved very resistant to external strains.

RISK TOLERANCE

Handelsbanken's decentralised business model is based on taking credit risks in the branch operations, but these risks must be kept low. The Bank is a relationship bank which focuses on customers with a good repayment capacity and strong financial position. The quality requirement must never be neglected in favour of higher credit volumes, higher prices or market share. There is low tolerance of market risks and they only occur as part of customer business, in connection with the Bank's funding and liquidity management, in its role as a market maker and in the pension system. The Bank's low tolerance of market risks has resulted in a comparatively low proportion of the Bank's earnings coming from net gains/losses on financial transactions. Tolerance is also low for operational risk and compliance risks. As far as possible, the Bank endeavours to prevent these risks and to reduce the losses in this area. Losses must be small, both in comparison with previous losses incurred, and in comparison with other banks.

RISK STRATEGY

Handelsbanken is a full-service bank, offering a wide range of different banking and insurance products. These entail a variety of risks that are systematically identified, measured and managed in all parts of the Group. Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions, even if the expected remuneration may be high at that time.

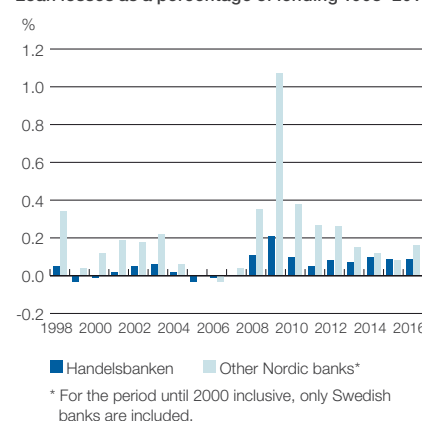
This low risk tolerance is maintained through a strong risk culture that is sustainable in the long term and applies to all areas of the Group. The risk culture is an integral part of the Bank's work and is deeply rooted among the Bank's employees. The Bank is characterised by a clear allocation of responsibilities, where each part of the business operations bears full responsibility for its business and for risk management. As a consequence, there are strong incentives for high risk awareness and for prudence in business operations. However, the decentralised business model is combined with strong centralised controls. The low risk tolerance is also reflected in the view of remuneration. The main principle is that remuneration must be

fixed since this contributes to the long-term perspective which is a central feature of Handelsbanken's business model. Employees with the authority to make business decisions which imply a risk for the Bank can only receive fixed remuneration with no variable components. The employees are one of the largest owners of the Bank via the Oktogonen Foundation, which also contributes to a high level of risk awareness.

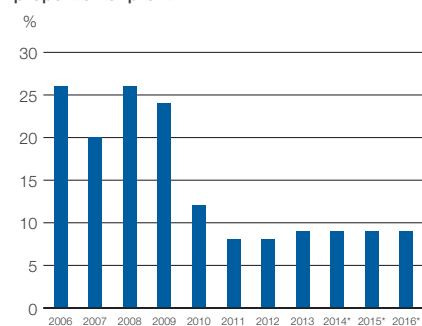
Lending has a strong local involvement, where the close customer relationship and local knowledge promote low credit risks. In addition, the Group must be well-capitalised at all times in relation to the risks in the operations and hold liquid assets so that it can always meet its payment commitments when they fall due, including in stressed situations where funding is not possible in the financial markets. In this way, Handelsbanken aims for a business model which is not affected by fluctuations in the business cycle.

This restrictive approach to risk means that the Bank is a stable and long-term business partner for its customers, regardless of the business cycle or market situation. It contributes to good risk management and sustaining a high service level even when operations and the markets where the Bank operates are subject to strain. The same principles for the Bank's approach to risks apply in all countries where the Bank operates and they are guiding principles in the Bank's continued international expansion.

Loan losses as a percentage of lending 1998–2016



Net gains/losses on financial transactions as proportion of profit



Source: Annual reports

* Excluding non-recurring items.

Risks at Handelsbanken

	Description
Credit risk	Credit risk is defined as the risk of the Bank facing economic loss because the Bank's counterparties cannot fulfil their contractual obligations.
Market risk	Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risks, equity price risks, exchange rate risks and commodity price risks.
Liquidity risk	Liquidity risk is the risk that the Bank will not be able to meet its payment obligations when they fall due without being affected by unacceptable costs or losses.
Operational risk	Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk.
Insurance risk	Insurance risk is the risk in the outcome of an insurance that depends on the insured party's longevity or health.
Compliance risk	Compliance risk is the risk that the Bank does not comply with laws, regulations and internal rules, or accepted business practices or standards.
Remuneration risk	Remuneration risk is the risk of loss or other damage arising due to the remuneration system.

RESILIENT RISK MANAGEMENT

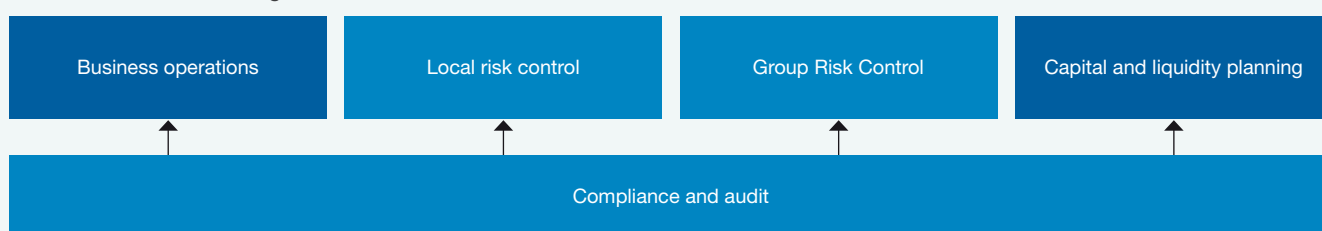
Ever since the turbulence in the financial markets started in 2007, Handelsbanken has had good access to liquidity in all currencies of importance to the Bank. Following the years of crisis, the Bank has broadened its investor base and increased the number of funding programmes for both covered and senior funding. The fact that this has taken place in the prevailing market conditions is a clear sign of the market's confidence in the Bank's business model and its conservative view of risk. The Bank has had and continues to have access to the financial markets via its short-term

and long-term funding programmes. Group Treasury's liquidity portfolio, which is part of the Bank's liquidity reserve, has a low risk profile and consists mainly of government bonds and covered bonds. The Bank has a large liquidity reserve of high quality, which provides a high degree of resistance to possible disruptions in the financial markets. Of the reserve, balances with central banks and banks, as well as securities holdings that are eligible as collateral with central banks, totalled SEK 382 billion (352). In addition, there is an extensive unutilised issue amount for covered bonds at Stadshypotek. Liquidity reserves are kept in all currencies that

are important to the Bank. The total liquidity reserve covers the Bank's liquidity requirements for more than three years in a stressed scenario with an outflow of deposits and entirely without access to new market funding. Operations can also be maintained for a considerable period of time even in an extreme situation when the foreign exchange markets are closed.

The Bank's capital situation continued to grow stronger during the year, and its earnings have been stable. Coupled with low loan losses, this has contributed to the strong position. The strong capital situation provides good protection insurance in the current macroeconomic situation.

Handelsbanken's risk management and risk control



Business operations

The Bank is characterised by a clear allocation of responsibilities, where each part of the business operations bears full responsibility for its business and for all risk management. Those who know the customer and market conditions best are in the best position to assess the risk and can also act at an early stage if problems arise. Each branch and each profit centre is responsible for dealing with any problems that arise. This creates strong incentives for high risk awareness and for prudence in the business operations.

However, the decentralised credit decisions are conditional on a joint credit process, for which Group Credits is responsible. Group Credits prepares the credit decisions made by the Board or by the Board's credit committee. Group Credits also ensures that credit assessments throughout the Group are consistent and that loans are granted in accordance with the credit policy decided by the Board.

Financial risks in the Bank's business operations mainly arise at Central Treasury, Handelsbanken Capital Markets and Handelsbanken Liv, and are managed there. Handelsbanken has a highly decentralised business model, but all funding and liquidity management in the Group is centralised to Central Treasury. The market risks that arise to meet customers' demand for financial instruments with exposure to the fixed income, currency, equity or commodities markets are managed in Handelsbanken Capital Markets. Operational risk occurs in all of the Bank's operations, and the responsibility for managing operational risk is an integral part of managerial responsibility at all levels in Handelsbanken. The management of market risks, and the management of the Bank's operational risk,

as well as funding and liquidity management, are all governed by policies established by the Board.

Local risk control

There is a local risk control function in each country where the Bank has operations, at each regional bank, at central main departments and in subsidiaries. Local risk control works with identifying, measuring, analysing and reporting risks in the operations, particularly market risks, liquidity risks, counterparty risks, operational risks, reputation risk and, where applicable, insurance risks, risks associated with the design of the remuneration system and risks in the asset management operations. Local risk control also checks the limits for market, liquidity, counterparty and operational risks and evaluates breaches of these limits and credit limits. In addition, local risk control is responsible for a risk analysis being performed for new products, IT systems and essential processes, and for evaluating the business operations' work with operational risk. At country level, local risk control is tasked with monitoring the credit process. A special local risk control function within Group IT monitors risks in IT and information security. Local risk control reports to Group Risk Control and also to the management of the operations.

Group Risk Control

As business decisions become more decentralised, the need for central monitoring of the risk and capital situation increases. Group Risk Control is therefore a natural and vital component of the Bank's business model.

Group Risk Control has the task of identifying, measuring, analysing and reporting all the Group's material risks at an aggregate level. It monitors that the risks and risk management

comply with the Bank's low tolerance of risks and that management has reliable information to use as a basis for managing risks in critical situations. Group Risk Control also has functional responsibility for ensuring that local risk control measures risks in a fit-for-purpose and consistent manner in the Group, and that the Bank's management and Board receive regular reports and analyses of the current risk situation.

Capital and liquidity planning

If – despite the work in the three components described above – Handelsbanken were to suffer serious losses, the Bank holds capital and a liquidity reserve to ensure its survival both during and after extreme events. Capital planning is based on an assessment of the capital situation in terms of the legal capital requirement, combined with a calculation of economic capital and stress tests. Liquidity planning ensures that the Group can always meet its payment commitments when they fall due, including in stressed situations where funding is not possible in the financial markets. Stress tests and scenario analyses identify the measures that need to be prepared or implemented to ensure a satisfactory liquidity situation and capitalisation at any given time and which measures are needed to restore the Group's capital and liquidity in a recovery situation following a serious crisis.

Compliance and audit

In addition to the parts described above, operations are examined by compliance, at central, business area and subsidiary level, and also by the internal and external auditors.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal regulations for this. The Board establishes policy documents and the CEO establishes guidelines describing how various risks should be managed and reported.

The Board establishes the decision structure for credit limits. The Board determines the total market and liquidity risk limits for the entire Group within each type of risk. They are then allocated to the operations by the CEO and the CFO. The CEO sets limits for operational risk. The CFO also decides on extra limits and risk measures and detailed instructions. The CFO decides on limits for interest rate risk, exchange rate risk and liquidity risk for the Head of Group Treasury. The Head of Group Treasury is responsible for managing these risks and in turn allocates parts of limits to other business units.

Group Treasury has responsibility for group liquidity and funding, and for carrying out risk management measures as decided by the Bank's CFO. The Bank has well-developed processes for allocating capital and liquidity to the Bank's business units. If a critical situation arises, Group Treasury is also well prepared to rapidly take action to strengthen liquidity.

The operations are monitored by control functions. Group Risk Control, whose head is the Bank's CRO, reports to the CEO and the Board's risk committee. Group Risk Control's task is to check that all major risks to which the Bank is exposed, or may be expected to be exposed in the future, are identified and managed by the relevant functions. Group Risk Control checks that every business unit and region or country efficiently monitors all risks of material significance to the unit via its local risk control. Local risk control reports the risk exposure to Group Risk Control and to the management of the business operations.

Handelsbanken's risk organisation



the Board's risk committee. Group Audit reports to the Board in its entirety and to the Board's audit committee. The external auditors are accountable to the shareholders at the Annual General Meeting and also audit the Board's and the CEO's administration.

REPORTING AND MONITORING THE RISK AND CAPITAL SITUATION

The Risk Committee, chaired by the Bank's CRO, acts in an advisory capacity to the CEO and CFO and met on 10 occasions during 2016. At its meetings, the Risk Committee performs in-depth follow-up of the Group's current risk situation, potential risks and actions for credit risks, market risks, liquidity risks, risks in the insurance operations, compliance risks, operational risks and economic capital. Other types of risk are commented on where necessary. In addition, follow-ups are done of limit utilisation, both for individual risk classes and for the Group as a whole. After every meeting, the CRO reports the Risk Committee's analyses and observations to the Bank's CEO. The risk situation, utilisation of market risk limits and the liquidity situation are reported to the Board at each normal Board meeting.

The credit risk situation is reported quarterly to the Bank's Board and to the boards of the

regional banks and the subsidiaries. This includes volume growth, risk-reported credits and information from the Bank's credit risk models. Each branch compiles a quarterly credit risk report, where it reviews all its credit commitments where the borrower's repayment capacity is impaired and the Bank's collateral is insufficient, or there is a risk that it will be insufficient. In addition, developments in the Bank's credit risk are reported monthly to the CEO, the Chief Credit Officer and the heads of credits.

Limit utilisation for market risks and liquidity risks is compiled and checked on a daily basis by Group Risk Control. Exceeded limits are immediately reported to the person who makes the decision about the limits. The liquidity risk is summarised by Group Risk Control and reported daily to the CFO, weekly to the CEO and to the Board at every normal Board meeting. The Liquidity Committee, chaired by the Head of Group Treasury, acts in an advisory capacity to the CEO and CFO and meets before each normal Board meeting and on other occasions when necessary. At this committee meeting, reports are presented on the current liquidity situation, the results of stress tests, scenario analyses and other information which is relevant for the assessment of the Group's liquidity situation.

Operational risks are monitored daily via

reports from branches and units throughout the Handelsbanken Group that concern incidents which have occurred. Group Risk Control reports operational risk and incidents which have occurred on a monthly basis to the Risk Committee and quarterly to the Capital Committee and to the Board's risk committee. Operational risk reporting includes information regarding material events, major losses, important proactive measures and an aggregated risk assessment at Group level. In addition, local risk control, in close collaboration with Group Risk Control, monitors that the actions which have been decided are implemented.

The capital situation is reported weekly by the Head of Group Capital Management to the CFO, regularly to the CEO, and at least quarterly to the Board. In cases where various thresholds are exceeded, or if the Head of Group Capital Management or the CFO deems it appropriate for some other reason, proposals for appropriate measures are presented to the CEO. The capital situation in a medium- and long-term perspective is summarised quarterly by the Capital Committee. Group Capital Management performs a complete update of the capital forecast on a quarterly basis, or when there are significant changes in conditions.

THE BOARD'S RISK DECLARATION AND RISK STATEMENT

The Board has decided on the following risk declaration and risk statement.

Risk declaration

Handelsbanken has satisfactory arrangements for risk management which are fit-for-purpose in relation to the Bank's goals, overall risk profile and the business and risk strategy which the Board has decided for the operations.

Risk statement

Handelsbanken's goal is to have higher profitability than the average of peer banks in its home markets. This goal is mainly to be achieved by having more satisfied customers and lower costs than those of competitors. Handelsbanken is a full-service bank with a strong local presence and a decentralised way of working. The Bank's overall risk profile is that risks are to be kept low.

The Bank's risk strategy is to take credit risk in the branch operations, while other risks in the business operations are to be kept at a low level. The Group must also be well-capitalised at all times in relation to the risks, and hold liquid assets so that it can meet its payment commitments, including in situations of financial stress in the short and long term. The risk strategy and overall risk profile support Handelsbanken's aim to have a business model that is independent of changes in the business cycle.

The strong local involvement and close customer relationship contribute to low credit risks.

The quality of credits must never be neglected in favour of achieving higher volume or a higher margin. The Bank is selective when choosing customers, with the requirement that borrowers have a good repayment capacity. As a consequence of this, the credit portfolio has a clear concentration on risk classes with a low probability of loss. This consistent approach is reflected in the Bank's low loan losses over time. In 2016, loan losses were 0.09 per cent (0.09) of lending.

To ensure that the Bank is well capitalised in relation to the risks and has a good liquidity situation, the Board stipulates the Bank's risk tolerance for capitalisation and liquidity. When the risk tolerance for capitalisation is decided, the capital measure is set partly in relation to the statutory requirements and partly in relation to Handelsbanken's assessed capital requirement based on the Bank's model for economic capital (EC), which identifies in one metric the Group's overall risks. The risk tolerance for the Bank's liquidity risk is decided on the one hand through requirements that the Bank under stressed circumstances must have a sufficiently large liquidity reserve in the form of liquid assets and assets which can be pledged, and also liquidity-creating measures to be able to continue its operations during determined time periods, and on the other hand through requirements regarding the accumulated net amount of incoming and outgoing cash flows in different time intervals.

The Board has established that the common equity tier 1 ratio under normal circumstances must be between 1 and 3 percentage points above the total common equity tier 1 capital requirement communicated by the Swedish Financial Supervisory Authority (21.3 per cent, according to a communication from the Authority after Q3 2016), and that the ratio between available financial resources (AFR) and EC must exceed 120 per cent. At the end of 2016, the common equity tier 1 ratio was 25.1 per cent (21.2) and the AFR/EC ratio was 269 per cent (228). The Board has stipulated the goal that the Bank must have accumulated positive net cash flows during a period of at least one year, taking into account the liquidity reserve, and with the assumption that 10 per cent of the non-fixed-term deposits from households and companies disappear during the first month. Handelsbanken's total liquidity reserve and measures to create liquidity mean that the Bank's liquidity requirements are covered for more than three years under these stressed circumstances.

The Bank's risk profile in 2016 agrees well with the risk tolerance established by the Board. A more in-depth description of Handelsbanken's risk management and risk profile is presented in the Bank's Annual Report, note G2 Risk and capital management, and in the Bank's report Risk and Capital Management – Information according to Pillar 3. The Annual Report is adopted by the Board.

Credit risk

Handelsbanken's low risk tolerance is maintained by means of a strong credit policy and credit risk culture which covers the whole Group and is sustainable over time. The Bank's decentralised organisation with a local presence provides high quality in the credit decisions and ensures that credit risk is managed close to the customer.

Credit risk is the risk of the Bank facing economic loss because the Bank's counterparties cannot fulfil their contractual obligations.

CREDIT RISK STRATEGY

At Handelsbanken, the credit process is based on a conviction that a decentralised organisation with local presence ensures high quality in credit decisions. The Bank is a relationship bank where the branches maintain regular contact with the customer, which gives the branch an in-depth knowledge of each individual customer and a continually updated picture of the customer's financial situation.

Rather than being a mass market bank, Handelsbanken is selective in its choice of customers, which means it seeks customers with high worthiness. The quality requirement

is never neglected in favour of higher credit volumes or to achieve higher returns. The Bank also avoids participating in financing where there are complex customer constellations or complex transactions which are difficult to understand.

When Handelsbanken assesses the credit risk of a specific customer, the assessment must start with the borrower's repayment capacity. According to the Bank's credit policy, weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. Collateral may, however, substantially reduce the Bank's loss if the borrower cannot fulfil his or her obligations. Credits must therefore normally be adequately secured.

The local branch's close contact with its customers also enables the branch to quickly identify any problems and take action. In many cases, this means that the Bank can take action more rapidly than would have been possible with a more centralised management of problem loans. The branch also has full financial responsibility for granting credits, and therefore

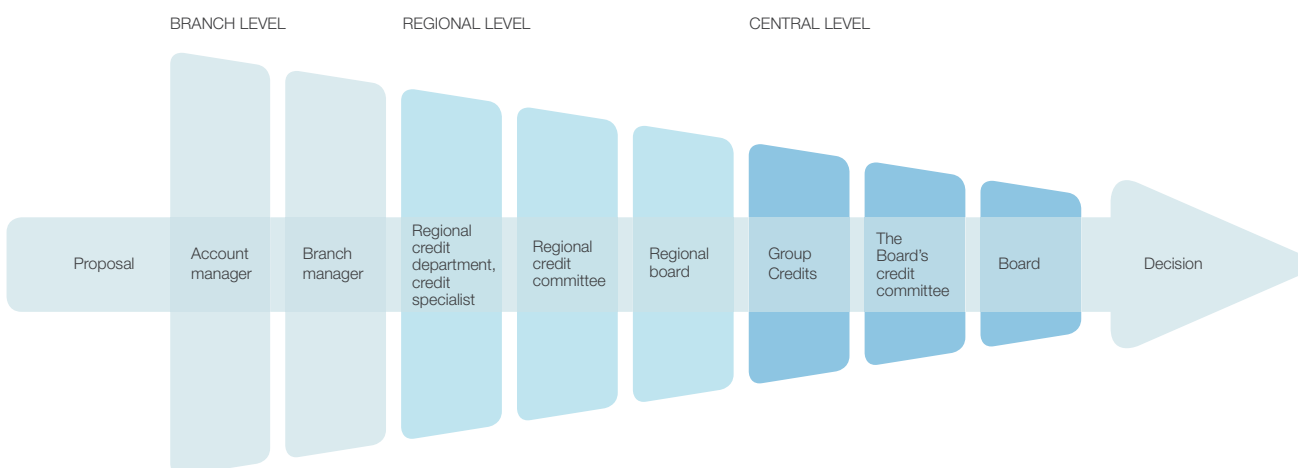
addresses problems that arise when a customer has payment difficulties and also bears any loan losses. If necessary, the local branch obtains support from the regional head office and central departments. The Bank's working method means that all employees whose work involves transactions linked to credit risk acquire a solid and well-founded approach to this type of risk. This approach forms an important part of the Bank's culture. The work method and approach described are important reasons for the Bank reporting very low loan losses over a long period.

CREDIT RISK ORGANISATION

In Handelsbanken's decentralised organisation, each branch responsible for customers has total credit responsibility. Customer and credit responsibility lies with the branch manager or with the employees at the local branch appointed by the manager.

Branch managers and most branch staff have personal decision limits allowing them to decide on credits to the customers they are responsible for.

Credit process and decision levels at Handelsbanken



Breakdown of credit limit decisions*

Proportion of number of limits

70%

28%

2%

Proportion of limit amount

10%

32%

58%

* Excluding sovereign and bank limits decided at central level.

For decisions on larger credits, there are regional and central decision levels. Each additional level of decision adds credit expertise. Each decision level has the right to reject credits both within their own decision level and also credits which would otherwise have been decided at a higher level. All participants throughout the decision process, regardless of level, must be in agreement in order for a positive credit decision to be made. If there is the slightest doubt among any of the participants, the credit application is rejected. The largest credits are decided by the Board's credit committee, or by the entire Board, where cases have been reviewed by Group Credits. However, no credit application may be processed in the Bank without the recommendation of the branch manager who is responsible for the credit.

The Credit process and decision levels at Handelsbanken diagram illustrates the decision procedure for credits. It also shows the percentage of decisions and amounts at the various decision levels.

In Handelsbanken's decentralised organisation, the documentation that forms the basis for credit decisions is always prepared by the branch responsible for the credit, regardless of whether the final decision is to be made at the branch, at regional level, in the Board's credit committee or by the Board. Credit decision documentation includes general and financial information regarding the borrower, and an assessment of their repayment capacity, loans and credit terms, as well as a valuation of collateral.

For borrowers whose total loans exceed SEK 3 million, the credit decision is made in the form of a credit limit. In the case of loans to private individuals against collateral in the residential property, a limit requirement comes into play for amounts exceeding SEK 6 million. For loans to housing co-operative associations against collateral in the residential property, a limit is required for amounts exceeding SEK 12 million.

Credit limits granted are valid for a maximum of one year. When extending limits, the decision procedure requirement is the same as for a new credit.

In Handelsbanken's decentralised organisation, where a high proportion of the credit and limit decisions are made by individual branches, it is important that there is a well-functioning re-examination process to ensure that the credit decision is of high quality. The branch manager examines the quality of the staff's decisions and the regional credit departments examine the quality of decisions made by branch managers.

The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit decisions show that there is good credit judgement and a sound business approach. A corresponding examination of the quality is also performed for credit decisions made at higher levels in the Bank. Credits granted by regional credit committees and regional bank boards are examined by Group Credits, which also prepares and examines credits decided by the Bank's Board or its credit committee.

CREDIT PORTFOLIO

The Bank's credit portfolio is presented in this section based on the balance sheet item categories. The section on Capital requirements for credit risk presents the credit portfolio based on CRR.

Breakdown of the portfolio

Based on the balance sheet, credits are categorised as loans to the general public and loans to credit institutions, and off-balance-sheet items broken down by type of product. Exposure means the sum of items on and off the balance sheet.

Credit risk exposures SEK m	2016	2015
Loans to the public ¹	1 963 622	1 866 467
<i>of which reverse repos</i>	7 493	7 742
Loans to other credit institutions	31 347	49 656
<i>of which reverse repos</i>	4 088	23 394
Interest-bearing securities eligible as collateral with central banks	97 205	74 777
Bonds and other interest-bearing securities	63 909	44 513
Derivative instruments ²	82 633	85 347
Contingent liabilities	78 530	77 457
<i>of which guarantees, credits</i>	9 643	9 750
<i>of which guarantees, other</i>	63 108	61 274
<i>of which letters of credit</i>	5 779	6 433
Other commitments	425 267	420 857
<i>of which unutilised part of granted overdraft facilities</i>	128 967	129 216
<i>of which loan commitments</i>	272 729	267 200
<i>of which other</i>	23 571	24 441
Total	2 742 513	2 619 074
Cash and balances with central banks	199 362	202 630
Other loans to central banks	25 527	34 118
Total	2 967 402	2 855 822

¹ SEK 926m (1,619) of this amount is loans which upon initial recognition were classified at fair value in the income statement.

² Refers to the total positive market values. Including legally viable netting agreements, the exposure is SEK 65,555m (59,687).

Geographical breakdown 2016	Loans					Off-balance-sheet commitments						
	Public	Credit institutions excl. central banks	Cash and balances with central banks	Other loans to central banks	Derivative instruments	Investments	Guarantees	Loan commitments	Unutilised part of granted overdraft facilities	Letters of credit	Other	Total
SEK m												
Sweden	1 245 654	23 161	145	4 821	81 275	127 946	23 989	136 579	85 583	2 874	15 038	1 747 065
UK	193 450	150	61 772	394	92	-	6 066	35 426	6 741	50	2 699	306 840
Norway	244 445	300	6 203	-	-	-	8 267	40 139	19 261	87	4 307	323 009
Denmark	95 540	27	120	20 269	31	11	4 930	13 780	7 662	613	3	142 986
Finland	122 534	25	98 710	-	149	-	4 506	18 977	7 179	216	190	252 486
USA	5 283	5 495	30 386	-	958	32 421	15 795	13 208	476	1 392	-	105 414
The Netherlands	32 285	75	395	-	-	-	153	6 814	393	-	-	40 115
Germany	4 567	61	159	-	-	-	3 497	1 558	644	146	1 326	11 958
Poland	3 016	6	25	43	-	-	1 482	1	139	-	8	4 720
Other countries	16 848	2 047	1 447	-	128	736	4 066	6 247	889	401	-	32 809
Total	1 963 622	31 347	199 362	25 527	82 633	161 114	72 751	272 729	128 967	5 779	23 571	2 967 402

Geographical breakdown 2015	Loans					Off-balance-sheet commitments						
	Public	Credit institutions excl. central banks	Cash and balances with central banks	Other loans to central banks	Derivative instruments	Investments	Guarantees	Loan commitments	Unutilised part of granted overdraft facilities	Letters of credit	Other	Total
SEK m												
Sweden	1 214 093	17 513	174	15 998	84 435	87 522	24 897	137 606	89 522	3 650	16 816	1 692 226
UK	194 069	610	55 538	364	77	-	6 636	36 565	6 235	40	2 768	302 902
Norway	209 327	189	6 101	2 103	-	-	6 890	30 262	16 228	114	4 687	275 901
Denmark	82 854	61	113	15 653	42	7	4 099	12 088	8 155	166	-	123 238
Finland	115 090	42	44 823	-	118	0	3 974	18 028	7 059	175	170	189 479
USA	4 233	24 776	94 626	-	471	30 744	14 758	15 310	375	1 395	-	186 688
The Netherlands	22 344	-	377	-	-	-	1 040	6 241	212	-	-	30 214
Germany	5 336	264	111	-	-	-	3 303	5 432	342	21	-	14 809
Poland	2 396	4	41	-	-	-	1 038	1	139	-	-	3 619
Other countries	16 725	6 197	726	-	204	1 017	4 389	5 667	949	872	-	36 746
Total	1 866 467	49 656	202 630	34 118	85 347	119 290	71 024	267 200	129 216	6 433	24 441	2 855 822

Loans to the public, breakdown by sector and counterparty type	2016			2015		
	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions
SEK m						
Private individuals	982 640	-745	981 895	912 517	-755	911 762
<i>of which mortgage loans</i>	800 092	-33	800 059	736 768	-31	736 737
<i>of which other loans with property mortgages</i>	120 121	-146	119 975	107 591	-146	107 445
<i>of which other loans, private individuals</i>	62 427	-566	61 861	68 158	-578	67 580
Housing co-operative associations	187 016	-20	186 996	169 595	-20	169 575
<i>of which mortgage loans</i>	156 835	-12	156 823	148 064	-7	148 057
Property management	540 194	-691	539 503	511 308	-697	510 611
Manufacturing	27 633	-522	27 111	33 540	-1 542	31 998
Retail	21 947	-270	21 677	24 236	-267	23 969
Hotel and restaurant	8 516	-32	8 484	8 981	-30	8 951
Passenger and goods transport by sea	9 375	-1 244	8 131	10 354	-543	9 811
Other transport and communication	14 614	-36	14 578	11 195	-60	11 135
Construction	18 103	-161	17 942	15 500	-92	15 408
Electricity, gas and water	25 224	-39	25 185	26 560	-52	26 508
Agriculture, hunting and forestry	11 727	-31	11 696	11 318	-15	11 303
Other services	19 608	-113	19 495	19 789	-66	19 723
Holding, investment, insurance companies, mutual funds etc.	66 730	-316	66 414	71 179	-282	70 897
Sovereigns and municipalities	15 891	0	15 891	22 452	0	22 452
Other corporate lending	19 047	-75	18 972	22 759	-117	22 642
Total loans to the public, before collective provision	1 968 265	-4 295	1 963 970	1 871 283	-4 538	1 866 745
Collective provisions for individually assessed loans			-348			-278
Total loans to the public	1 968 265		1 963 622	1 871 283		1 866 467

Loans to the public after deduction of provisions, geographical breakdown by sector 2016								
SEK m	Sweden	UK	Norway	Denmark	Finland	The Netherlands	Other countries	Total
Private individuals	727 562	59 468	91 969	53 964	35 452	8 165	5 315	981 895
<i>of which mortgage loans</i>	682 857	0	60 017	36 371	20 814	0	0	800 059
<i>of which other loans with property mortgages</i>	11 309	54 741	18 167	13 478	10 260	7 805	4 215	119 975
<i>of which other loans, private individuals</i>	33 396	4 727	13 785	4 115	4 378	360	1 100	61 861
Housing co-operative associations	149 245	0	16 911	908	19 932	0	0	186 996
Property management	240 020	111 510	103 659	19 637	33 888	23 194	7 595	539 503
Manufacturing	11 966	2 764	2 680	1 481	3 086	2	5 132	27 111
Retail	10 604	3 686	3 728	1 362	1 215	0	1 082	21 677
Hotel and restaurant	2 217	3 137	141	1 846	97	0	1 046	8 484
Passenger and goods transport by sea	3 370	2	2 086	452	2 095	0	126	8 131
Other transport and communication	9 364	1 194	2 135	360	1 201	304	20	14 578
Construction	7 129	2 824	6 468	497	989	0	35	17 942
Electricity, gas and water	8 841	243	6 227	66	8 988	192	628	25 185
Agriculture, hunting and forestry	10 723	673	57	97	132	0	14	11 696
Other services	10 165	4 042	2 659	1 283	1 332	0	14	19 495
Holding, investment, insurance companies, mutual funds etc.	45 508	2 212	1 200	9 325	3 287	29	4 853	66 414
Sovereigns and municipalities	4 149	0	254	629	10 464	395	0	15 891
Other corporate lending	4 932	1 733	4 373	3 656	409	4	3 865	18 972
Total loans to the public, before collective provision	1 245 795	193 488	244 547	95 563	122 567	32 285	29 725	1 963 970
Collective provisions for individually assessed loans	-139	-39	-100	-25	-33	-1	-11	-348
Total loans to the public	1 245 656	193 449	244 447	95 538	122 534	32 284	29 714	1 963 622

Loans to the public after deduction of provisions, geographical breakdown by sector 2015								
SEK m	Sweden	UK	Norway	Denmark	Finland	The Netherlands	Other countries	Total
Private individuals	682 992	57 273	80 150	46 352	34 317	5 867	4 811	911 762
<i>of which mortgage loans</i>	635 871	0	50 782	29 001	21 083	0	0	736 737
<i>of which other loans with property mortgages</i>	14 023	45 685	16 222	13 276	8 806	5 532	3 901	107 445
<i>of which other loans, private individuals</i>	33 098	11 588	13 146	4 075	4 428	335	910	67 580
Housing co-operative associations	137 604	0	14 472	552	16 947	0	0	169 575
Property management	244 996	115 262	85 729	13 726	28 682	14 538	7 678	510 611
Manufacturing	15 401	2 692	2 565	1 443	3 386	1 059	5 452	31 998
Retail	12 304	4 596	2 969	1 367	1 688	0	1 045	23 969
Hotel and restaurant	2 507	3 218	153	1 734	268	0	1 071	8 951
Passenger and goods transport by sea	3 612	6	2 520	1 002	2 626	0	45	9 811
Other transport and communication	5 734	625	2 282	1 184	947	362	1	11 135
Construction	6 606	2 006	5 064	550	865	0	317	15 408
Electricity, gas and water	9 908	406	6 729	76	8 540	184	665	26 508
Agriculture, hunting and forestry	9 481	1 512	18	120	123	0	49	11 303
Other services	11 939	3 986	1 114	1 433	1 241	0	10	19 723
Holding, investment, insurance companies, mutual funds etc.	49 996	982	1 446	9 700	3 449	110	5 214	70 897
Sovereigns and municipalities	10 918	0	198	1	11 335	0	0	22 452
Other corporate lending	10 231	1 547	3 962	3 637	704	225	2 336	22 642
Total loans to the public, before collective provision	1 214 229	194 111	209 371	82 877	115 118	22 345	28 694	1 886 745
Collective provisions for individually assessed loans	-137	-42	-44	-23	-28	-1	-3	-278
Total loans to the public	1 214 092	194 069	209 327	82 854	115 090	22 344	28 691	1 886 467

Collateral

Since collateral is not generally utilised until a borrower faces serious repayment difficulties, the valuation of collateral focuses on the expected value in the case of a sale in unfavourable circumstances in connection with insolvency. The value of certain assets may change considerably in an insolvency situation leading to a forced sale.

For unsecured long-term credit commitments to companies, the Bank often enters into an agreement with the customer on special credit terms which allow the Bank to renegotiate or terminate the loan in the case of unfavourable performance.

A large part of lending to credit institutions consists of reverse repos. A reverse repo is a repurchase transaction in which the Bank buys

interest-bearing securities or equities with a special agreement that the security will be re-sold to the seller at a specific price on a specific date. Handelsbanken regards reverse repos as secured lending.

In special circumstances, the Bank may buy credit derivatives or financial guarantees to hedge the credit risk in claims, but this is not part of the Bank's normal lending process.

Credit risk exposure on balance sheet, broken down by collateral SEK m	2016	2015
Residential property ¹	1 308 242	1 207 242
<i>of which private individuals</i>	920 344	845 481
Other property	307 334	293 936
Sovereigns, municipalities and county councils ²	296 676	313 475
Guarantees as for own debt ³	10 844	8 627
Financial collateral	22 858	40 632
Collateral in assets	24 343	23 789
Other collateral	19 093	21 854
Unsecured	232 032	242 361
Total credit risk exposure on balance sheet	2 221 422	2 151 916

Loans to the public, broken down by collateral SEK m	2016	2015
Residential property ¹	1 308 242	1 207 242
<i>of which private individuals</i>	920 344	845 481
Other property	307 334	293 936
Sovereigns, municipalities and county councils ²	68 477	76 609
Guarantees as for own debt ³	10 330	8 134
Financial collateral	16 973	16 797
Collateral in assets	24 343	23 789
Other collateral	19 093	21 854
Unsecured	208 830	218 106
Total loans to the public	1 963 622	1 866 467

¹ Including housing co-operative apartments.

² Refers to direct sovereign exposures and government guarantees.

³ Does not include government guarantees.

Loan-to-value ratio for property lending

For property financing, like all granting of credit, Handelsbanken's credit assessment is always based on the borrower's repayment capacity. For mortgage loans to private individuals, a debt ratio ceiling is applied. In Sweden for example this is six times disposable income. Deviations from this are possible, but in such cases there must be a special justification. When assessing repayment capacity for mortgage loans, a calculation interest rate is also used, which is, for example, 7.5 per cent in Sweden. As regards loan-to-value ratios (LTV) for mortgage loans, the Bank follows the supervisory authority's regulations such as the mortgage cap and amortisation requirements.

For property loans to companies, there are internal recommendations for the maximum permitted loan-to-value ratios. The following recommendations concerning maximum LTVs for property loans to companies apply to the whole Handelsbanken Group. The LTV is based on the market value.

- Multi-family dwellings, including housing co-operative associations, 75 per cent.
- Commercial and office property, 60 per cent.
- Family farms, forest and agricultural properties, 75 per cent.

The recommended LTVs correspond to what is applied at Stadshypotek. At the time of granting the credit, LTVs which exceed the recommendations are never permitted at Stadshypotek. For loans in the Bank, LTVs which exceed the recommendations may occur, but must be specially justified. The value of industrial and warehouse property and undeveloped land may often be much more volatile than for other property, partly due to the location, alternative use, etc. The LTV should therefore be well below 60 per cent. Financing of industrial and warehouse property and undeveloped land is only permitted in the Bank.

The tables and diagrams below illustrate a breakdown of loan volumes based on the loan-

to-value ratios applied for all property lending in Handelsbanken's home markets. An accumulated breakdown of the LTVs at 31 December 2016 is also presented. It should be noted that the Multi-family dwellings/residential property category here and in the following sections relates to all lending for which the collateral is a property for residential purposes, such as second homes, housing co-operative apartments and rental properties. The diagrams show that a very heavy fall in property prices would be required for large parts of the lending volume to exceed a 100 per cent LTV.

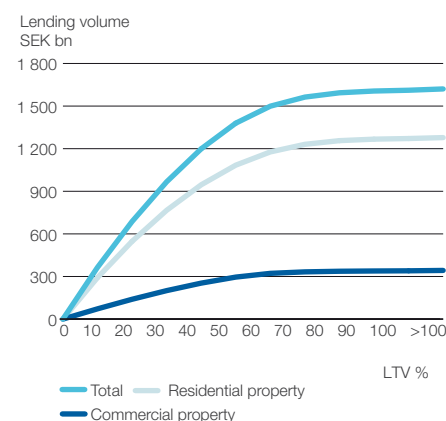
The LTV shows all lending secured by collateral in relation to its market value. The calculation takes account of any pledging with other credit institutions. The latest valuation is mainly used as the market value when compiling the LTVs. In addition to distributing the loan volume by LTVs, the average LTV at Handelsbanken is calculated by weighting each property's highest LTV according to the principal debt (LTV Max).

Breakdown of property lending by LTV (LTV Mid) and property type, Handelsbanken's home markets



LTV Mid is a calculated average of LTVs per property where the total principal debt is split into a large number of LTV intervals and the LTV is calculated as an average of the proportion of the principal debt which is in each interval. LTV Mid can be regarded as the average LTV for one lent krona at Handelsbanken. The graph, Breakdown of property lending by (LTV Mid) and property type, Handelsbanken's home markets, shows that Handelsbanken has by far the greatest volume of its property volumes in the LTV interval which is below 50 per cent. The graph also shows that in the case of major falls in property prices, Handelsbanken's property lending will to a very high degree be fully secured by property mortgages. If an institution has all its lending with first priority, LTV Mid is half of LTV Max. The table, Distribution of property lending by LTV and market type, Handelsbanken's home markets, shows that LTV Mid is almost half of LTV Max, which means that almost all of Handelsbanken's loans have the highest priority mortgages.

Cumulative breakdown of property lending by LTV, Handelsbanken's home markets



Distribution of property lending by LTV and market type, Handelsbanken's home markets

%	2016			2015		
	Multi-family dwellings/ residential property	Commercial properties	Total	Multi-family dwellings/ residential property	Commercial properties	Total
0-40%	74.0	73.9	74.0	71.3	72.6	71.6
41-60%	18.1	20.1	18.5	19.0	20.7	19.4
61-75%	5.4	3.8	5.1	6.7	4.5	6.2
> 75%	2.5	2.2	2.4	3.0	2.2	2.8
LTV Max	55.4	56.1	55.5	58.1	57.0	57.9
LTV Mid	28.0	28.1	28.0	29.5	28.6	29.3

LTV for property lending in Handelsbanken's home markets if property prices fall by 10 per cent

%	2016			2015		
	Multi-family dwellings/ residential property	Commercial properties	Total	Multi-family dwellings/ residential property	Commercial properties	Total
LTV Max	61.5	62.3	61.7	64.6	63.4	64.3
LTV Mid	31.1	31.2	31.1	32.7	31.8	32.5

LTV Max The highest loan-to-value of the property is weighted according to the principal debt.

LTV Mid The collateral level breakdown of the property is weighted according to the principal debt within the LTV interval.

Credit risk concentrations

Handelsbanken's branches focus strongly on establishing long-term relationships with customers of sound creditworthiness. If a branch identifies a good customer, it should be able to do business with this customer, irrespective of whether the Bank as a whole has major exposure to the business sector that the customer represents. In granting credit, the Bank thus has no built-in restrictions to having relatively extensive exposures in individual sectors. The Bank monitors and calculates concentration risks continually for various business sectors, geographic areas and individual major exposures. The Bank also applies special limits to restrict the maximum credit exposure to individual counterparties, to complement the credit risk assessment. If a concentration in the credit portfolio can be assumed to constitute an increased risk, this concentration is monitored. Concentration risks are identified in the Bank's calculation of economic capital for credit risks and in the stress tests conducted in the internal capital adequacy assessment. The Swedish Financial Supervisory Authority also calculates a separate capital adequacy supplement under Pillar 2 for concentration risks in the credit portfolio. This ensures that Handelsbanken has sufficient capital, also taking

into account concentration risks. If the concentration risks are judged to be excessive, the Bank has the opportunity and capacity to reduce them using various risk mitigation measures.

In addition to mortgage loans and lending to housing co-operative associations, Handelsbanken has considerable lending operations for property management amounting to SEK 540 billion (511). Property management refers here to all companies assessed for credit purposes as "property companies". It is common for groups of companies operating in other industries to have subsidiaries managing the properties in which the group conducts business, and such property companies are also considered here to belong to property management. However, the underlying credit risk in such cases is not only property-related. Also, private individuals with larger property holdings are assessed as property companies for credit purposes.

A very large part of property lending consists of property mortgages with low LTVs. A large proportion of property lending is to government-owned property companies, municipal housing companies and other housing-related operations where the borrowers consistently have strong, stable cash flows and thus very high creditworthiness. Thus a large part of lending to the

property sector is to companies with a very low probability of default. The Bank's exposure to the property sector is specified in the tables below.

The proportion of exposures to property counterparties with a poorer rating than the Bank's risk class 5 (normal risk) is very low. 99 per cent (99) of total property lending in Sweden is in risk class 5 or better. The corresponding figures for property lending in the UK are 97 per cent (96), Denmark 96 per cent (94), Finland 98 per cent (98), Norway 97 per cent (97) and the Netherlands 99 per cent (98). For counterparties in poorer risk classes than normal, the majority are in risk classes 6 or 7 with only small volumes in the higher risk classes 8 and 9. For information about Handelsbanken's risk classifications, see the section titled Calculation of capital requirements for credit risk.

In the past few years, Handelsbanken has seen major credit growth in the UK as a result of an expansion of the branch network. A large part of the growth has been in property-related credits. In its expansion, Handelsbanken has had the same strict requirements on repayment capacity and collateral quality as in its other home markets. The result of this is a high concentration of customers in good risk classes and a loan loss ratio in line with other home markets.

Specification Loans to the public – Property management	2016			2015		
	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions	Loans before deduction of provisions	Provisions for probable loan losses	Loans after deduction of provisions
SEK m						
Loans in Sweden						
State-owned property companies	3 228	0	3 228	5 042	-	5 042
Municipal-owned property companies	9 771	0	9 771	12 242	-	12 242
Residential property companies	99 598	-26	99 572	91 484	-35	91 449
<i>of which mortgage loans</i>	85 134	-1	85 133	77 367	-4	77 363
Other property management	127 578	-130	127 448	136 333	-71	136 262
<i>of which mortgage loans</i>	52 925	-2	52 923	61 993	-7	61 986
Total loans in Sweden	240 175	-156	240 019	245 101	-106	244 995
Loans outside Sweden						
UK	111 800	-289	111 511	115 669	-408	115 261
Norway	103 767	-108	103 659	85 787	-58	85 729
Denmark	19 755	-118	19 637	13 816	-89	13 727
Finland	33 891	-4	33 887	28 704	-22	28 682
The Netherlands	23 194	0	23 194	14 539	-	14 539
Other countries	7 612	-16	7 596	7 692	-14	7 678
Total loans outside Sweden	300 019	-535	299 484	266 207	-591	265 616
Total loans – Property management	540 194	-691	539 503	511 308	-697	510 611

Specification Loans to the public – Property management, type of collateral and country	2016					2015				
	Companies owned by government and municipality/ property lending guaranteed by government and municipality		Multi-family dwellings/ residential property	Commercial property and other collateral	Unsecured	Companies owned by government and municipality/ property lending guaranteed by government and municipality		Multi-family dwellings/ residential property	Commercial property and other collateral	Unsecured
SEK m	Total					Total				
Sweden	240 175	14 129	103 681	109 681	12 684	245 101	18 746	99 658	111 881	14 816
UK	111 800	0	54 193	54 853	2 754	115 669	0	52 582	59 053	4 034
Norway	103 767	0	16 304	79 339	8 124	85 787	0	12 209	64 187	9 391
Denmark	19 755	0	10 166	8 388	1 201	13 816	0	7 717	4 870	1 229
Finland	33 891	14 561	5 401	12 585	1 344	28 704	11 117	4 577	12 247	763
The Netherlands	23 194	0	11 072	12 073	49	14 539	0	7 286	6 904	349
Other countries	7 612	267	643	2 867	3 835	7 692	531	580	5 819	762
Total	540 194	28 957	201 460	279 786	29 991	511 308	30 394	184 609	264 961	31 344

Specification Loans to the public – Property management, risk class and country 2016
SEK m

Risk class	Sweden	UK	Norway	Denmark	Finland	The Netherlands	Other countries	Total	%	Accum. % of total
1	21 647	744	1 858	82	5 474	39	1 104	30 948	5.73	6
2	60 262	21 710	26 369	2 618	10 812	8 197	3 886	133 854	24.78	31
3	97 610	54 935	50 727	8 167	11 431	12 399	1 329	236 598	43.80	74
4	44 490	25 662	14 909	5 998	5 000	1 999	914	98 972	18.32	93
5	13 444	5 326	7 081	2 113	546	302	314	29 126	5.39	98
6	1 327	1 695	1 095	220	108	214	26	4 685	0.87	99
7	805	625	1 063	112	411	44	0	3 060	0.57	99
8	185	85	336	59	26	0	0	691	0.13	100
9	93	21	99	12	10	0	0	235	0.04	100
Defaults	312	997	230	374	73	0	39	2 025	0.37	100
Total	240 175	111 800	103 767	19 755	33 891	23 194	7 612	540 194	100	

Specification Loans to the public – Property management, risk class and country 2015
SEK m

Risk class	Sweden	UK	Norway	Denmark	Finland	The Netherlands	Other countries	Total	%	Accum. % of total
1	20 034	943	1 127	53	2 903	115	1 044	26 219	5.13	5
2	73 556	22 677	18 026	829	11 365	1 942	3 249	131 644	25.75	31
3	92 801	56 376	45 263	6 197	11 006	10 247	2 869	224 759	43.96	75
4	43 115	24 298	15 418	4 338	1 619	1 873	172	90 833	17.76	93
5	12 592	6 249	3 430	1 548	1 125	75	289	25 308	4.95	98
6	1 606	1 939	1 444	289	401	221	30	5 930	1.16	99
7	889	1 331	793	190	118	66	0	3 387	0.66	99
8	161	363	91	26	17	0	0	658	0.13	99
9	107	87	15	8	9	0	2	228	0.04	100
Defaults	240	1 406	180	338	141	0	37	2 342	0.46	100
Total	245 101	115 669	85 787	13 816	28 704	14 539	7 692	511 308	100	

Specification Loans to the public – Property management, risk class, type of collateral and unsecured 2016
SEK m

Risk class	Loans		Collateral			
		Multi-family dwellings/ residential property	Commercial properties	Guarantees from government and municipality	Other collateral	Unsecured
1	30 948	15 336	5 722	6 755	973	2 162
2	133 854	48 936	62 140	6 483	2 609	13 686
3	236 598	92 978	125 902	4 967	4 008	8 743
4	98 972	36 085	54 224	3 228	1 722	3 713
5	29 126	9 679	17 721	236	575	915
6	4 685	1 247	3 168	1	177	92
7	3 060	655	2 173	14	124	94
8	691	170	438	0	58	25
9	235	63	97	3	45	27
Defaults	2 025	363	946	0	152	564
Total	540 194	205 512	272 531	21 687	10 443	30 021

Specification Loans to the public – Property management, risk class, type of collateral and unsecured 2015
SEK m

Risk class	Loans		Collateral			
		Multi-family dwellings/ residential property	Commercial properties	Guarantees from government and municipality	Other collateral	Unsecured
1	26 219	14 662	6 208	3 355	188	1 806
2	131 644	49 028	57 171	10 543	2 527	12 375
3	224 759	81 039	124 876	5 296	4 115	9 433
4	90 833	32 732	52 902	682	755	3 762
5	25 308	9 133	13 189	420	340	2 226
6	5 930	1 279	4 034	14	52	551
7	3 387	899	2 222	0	50	216
8	658	236	270	0	16	136
9	228	40	92	3	2	91
Defaults	2 342	579	890	0	49	824
Total	511 308	189 627	261 854	20 313	8 094	31 420

IMPAIRMENTS AND PAST DUE LOANS

Loans are defined as impaired if contracted cash flows are not likely to be fulfilled. The full amount of all loans which have been classified as impaired are carried as impaired loans even if parts of the loan are covered by collateral. This means that the reserve ratio (provisions for probable loan losses as a proportion of impaired loans) does not provide an indication of the remaining risk of loss. Loans which have been written off as actual loan losses are not included in impaired loans.

All units with customer and credit responsibility in the Handelsbanken Group regularly perform individual assessments of the need for recognising impairment losses for loans and receivables that are recognised at amortised cost. Impairment testing is performed where there is objective evidence that the recoverable amount of the loan is less than its carrying amount. Objective evidence could be, according to the circumstances, late or non-payment, bankruptcy, changed credit rating, or a decline in the market value of the collateral.

When performing impairment testing, the recoverable amount of the loan is calculated by discounting the estimated future cash flows related to the loan and any collateral (including guarantees) by the effective interest rate of the loan. If the collateral is a listed asset, the valuation of the collateral is based on the quoted price; otherwise, the valuation is based on the yield value or the market value estimated in some other manner. Collateral in the form of property mortgages is valued in the same way as repossessed real property. If the estimated recoverable amount is less than the carrying amount an impairment loss is recognised as a loan loss in profit or loss. A recognised loan loss reduces the carrying amount of the loan in the balance sheet, either through a direct write-off (actual loan loss) or by a provision account for loan losses (probable loan loss). Information

concerning repossessed property to protect claims can be found in note G10 Loan losses in the Annual Report.

In addition to the above-mentioned assessment of individual loans, a collective assessment is made of individually valued loans and of homogeneous groups of loans with a similar risk profile, with the purpose of identifying the need to recognise an impairment loss that cannot yet be allocated to individual loans. If necessary, a group impairment is recognised for the group of loans. This impairment loss is based on events that have occurred and that signal lower creditworthiness but that have not been observed individually and where no default has actually occurred. The provisioned amount is based on the change in expected loss in the case of rating migration to risk classes that are poorer than normal risk. Impairment losses which have been recognised for a group of loans are transferred to impairment losses for individual loans as soon as there is information that a provision at an individual level is needed.

Loan losses for the period comprise actual losses and probable losses on credits granted, less recoveries and reversals of previous impairment losses recognised for probable loan losses. Actual loan losses may refer to entire loans or parts of loans and are recognised when there is no realistic possibility of recovery. This is the case, for example, when a trustee in bankruptcy has estimated bankruptcy dividends, a scheme of arrangement has been accepted or the receivable has been waived in some other way. An amount forgiven in connection with reconstruction of a loan or group of loans is always classified as an actual loss. If the customer is following a payment plan for a loan which was already previously classified as an actual loan loss, the amount of the loss is subject to new testing.

Recoveries comprise reversed amounts on loan losses previously reported as actual losses.

Information about probable and actual losses is provided in note G10 Loan losses in the Annual Report.

Impairment losses on available-for-sale financial assets are recognised when there is objective evidence that one or more events of default have occurred with an impact on expected future cash flows for the asset. For interest-bearing financial assets, examples of events of default are that the Bank has deemed it probable that the borrower will go into bankruptcy, or there is evidence that the issuer has major financial difficulties. For equity instruments, a permanent or considerable decline in the fair value is an indication of the need to recognise an impairment loss. When recognising an impairment loss, the part of the cumulative loss that was previously recognised in the fair value reserve in equity (corresponding to the difference between the acquisition cost and the current fair value less any previous impairment loss) is recognised in the income statement.

Previously recognised impairment losses on interest-bearing securities classified as available-for-sale financial assets are reversed in the income statement if the fair value of the asset has increased since the impairment loss was recognised and the increase can be objectively related to an event occurring after the impairment loss was recognised. Previous impairment losses on equity instruments classified as available-for-sale financial instruments are not reversed.

In the below tables – Maturity structure for past due loans which are not impaired – the breakdown of the volumes in question is based on the balance sheet. For past due loans that are not impaired loans, the assessment is that contracted payments will probably be fulfilled.

This year's loan losses were somewhat higher than for the preceding year. See the Loan losses table on page 21. To a large extent, the loan losses relate to only a few credit exposures.

Information about past due loans

Maturity structure for past due loans which are not impaired 2016		Loans to the public			
SEK m	Loans to credit institutions	Retail	Corporate	Other	Total
Past due ≥ 5 days ≤ 1 month	-	1 486	694	1	2 181
Past due > 1 month ≤ 2 months	-	253	79	-	332
Past due > 2 months ≤ 3 months	-	136	80	-	216
Past due > 3 months ≤ 12 months	-	413	56	-	469
Past due > 12 months	-	329	47	-	376
Total	-	2 617	956	1	3 574

Maturity structure for past due loans which are not impaired 2015		Loans to the public			
SEK m	Loans to credit institutions	Retail	Corporate	Other	Total
Past due ≥ 5 days ≤ 1 month	-	1 868	692	1	2 561
Past due > 1 month ≤ 2 months	-	213	68	-	281
Past due > 2 months ≤ 3 months	-	141	29	-	170
Past due > 3 months ≤ 12 months	-	340	107	-	447
Past due > 12 months	-	360	241	-	601
Total	-	2 922	1 137	1	4 060

Past due exposures, provisions for probable losses and impact on profit/loss for IRB-approved exposures ¹ , by exposure classes 2016	Past due >5 days, exposure amount	Exposure amount on agreement with provision	Provision probable losses	Impact on profit/loss 2016	
				Gross provision ²	Net incl. reversals
SEK m					
Corporate exposures	5 413	5 009	3 119	-1 570	-1 239
Retail exposures	3 365	1 547	1 065	-280	-244
Private individuals	2 694	1 069	708	-175	-152
<i>of which property loans</i>	2 068	248	164	-131	-114
<i>of which other</i>	626	821	544	-44	-38
Small companies	671	478	357	-105	-92
<i>of which property loans</i>	254	220	164	-40	-32
<i>of which other</i>	417	258	193	-65	-60
Institutional exposures	15	0	0	0	0
Securitisation positions	0	0	0	0	0
Total	8 793	6 556	4 184	-1 850	-1 483

Past due exposures, provisions for probable losses and impact on profit/loss for IRB-approved exposures ¹ , by exposure classes 2015	Past due >5 days, exposure amount	Exposure amount on agreement with provision	Provision probable losses	Impact on profit/loss 2015	
				Gross provision ²	Net incl. reversals
SEK m					
Corporate exposures	6 737	5 884	3 326	-1 482	-1 185
Retail exposures	3 887	1 723	1 121	-313	-246
Private individuals	3 136	1 177	757	-193	-149
<i>of which property loans</i>	2 398	271	174	-85	-66
<i>of which other</i>	738	906	583	-108	-83
Small companies	751	546	391	-120	-97
<i>of which property loans</i>	283	242	173	-59	-51
<i>of which other</i>	468	304	218	-61	-46
Institutional exposures	87	0	0	0	0
Securitisation positions	0	0	0	0	0
Total	10 711	7 607	4 447	-1 795	-1 431

¹ For information about the IRB Approach, see the section entitled Calculation of capital requirements for credit risk.

² Gross provisions refer to probable losses which have reduced the year's profits, excluding reversals.

Past due exposures, exposures with impairment losses and impact on profit/loss for non-IRB-approved exposures using the standardised approach ¹ 2016	Exposure with provision	Provision probable losses	Impact on profit/loss 2016	
			Gross provision ²	Net incl. reversals
SEK m				
Past due items	177	111	-47	-38

Past due exposures, exposures with impairment losses and impact on profit/loss for non-IRB-approved exposures using the standardised approach ¹ 2015	Exposure with provision	Provision probable losses	Impact on profit/loss 2015	
			Gross provision ²	Net incl. reversals
SEK m				
Past due items	159	91	-37	-29

¹ For information about the standardised approach, see the section entitled Calculation of capital requirements for credit risk.

² Gross provisions refer to probable losses which have reduced the year's profits, excluding reversals.

Information about loans which are impaired and/or past due for more than 60 days

Impaired loans and loans which are past due by more than 60 days, geographical breakdown 2016	Impaired loans				Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹	Of which past due >60 days	
SEK m					
Sweden	2 091	-1 218	873	396	346
UK	1 108	-326	782	146	206
Norway	510	-315	195	35	225
Denmark	2 872	-1 706	1 166	173	16
Finland	880	-599	281	144	238
The Netherlands	3	-1	2	-	-
Rest of Europe	169	-92	77	74	30
North America	-	-	-	-	-
Asia	113	-38	75	76	-
Total	7 746	-4 295	3 451	1 044	1 061

¹ Carrying amount after taking into account specific provisions for individually assessed loans and provisions for collectively assessed loans but excluding collective provisions for loans which are individually assessed.

Impaired loans and loans which are past due by more than 60 days, geographical breakdown 2015	Impaired loans			Of which past due >60 days	Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹		
SEK m					
Sweden	3 229	-2 156	1 073	445	396
UK	1 437	-447	990	307	168
Norway	208	-130	78	46	181
Denmark	2 803	-1 040	1 763	216	18
Finland	973	-679	294	199	400
The Netherlands	2	-1	1	-	-
Rest of Europe	192	-85	107	104	53
North America	-	-	-	-	-
Asia	-	-	-	-	2
Total	8 844	-4 538	4 306	1 317	1 218

¹ Carrying amount after taking into account specific provisions for individually assessed loans and provisions for collectively assessed loans but excluding collective provisions for loans which are individually assessed.

Impaired loans and loans which are past due by more than 60 days, by sector 2016	Impaired loans			Of which past due >60 days	Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹		
SEK m					
Private individuals	1 405	-745	660	435	721
Housing co-operative associations	41	-20	21	5	-
Property management	1 793	-691	1 102	263	240
Manufacturing	719	-522	197	26	18
Retail	457	-270	187	45	0
Hotel and restaurant	96	-32	64	64	6
Passenger and goods transport by sea	1 849	-1 244	605	0	-
Other transport and communication	52	-36	16	7	5
Construction	269	-161	108	46	13
Electricity, gas and water	68	-39	29	4	9
Agriculture, hunting and forestry	53	-31	22	11	2
Other services	214	-113	101	94	18
Holding, investment, insurance companies, mutual funds etc.	601	-316	285	30	6
Other corporate lending	129	-75	54	14	23
Credit institutions	-	-	-	-	-
Total	7 746	-4 295	3 451	1 044	1 061

¹ Carrying amount after taking into account specific provisions for individually assessed loans and provisions for collectively assessed loans but excluding collective provisions for loans which are individually assessed.

Impaired loans and loans which are past due by more than 60 days, by sector 2015	Impaired loans			Of which past due >60 days	Loans past due >60 days, which are not impaired
	Gross	Provisions	Net ¹		
SEK m					
Private individuals	1 424	-755	669	494	757
Housing co-operative associations	35	-20	15	1	2
Property management	1 943	-697	1 246	410	149
Manufacturing	2 103	-1 542	561	49	21
Retail	394	-267	127	74	4
Hotel and restaurant	116	-30	86	85	168
Passenger and goods transport by sea	1 734	-543	1 191	0	-
Other transport and communication	78	-60	18	16	8
Construction	150	-92	58	40	77
Electricity, gas and water	73	-52	21	5	-
Agriculture, hunting and forestry	34	-15	19	3	0
Other services	101	-66	35	27	15
Holding, investment, insurance companies, mutual funds etc.	500	-282	218	74	17
Other corporate lending	159	-117	42	39	0
Credit institutions	-	-	0	-	-
Total	8 844	-4 538	4 306	1 317	1 218

¹ Carrying amount after taking into account specific provisions for individually assessed loans and provisions for collectively assessed loans but excluding collective provisions for loans which are individually assessed.

Information about loan losses

Loan losses SEK m	2016	2015
Specific provision for individually assessed loans		
The year's provision	-1 899	-1 832
Reversal of previous provisions	377	372
Total	-1 522	-1 460
Collective provision		
The year's net provision for individually assessed loans	-62	0
The year's net provision for homogeneous loans	-10	-3
Total	-72	-3
Off-balance-sheet items		
Losses on off-balance-sheet items	-16	0
Reversal previous losses on off-balance-sheet items	2	0
Change in collective provision for off-balance-sheet items	-26	-33
Total	-40	-33
Write-offs		
Actual loan losses for the year	-2 183	-964
Utilised share of previous provisions	1 863	659
Recoveries	230	204
Total	-90	-101
Net loan losses	-1 724	-1 597

Impaired loans etc. SEK m	2016	2015
Impaired loans	7 746	8 844
Specific provisions for individually assessed loans	-4 188	-4 444
Provisions for collectively assessed homogeneous groups of loans with limited value	-107	-94
Collective provisions for individually assessed loans	-348	-278
Net impaired loans	3 103	4 028
Total impaired loans reserve ratio, %	59.9	54.5
Proportion of impaired loans, %	0.16	0.21
Impaired loans reserve ratio excluding collective provisions, %	55.4	51.3
Loans past due >60 days which are not impaired	1 061	1 218
Impaired loans reclassified as normal loans during the year	4	167

Loans are classified as impaired if it is probable that the contractual cash flows will not be fulfilled. The full amount of each receivable that gives rise to a specific provision is included in impaired loans even if this amount is partly covered by collateral. Received collateral is thus not taken into account when calculating the reserve ratio.

Change in provision for probable loan losses 2016 SEK m	Provision for individually assessed loans	Collective provision for individually assessed loans	Provision for collectively assessed homogeneous loans	Total provision for probable loan losses
Provision at beginning of year	-4 444	-278	-94	-4 816
The year's provision	-1 899	-62	-67	-2 028
Reversal of previous provisions	377	-	10	387
Utilised for actual loan losses	1 863	-	47	1 910
Foreign exchange effect etc.	-85	-8	-3	-96
Provision at end of year	-4 188	-348	-107	-4 643

Change in provision for probable loan losses 2015 SEK m	Provision for individually assessed loans	Collective provision for individually assessed loans	Provision for collectively assessed homogeneous loans	Total provision for probable loan losses
Provision at beginning of year	-3 734	-284	-93	-4 111
The year's provision	-1 832	-	-49	-1 881
Reversal of previous provisions	372	0	4	376
Utilised for actual loan losses	659	-	-	701
Foreign exchange effect etc.	91	6	2	99
Provision at end of year	-4 444	-278	-94	-4 816

Collective provisions by sector and counterparty type SEK m	Collective provisions 2016	Collective provisions 2015
Private individuals	-66	-61
Housing co-operative associations	-2	-2
Property management	-89	-77
Manufacturing	-52	-45
Retail	-13	-23
Hotel and restaurant	-4	-4
Passenger and goods transport by sea	-27	0
Other transport and communication	-5	-6
Construction	-28	-8
Electricity, gas and water	-4	-8
Agriculture, hunting and forestry	-3	-2
Other services	-12	-15
Holding, investment, insurance companies, mutual funds etc.	-13	-23
Other corporate lending	-30	-4
Credit institutions		
Sovereigns and municipalities		
Total	-348	-278

CALCULATION OF CAPITAL REQUIREMENTS FOR CREDIT RISK

Since 2007, the Bank has had permission from the Swedish Financial Supervisory Authority to calculate the capital requirement for credit risk using the IRB Approach. The permission applies to the consolidated situation led by the parent company Svenska Handelsbanken AB (publ) and the companies Svenska Handelsbanken AB (publ) and Stadshypotek AB (publ). The Bank has since applied for and received equivalent permission for Handelsbanken Finans AB and Handelsbanken Rahoitus Oy. Certain exposures in the subsidiary Handelsbanken Finans (Shanghai) Financial Leasing Co Ltd are also reported according to the IRB Approach.

The Swedish Financial Supervisory Authority has also granted exceptions to Handelsbanken to apply the standardised approach instead of the IRB Approach for certain exposures. These exceptions relate to exposures to sovereigns, the Riksbank (the Swedish central bank) and

Swedish municipalities. Also included are portfolios of insignificant size, as well as the equity exposures held by the Bank at the year-end 2007/2008. For sovereign exposures, in 2015 Handelsbanken applied to implement the IRB Approach, and the application is being reviewed by the Swedish Financial Supervisory Authority.

In 2016, reporting according to the IRB Approach comprised the portfolios in the Swedish regional banks, Regional Bank Norway, Regional Bank Finland, Regional Bank Denmark, Handelsbanken Finans in Sweden and Finland, major parts of the regional banks in the UK and the Netherlands, the Bank's exposures to other banks (institutional exposures) and large parts of the Handelsbanken Capital Markets business area.

In 2010, Handelsbanken received permission from the Swedish Financial Supervisory Authority to report certain portfolios according to the IRB Approach with own estimates of LGD and CCF. The permit refers to counterparties which

are categorised as medium-sized companies, property companies and housing co-operative associations. In 2013, Handelsbanken also received permission from the Swedish Financial Supervisory Authority to report exposures to large corporates on its home markets (excluding the Netherlands) according to the IRB Approach with own estimates of LGD and CCF. The exposures approved for reporting according to the IRB Approach, but not yet with own estimates of LGD and CCF, will for the time being be reported according to the IRB Approach without own estimates of LGD and CCF.

At the end of 2016, the Bank calculated the capital requirement using the IRB Approach for about 79 per cent (80) of the total risk exposure amount. 86 per cent (80) of the corporate exposures reported according to the IRB Approach were reported using the IRB Approach with own estimates of LGD and CCF.

Calculation of capital requirements for credit risk broken down by method and business area 2016

Business area				
Approach	Regional banks Nordic countries ¹	Regional banks UK ¹	Regional Bank The Netherlands ¹	Outside Handelsbanken's home markets ¹
Standardised approach	Sovereign exposures "Insignificant size portfolio" according to FI approval	Sovereign exposures "Insignificant size portfolio" according to FI approval Retail exposures	Sovereign exposures "Insignificant size portfolio" according to FI approval	Sovereign exposures "Insignificant size portfolio" according to FI approval
IRB Approach without own estimates of LGD and CCF	Corporate exposures Institutional exposures Non credit-obligation assets Equity exposures	Corporate exposures Institutional exposures Non credit-obligation assets Equity exposures	Corporate exposures (Large corporates) Institutional exposures Non credit-obligation assets Equity exposures	Corporate exposures (Large corporates) Institutional exposures Non credit-obligation assets Equity exposures Securitisation positions
IRB Approach with own estimates of LGD and CCF	Corporate exposures (Medium-sized companies, Property companies, Housing co-operative apartments) Corporate exposures (Large corporates) Retail exposures	Corporate exposures (Medium-sized companies, Property companies, Housing co-operative apartments) Corporate exposures (Large corporates)		

¹ May include legal entities in addition to the parent company (Stadshypotek, Handelsbanken Finans and others).

Risk rating system

Handelsbanken's risk rating system comprises a number of different systems, methods, processes and procedures to support the Bank's classification and quantification of credit risk.

Handelsbanken's internal rating system is used to measure the credit risk in all operations reliably and consistently. The risk rating builds on the Bank's internal rating, which is based on an assessment of each counterparty's repayment capacity. The rating is determined by the risk of financial strain and by the assessed resistance to this strain. The method and classification are based on the rating model that the Bank has applied for several decades.

The internal rating is the most important component of the Bank's model for calculating the capital requirement in accordance with the IRB Approach. The rating is dynamic; it is reassessed if there are signs that the counterparty's repayment capacity has changed. The rating is also reviewed periodically as stipulated in the regulations. The rating is made by the person responsible for granting the credit and is subsequently checked by independent bodies.

Exposure classes

One of the basic premises of the capital adequacy regulations is that the institution's exposures are categorised into the exposure classes stipulated by the regulations. The number of exposure classes depends on the method used to calculate the credit risk. Exposures to be calculated according to the standardised approach can be allocated to 17 different exposure classes, while there are seven exposure classes in the IRB Approach.

The Bank uses different models for calculating credit risk, depending on the type of exposure. The overall division into exposure classes in the IRB Approach comprises sovereign, institutional, corporate, retail and equity exposures, as well as positions in securitisations. In addition there are also non credit-obligation assets – assets which are not regarded as credits.

Some exposure classes contain sub-groups where special models are applied. In practical terms, the division into exposure classes and sub-groups is made when the officer at a branch or unit responsible for the customer decides, in accordance with internal instructions, which business evaluation template is to be used when assigning the counterparty a rating.

Exposures to states, central banks, government agencies and municipalities are classed as sovereign exposures. Exposures to institutions refer to exposures to counterparties defined as banks and other credit institutions and certain investment firms.

Retail exposures include both exposures to private individuals and to sole traders, where the total exposure within the Group does not exceed SEK 5 million. Also included are legal entities with a maximum turnover of SEK 50 million, where the total exposure within the Group does not exceed SEK 5 million (excluding mortgage loans). Retail exposures are divided into two sub-groups: property loans and other retail exposures.

Corporate exposures refer to exposures to non-financial companies, consisting of legal entities with a total exposure within the Group in excess of SEK 5 million or where the company's turnover is more than SEK 50 million, and sole traders with a total exposure within the Group in excess of SEK 5 million. Apart from ordinary non-financial companies, the exposure class includes insurance companies, housing co-operative associations and exposure in the form of "specialised lending".

Equity exposures refer to the Bank's holdings of shares that are not in the trading book. For equity exposures held by the Bank at the year-end 2007/2008, the risk weight during 2016, in accordance with the Swedish Financial Supervisory Authority's transitional rules, was calculated using the standardised approach. New equity exposures after this date have been calculated using the IRB Approach.

For division into exposure classes according to the standardised approach, the Bank's volumes refer to one of the following exposure classes: sovereign and central banks, municipalities, multilateral development banks, institutions, corporate, retail, exposures with collateral in property, non-performing items, other items and shares. Non-performing items in the standardised approach are exposures where overdue interest or principal amounts have remained unpaid for more than 90 days, calculated from the original contracted payment date. The exposure class called Other items includes prepaid expenses, cash in hand and unminted gold.

Risk classification methods

To quantify its credit risks, the Bank calculates the probability of default (PD), the exposure the Bank is expected to have if a default occurs (exposure amount), and the proportion of the loan that the Bank would be expected to lose in the case of default (loss given default, LGD). Default is defined as the counterparty either being more than 90 days late in making payment or being assessed as unable to pay as contractually agreed, for example if declared bankrupt.

The PD value is expressed as a percentage where, for example, a PD value of 0.5 per cent means that one borrower of 200 with the same PD value is expected to default within one year. A credit in default does not necessarily mean that the Bank will incur a loss since in most cases there is collateral for the exposure. Nor does a default mean that it is out of the question that the counterparty will pay at some time in the future, since the payment problems may be temporary.

For corporate and institutional exposures, the internal rating set for each counterparty is directly converted into a risk class on a scale from 1 to 10 (where risk class 10 refers to defaulted counterparties). Corporate exposures are divided into four counterparty types based on the business evaluation template used for the counterparty. PD is calculated individually for each risk class and counterparty type. For

institutional exposures and the corporate exposures that are subject to a capital requirement according to the IRB Approach without own estimates of LGD and CCF, prescribed values are applied for the loss rates given default (LGD). The prescribed value that may be used is determined by the collateral provided for each exposure.

For retail exposures, the risk class is also based on the internal rating assigned to all credit customers. The rating is not translated directly into a risk class as for corporate exposures; instead, the different exposures are sorted into a number of smaller groups on the basis of certain factors. Such factors include the type of credit, the counterparty's debt-servicing record and whether there are one or more borrowers. An average default rate is calculated for each of the smaller groups, and on the basis of this, the groups are sorted into one of the 10 risk classes. Different models are used for exposures to private individuals and to small companies (that are also classified as retail exposures), but the principle is the same.

For retail exposures and exposures to medium-sized companies, property companies and housing co-operative associations, the LGD is determined using the Bank's own loss history. For exposures to large corporates that are subject to a capital requirement using the IRB Approach with own estimates of LGD and CCF, the LGD is determined on the basis of internal losses and external observations. For retail exposures secured by property in Sweden and for property exposures to medium-sized companies, property companies and housing co-operative associations, different LGD values are applied depending on the loan-to-value ratio of the collateral. For other exposures, the LGD value is determined by factors that may depend on the existence and valuation of collateral, the type of product and similar factors.

For each exposure class, the PD is calculated for each of the risk classes that refer to non-defaulted counterparties or agreements. PD is based on calculations of the historical percentage of defaults for different types of exposure. The average default rate is then adjusted using different margins, such as margins of conservatism.

The Bank expects to receive approval from the Swedish Financial Supervisory Authority soon to use new models for the PD for corporates. These models estimate the long-term PD, including a margin of conservatism and a business cycle adjustment, at the portfolio level. This portfolio PD is then allocated to the various risk classes. Normally the portfolio PD will not vary year to year, although the PD per risk class may do so, as the distribution of counterparties among the risk classes varies over time. When the new models are introduced, the risk weights are expected to be higher, but more stable over the business cycle.

When establishing LGD, the risk measure must reflect the loss rates during economically unfavourable circumstances, known as downturn LGD. For collateral in property, the

downturn LGD is based on observed loss rates from the property crisis in the early 1990s. For other collateral relating to retail exposures, observed LGD is adjusted for downturns by a factor which depends on the PD and type of product. For corporate exposures in the IRB Approach with own estimates of LGD and CCF, the LGD is adjusted for downturns so that the Bank's observed losses in the crisis years of 1991–1996 can be explained by the risk weights with a good margin. For exposures with property collateral, in many cases LGD is estimated on the basis of the property's LTV. Since the value of the property, and consequently also the LTV, usually varies with the business cycle, this means that the capital requirement will also have a cyclical dependency to some extent.

When the exposure amount is to be calculated, certain adjustments are made to the carried exposure. Examples of this are committed loan offers or revolving credits, where the Bank agrees with the customer that the customer may borrow up to a certain amount in the future. This type of commitment constitutes a credit risk that must also be covered by adequate capital. Normally this means that the credit granted is adjusted using a certain credit conversion factor (CCF) for the part of the credit that is unutilised at the time of reporting. For certain product categories for corporate exposures and institutional exposures, the conversion factors are determined by the regulatory code, while for retail exposures and certain product categories for large corporates, medium-sized companies, property companies and housing co-operative associations, the Bank uses its own calculated conversion factors. Here, it is the product referred to that mainly governs the conversion factor, but the utilisation level may also be of relevance.

In addition to the capital adequacy calculation, measures of risk (PD, exposure amounts, LGD) are used to calculate the cost of capital in each individual transaction and to calculate economic capital (EC). This means that conservatism adjustments in the risk measurements are also included in the cost of capital in individual transactions and in calculations of economic capital, which means that the loss levels that the risk measurements imply are conservative. The method used means that the Bank's historical losses have a direct impact on risk calculations and capital requirements.

For corporate, institutional and retail exposures, the graphs, Proportion of exposure amount per product type by PD interval excluding defaulted credits, show how the exposure is distributed between bonds and other interest-bearing securities, loans, derivatives and other products. Other products are, for example, guarantees and committed loan offers. The graphs show how the exposure amounts, excluding credits in default, are distributed between different PD ranges in each exposure class. The PD values used are those applied when calculating the capital requirement.

Comparisons with external ratings

The Bank's risk classes are not directly comparable with the ratings applied by external credit rating agencies. The agencies' ratings do not correspond to a direct classification of the probability of the counterparty defaulting, as the Bank's rating model does. In addition, the rating agencies vary in the extent to which they factor in the seriousness of the losses that default can lead to. The time horizon for which creditworthiness is assessed is not always the same for the Bank as it is for the credit rating agencies. The Bank's risk classes do not state a uniform scale, whereby a certain risk class always corresponds to a certain probability of default. Furthermore, different PD scales are applied to different parts of the credit portfolio and the PD value changes over time.

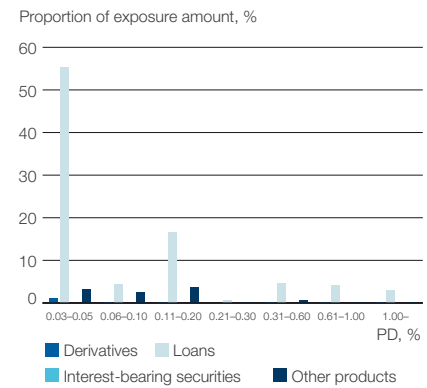
Generally, it is difficult to unambiguously and consistently translate the internal risk classes into an external rating. However, by analysing the historical default rate in Handelsbanken's risk classes in relation to the default rate in the external rating classes according to the Moody's rating agency, a fair table of comparison can be obtained. Shown below are the external rating classes that best correspond to the historical default rate in each of Handelsbanken's risk classes. However, it should be noted that the Bank performs its own credit assessment and that the comparison here is a model which only applies at portfolio level. Individual companies that also have a rating from Moody's may have been given a risk class that deviates from the comparison table. For institutional exposures, there are not sufficient internal defaults, and the rating comparison is instead based on customers with an external credit assessment. Since the comparison is model-based, it should also be noted that changes in the table may both depend on changes at Handelsbanken and on changes at Moody's, or a combination of the two. This year's table has only changed marginally compared to the previous year, since risk class 8 for medium-sized companies and institutions is now linked to the Caa rating instead of to both B and Caa.

Quality assurance of the credit risk model

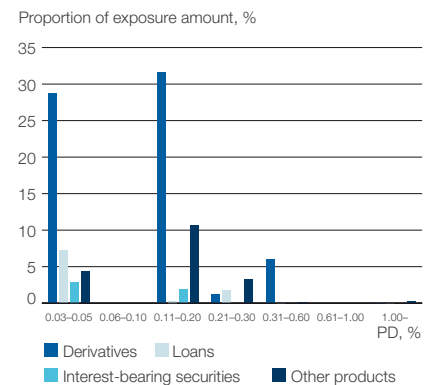
The Bank performs a detailed annual review of its internal rating models. The review checks that the internal ratings on which the Bank's risk classification is based are applied in a consistent, correct and fit-for-purpose manner (evaluation) and also that the models used measure risk in a satisfactory manner (validation).

The purpose of evaluating internal ratings is to ensure that they function well as the central factor in the risk classification of the Bank's counterparties. For example, the analysis includes evaluating whether the rating reflects the risk in the counterparty, that customers are assessed equally regardless of where in the Bank the rating takes place, that the rules for rating are followed and that ratings are updated. The evaluation may highlight ratings in certain parts of the Bank or for

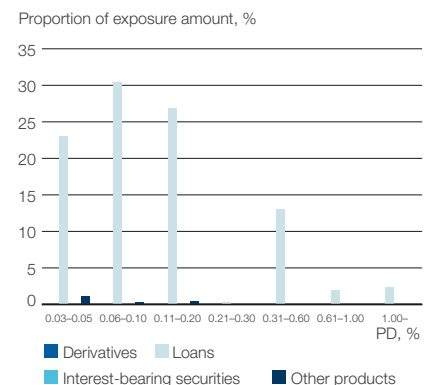
Proportion of exposure amount per product type by PD interval excluding defaulted credits – Corporate exposures



Proportion of exposure amount per product type by PD interval excluding defaulted credits – Institutional exposures



Proportion of exposure amount per product type by PD interval excluding defaulted credits – Retail exposures



certain types of counterparties, with measures being taken to remedy any deficiencies. Such measures may include more frequent, specifically targeted follow-up action, changes to rating instructions or adaptations to models.

The models and risk measurements on which these are based are validated at least annually. The validation aims to ensure that the risk classification system satisfactorily measures the risk in the different risk dimensions: PD, exposure amounts and LGD. They are primarily assessed to ascertain whether the outcomes observed during the past year confirm that the models applied by the Bank function as intended. To achieve this, among other methods a number of statistical tests are used with pre-defined threshold values, so that if there are deficiencies in the models, clear signals are given. The validation may necessitate changes to risk measurements, instructions or models.

The principles for evaluation and validation of the IRB Approach and its constituent models are set by Group Risk Control and approved by the Swedish Financial Supervisory Authority within the framework of the permission to use the IRB Approach. Group Risk Control is responsible for the execution and reports the results of the evaluation and validation to the Bank's CEO, CFO, Board and Risk Committee. Reports and execution are examined by Group Audit as part of the audit of the Bank's IRB Approach to ensure compliance with the established principles. Upon request, the evaluation, validation and audit reports are also sent to the Swedish Financial Supervisory Authority.

Forecasts and outcomes in IRB Approach

In the IRB Approach, the Bank's risks are calculated on the basis of internal experience and observations. The regulations define what the risk measures must reflect and how these are to be quantified. The internal models' forecasts and the actual outcomes are aggregated in the table and graphs on the following pages at exposure class level to provide an overview of the models' function over a longer time period. The table and graphs present forecasts and

outcomes for loss rates per exposure class; here, forecast refers to expected loss (EL). The forecasts and outcomes refer to non-defaulted exposures at a given point in time and defaults arising within 12 months of this date. Regarding losses, it is not unusual that the level is adjusted over time, for example, in pace with recoveries being realised. This means that historical outcomes for LGD and EL may also be adjusted between the years, but normally only the previous year's figure is affected. If adjustments of this kind have been made, the comparison figures in the text below will also be updated. Forecasts and outcomes are at agreement level for retail exposures and at counterparty level for PD and LGD for corporate and institutional exposures. Regarding CCF for corporate exposures, forecasts and outcomes are at agreement level. The last reference date stated in the figures is 30 June 2016, which means that the outcome for the following 12 months is still not complete and is therefore not reported for this date.

To forecast how large the exposure amount will be at default, off-balance-sheet commitments must be managed. For corporate exposures, this is done by multiplying the off-balance-sheet part by the CCF and adding this to the exposure on the balance sheet. For retail exposures, it is done by multiplying the total credit limit by the CCF. For certain risk classes in the internal models with own estimates of CCF, there is a very small number of internal defaults. The figures show the forecasts and outcomes only for the risk classes where a sufficient number of defaults has been observed. Despite this, the outcomes for corporate exposures are based on a relatively small number of observations and to highlight this, the number per observation occasion is also indicated in the figure.

The forecasts show that the internal models generally work very well for predicting the Bank's losses with a margin of conservatism. The trends that can be discerned for the actual outcomes correspond to similar trends in the forecasts. For property exposures in the retail exposure class, EL outcomes are on average

69 per cent (67) lower than forecast. For other retail exposures, the outcomes are on average 42 per cent (41) lower than the forecast, and for corporate exposures they are 32 per cent (34) lower. During the most recent periods, forecasts and outcomes have indicated a stable or decreasing loss rate for both types of retail exposures. Compared with 2015, however, the forecast for EL for other retail exposures has risen slightly.

For corporate exposures, a stabilisation in the EL forecast was observed at June 2016.

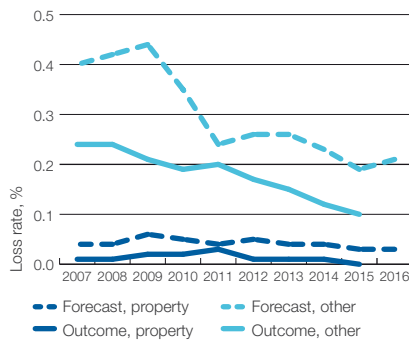
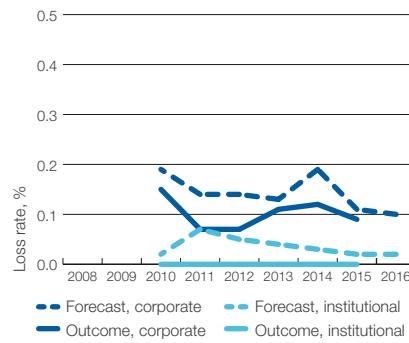
According to the regulations, PD must reflect a long-term average risk of default and is thus not a forecast for an individual year. This means that the probability that the outcome in a certain year is higher than the forecast is much higher for PD than for the other risk parameters. The figure shows that outcomes are in line with forecasts, with a slight variation over time. The outcomes are 12 per cent (17) higher than the forecasts for property exposures and 6 per cent (9) higher for other exposures within the retail exposure class over the period observed. This can be explained by the fact that the forecasts of the long-term average relate to a longer period of time that goes back to before 2007, when a lower outcome was observed. It should be noted that the PD values for mortgage loans are of limited importance to the capital requirement, because the Swedish Financial Supervisory Authority's risk-weight floor for Swedish mortgage loans results in a higher capital requirement. For corporate exposures, the average outcome is 18 per cent (16) lower than the forecast during the period observed.

As regards LGD, the forecast according to the regulations reflects the expected loss given default in unfavourable economic conditions. Here it may be noted that there are considerable margins of conservatism in relation to the loss levels observed since 2007. Average outcomes are 85 per cent (85) lower than the forecasts for property exposures, and 45 per cent (47) lower for other retail exposures. For corporate exposures, the outcomes are 42 per cent (44) lower than the forecasts.

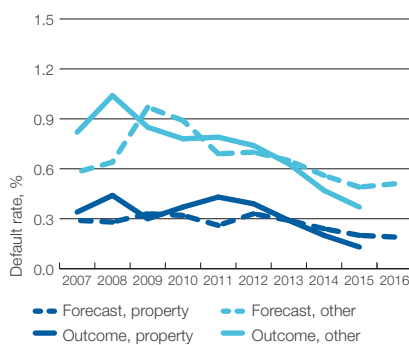
Link between external and internal rating¹

Risk class	Corporate exposures				Institutional exposures
	Large corporates	Medium-sized companies	Property companies	Housing co-operative associations	
1	Aaa, Aa	Aaa, Aa	Aaa, Aa	Aaa, Aa	Aaa, Aa
2	Aaa, Aa	A	A	Aa, A	Aa, A
3	A, Baa	Baa	A, Baa	A, Baa	A
4	A, Baa	Baa, Ba	Baa	A, Baa	Baa
5	Baa, Ba	Ba	Baa, Ba	Baa, Ba	Baa, Ba
6	Ba	Ba, B	Ba, B	Baa, Ba	Ba
7	B	B, Caa	B, Caa	Ba, B	B
8	B, Caa	Caa	B, Caa	B	Caa
9	Caa, C	Caa, C	Caa, C	Caa, C	Caa, C

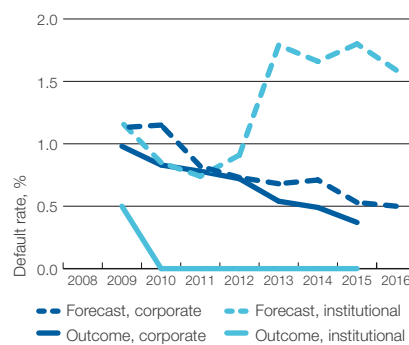
¹ Estimated link between internal risk classes and external rating based on factors such as historical default outcomes.

Retail exposures
EL*Corporate and Institutional exposures
EL

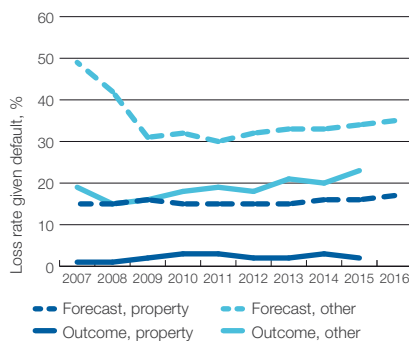
PD*



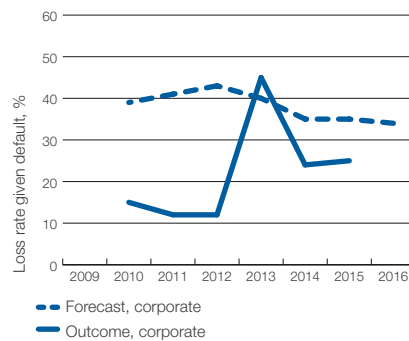
PD



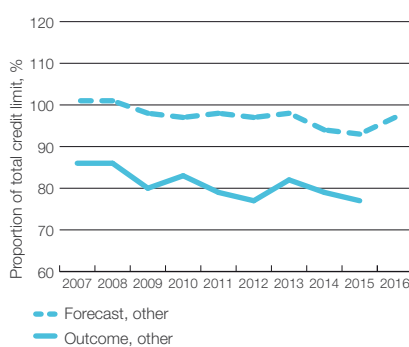
LGD*



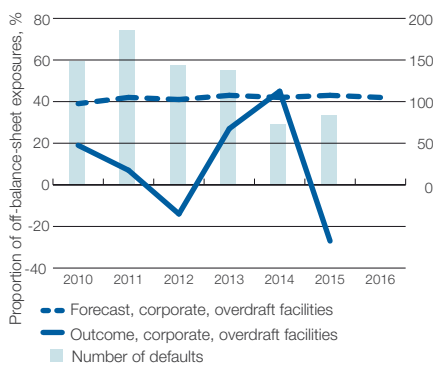
LGD



CCF*



CCF



* Excluding Handelsbanken Finans.

For retail exposures, the outcomes of CCF are 17 per cent (17) lower than the forecasts, and for corporate exposures the outcomes are 77 per cent (60) lower.

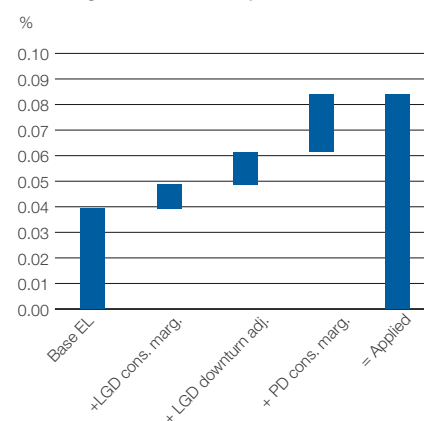
The expected loss rate according to the IRB Approach presented here does not in fact, despite its name, represent the most likely loss level for the Bank. One reason for this is that the PD values used according to the regulations are to correspond to a long-term average. Another reason is that a number of conservative safety adjustments are added to the value calculated using the Bank's IRB Approach. The main aim of these adjustments is to ensure that the Bank's internal models do not underestimate the actual risk.

The graph, Breakdown of EL for IRB-approved exposures excluding defaulted counterparties, illustrates how these adjustments affect the calculated value for expected losses. The first column shows the expected EL value, this being EL based on the historical average default rates and loss rates given default per risk class, which is approximately 0.04 per cent (0.05). The

subsequent columns show how EL is affected when margins and regulatory floors for applied PD levels are introduced.

The safety margins are intended to ensure that the value applied does not underestimate the true risk resulting from various underlying factors, such as the statistical data on which the models are based not being sufficiently comprehensive or the data being uncertain for other reasons. The downturn adjustment corrects measured values so that they are adequate for a period of economic downturn.

Breakdown of EL for IRB-approved exposures excluding defaulted counterparties



Predictions at 30 June 2015 and outcome for the following 12 months for risk parameters in the IRB Approach, Handelsbanken Finans excluded		EL		PD		LGD ¹	
%	Prediction at June 2015, excluding defaults	Loan losses and provisions for defaults within 12 months (proportion of total exposure after credit risk protection)		Prediction at June 2015	Outcome within 12 months	Prediction at June 2015 for defaults within 12 months	Outcome for defaults within 12 months
Exposure class							
Corporate	0.11	0.09		0.53	0.37	35	25
Retail, property	0.03	0.00		0.20	0.13	16	2
Retail, other	0.19	0.10		0.49	0.37	34	23
Institutions	0.02	0.00		1.80	0.00		

Predictions at 30 June 2014 and outcome for the following 12 months for risk parameters in the IRB Approach, Handelsbanken Finans excluded		EL		PD		LGD ¹	
%	Prediction at June 2014, excluding defaults	Loan losses and provisions for defaults within 12 months (proportion of total exposure after credit risk protection)		Prediction at June 2014	Outcome within 12 months	Prediction at June 2014 for defaults within 12 months	Outcome for defaults within 12 months
Exposure class							
Corporate	0.19	0.12		0.69	0.49	35	24
Retail, property	0.03	0.01		0.23	0.20	16	3
Retail, other	0.22	0.12		0.55	0.47	33	20
Institutions	0.03	0.00		1.66	0.00		

¹ Predictions according to IRB Approach with own estimates of LGD and CCF.

COLLATERAL AND MEASURES WHICH REDUCE THE CAPITAL REQUIREMENT

Collateral for the exposures that are approved for the IRB Approach is managed according to two different calculation methods: the IRB Approach without own estimates of LGD and CCF or the IRB Approach with own estimates of LGD and CCF. Collateral affects the capital requirement in different ways in these two approaches. In the IRB Approach without own estimates of LGD and CCF, only certain types of collateral are eligible and the estimates for LGD are applied as prescribed in the regulations. The Bank does, however, accept other types of collateral than those considered to be eligible.

When reporting according to the IRB Approach for exposures that are approved for the IRB Approach with own estimates of LGD and CCF, the Bank applies LGD estimates which it has calculated itself. For these exposures, most collateral types affect the risk-weighted exposure amount and the capital requirement.

The Bank follows up and regularly updates the market value of the collateral used for corporate exposures. A control procedure is established whereby the market value is checked at least every third year for residential properties, and at least annually for other types of property. The value is checked more frequently when there are material changes in factors affecting the property market. For properties with an exposure exceeding EUR 3 million, a new valuation by an independent valuer is made at least every third year.

With the permission of the Swedish Financial Supervisory Authority, the Bank uses volatility

adjustments (so-called haircuts) when calculating capital requirements according to the IRB Approach without own estimates of LGD and CCF for exposures that are secured by financial collateral. This means that in its capital requirement calculations, the Bank adjusts the value of financial collateral based on the historical volatility of the financial collateral instead of using the standardised volatility adjustments otherwise prescribed by the regulations. This method allows for better risk measurement when using financial collateral. Handelsbanken regularly monitors the concentration risk in individual securities. During the year, the additional concentration risk, measured as further indirect exposure based on the regulations for large exposures, which has arisen by using financial collateral in the capital adequacy calculation has on no occasion exceeded 0.7 per cent (0.8) of own funds.

An IRB Approach with own estimates of LGD and CCF is used for retail exposures, where the exposures are categorised into various groups, partly based on the existence of collateral. For most of the property collateral, a segmentation is made based on the loan-to-value of the collateral. The LGD of the exposure is established on the basis of these groups.

For corporate exposures and institutional exposures, the capital requirement is reduced when collateral exists through an adjustment of either PD or LGD. The PD is adjusted in cases where there are approved protection providers, for example, an issuer of a guarantee or surety, with a lower PD value than the borrower. For other types of collateral, the LGD is adjusted.

Handelsbanken has also entered into a large number of netting agreements with, for example, institutional counterparties, thus reducing the exposure. Information concerning the netting effect is presented in the section on Counterparty risks.

Exposures approved for the IRB Approach

For capital requirement calculations of corporate exposures, exposures in property mortgages correspond to about 64 per cent (61) of the total exposure amount. The equivalent figure for guarantees is approximately 6 per cent (6), for financial collateral around 2 per cent (2) and for other collateral around 1 per cent (2).

For retail exposures, exposures secured by collateral in residential properties comprise about 90 per cent (89) of the total exposure amount. Of the remaining exposure amounts, about 1 percentage point (1) can be assigned to some form of collateral, while the other 9 percentage points (10) are assigned an LGD value based on other terms. These terms are chiefly determined by factors such as the type of borrower, type of credit and number of borrowers.

For institutional exposures, financial collateral covers some 54 per cent (57) of the exposure amount. The corresponding figure for guarantees is approximately 3 per cent (2).

Of the exposures covered by guarantees, totalling SEK 71,013 million (67,278), SEK 57,688 million (56,830) relates to guarantees from states and municipalities, SEK 752 million (589) to guarantees from institutions, and SEK 12,572 million (9,859) to guarantees from companies.

Acceptable collateral which reduces the capital requirement, IRB Approach		2016		2015	
SEK m	Type of collateral	Exposure amount covered by collateral	Proportion of exposure amount (%)	Exposure amount covered by collateral	Proportion of exposure amount (%)
Corporate exposures	- Guarantees	66 812	6	63 107	6
	- Receivables	724	0	731	0
	- Financial collateral	22 004	2	22 334	2
	- Property	677 455	64	641 370	61
	- Other collateral	15 302	1	16 463	2
Retail exposures	- Residential property ¹	881 903	90	817 854	89
	- Other collateral	11 112	1	12 570	1
Institutional exposures	- Guarantees	2 922	3	2 658	2
	- Financial collateral	58 242	54	67 791	57
Securitisation positions	- Guarantees	1 279	98	1 513	98
Total		1 737 755	81	1 646 391	79

¹ Including housing co-operative apartments.

Collateral which reduces the capital requirement, exposures calculated according to the standardised approach		2016		2015	
SEK m	Type of collateral	Exposure amount covered by collateral	Proportion of exposure amount (%)	Exposure amount covered by collateral	Proportion of exposure amount (%)
Sovereign & central banks	- Financial collateral	1 814	1	7 142	3
Institutions	- Guarantees	184	2	194	4
	- Financial collateral	3 038	38	733	14
Corporate	- Guarantees	2 202	11	2 699	12
	- Financial collateral	671	3	100	1
Retail	- Guarantees	316	1	240	1
	- Financial collateral	4 255	14	645	2
Collateral in property	- Property	93 767	100	72 466	100
Total		106 247	27	84 221	21

If an exposure is covered by several collateral objects and no individual collateral covers the total exposure, the exposure is divided up into sub-exposures, one for each collateral. The capital requirement is then calculated by sub-exposure, based on the existence of collateral.

Exposures calculated according to the standardised approach

For exposures reported in the institutional, corporate and retail exposure categories according to the standardised approach, and exposures secured by property, collateral totals about 69 per cent (59) of the reported exposure value, of which about 3 percentage points (4) refer to guarantees and the remaining 66 percentage points (55) refer to property and financial collateral.

For all exposures calculated using the standardised approach, the regulations state a risk weight based on the exposure class of the counterparty.

CAPITAL REQUIREMENTS FOR CREDIT RISK

This section presents the credit portfolio based on CRR. The presentations show both the IRB Approach and the standardised approach. Portfolios in the IRB Approach are divided into the IRB Approach with own estimates of LGD and CCF, and the IRB Approach without own estimates of LGD and CCF. When the capital requirement is calculated, this is normally done for the exposure amount, which is the sum of the exposure on the balance sheet and the exposure off the balance sheet multiplied by a conversion factor.

Exposure, exposure amounts and capital requirements

The table, Exposures approved for IRB Approach according to various definitions and details of capital requirements for various exposure classes, shows the exposures and the total exposure amounts within the credit portfolio approved for the IRB approach and their risk-weighted amounts as well as the capital requirement the exposures will generate. Exposures refer to the total exposures on and off the balance sheet.

The exposure amount is the exposure on which the capital requirement is calculated according to CRR. The following are also shown: the average exposure amount during the year, the average risk weight for the exposures (the risk-weighted amount divided by the exposure amount) and the average LGD value applied.

The risk estimates according to the IRB Approach with own estimates of LGD and CCF are based on the Bank's historical outcome data applying the margins of conservatism approved by the Swedish Financial Supervisory Authority. In the IRB Approach with own estimates of LGD and CCF, the capital requirement is also affected by the maturity of the credit, unlike in the IRB Approach without own estimates.

For corporate exposures, SEK 64,628 million (66,549) is covered by guarantees from counterparties within the sovereign and municipal exposure class and also the institutional class. This reduces the exposure amount. The corresponding figure for institutional exposures is SEK 3,220 million (3,175). When there is a guarantor with lower PD than the counterparty, the capital requirement is calculated based on

this instead of the original counterparty. This is known as substitution. This means that the guarantor's more advantageous PD can be used instead of the borrower's PD. On the other hand, the capital requirement does not take account of the fact that the credit risk is less, since both the borrower and the guarantor must default in order for the Bank to incur a loan loss.

For the parts of the credit portfolio which are not approved for the IRB Approach and also where a permanent or time-limited approval has been given by the Swedish Financial Supervisory Authority, the capital requirements for credit risk in 2016 are calculated using the standardised approach. The table on the next page, Credits in the parts of the credit portfolio for which capital requirements are calculated using the standardised approach, shows the exposure and capital requirement for this part of the portfolio.

When calculating risk weights according to the standardised approach, information regarding the external rating from external rating agencies is used where applicable. Handelsbanken uses an external rating from Standard & Poor's for sovereign exposures and exposures to central banks, municipal exposures, institutional exposures and corporate exposures. The table below shows the exposure values for each credit quality step. No deduction is made from own funds for exposures in the standardised approach with an external rating.

Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2016

SEK m	Sovereign and central banks		Municipalities		Institutions		Corporate	
	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value
Credit quality step								
1	245 770	255 575	24 428	54 908	673	764	-	-
2	73	73	-	-	6 417	3 119	4 151	0
3	49	48	-	-	434	190	-	-
4	93	50	-	-	128	56	-	-
5	2	2	-	-	152	33	-	-
6	0	0	-	-	-	-	-	-

Exposures approved for IRB Approach according to various definitions and details of capital requirements for various exposure classes 2016

SEK m	Exposure	Exposure amount	Of which off-balance-sheet	Average exposure amount	Risk-weighted exposure amount	Average risk weight, %	Exposure amount-weighted LGD, %	Capital requirement
Corporate exposures	1 302 414	1 008 897	130 616	1 015 055	202 205	20.0	27	16 176
of which repos and securities loans	8 005	8 005	156	-	85	1.1	-	7
of which other lending, IRB Approach without own estimates of LGD and CCF	212 655	132 863	69 520	-	40 028	30.1	-	3 202
of which other lending, IRB Approach with own estimates of LGD and CCF	1 081 754	868 029	60 940	-	162 092	18.7	25	12 967
of which large corporates	249 223	126 774	33 749	-	57 176	45.1	-	4 574
of which medium-sized companies	97 508	81 640	9 928	-	32 486	39.8	-	2 599
of which property companies	539 485	473 868	13 653	-	65 101	13.7	-	5 208
of which housing co-operative associations	195 538	185 747	3 610	-	7 329	3.9	-	586
Retail exposures	983 951	982 270	54 308	961 553	72 398	7.4	18	5 792
Private individuals	955 599	955 346	47 561	934 342	65 258	6.8	17	5 221
of which property loans	874 257	874 253	19 879	-	48 178	5.5	-	3 854
of which other	81 342	81 093	27 682	-	17 080	21.1	-	1 367
Small companies	28 352	26 924	6 747	27 211	7 140	26.5	32	571
of which property loans	7 650	7 650	27	-	1 706	22.3	-	137
of which other	20 702	19 274	6 720	-	5 434	28.2	-	434
Institutional exposures	113 442	105 185	13 235	107 939	17 397	16.5	19	1 392
of which repos and securities loans	14 070	14 070	9 004	-	631	4.5	-	50
of which other lending	99 372	91 115	4 231	-	16 766	18.4	-	1 342
Equity exposures	1 340	1 340	-	3 290	4 959	370	-	397
of which listed equities								
of which other equities	1 340	1 340	-	-	4 959	370	-	397
Non credit-obligation assets	2 387	2 387	-	2 309	2 387	100	-	191
Securitisation positions	1 302	22	-	23	24	105.9	-	2
of which traditional securitisation	1 302	22	-	23	24	105.9	-	2
of which synthetic securitisation	-	-	-	-	-	-	-	-
Total IRB	2 404 836	2 100 101	198 159	2 090 169	299 370	14.3	-	23 950
of which repos and securities loans	22 075	22 075	9 160	-	715	3.24	-	57
of which operations in the trading book	11 339	11 339	-	-	285	2.5	-	23
of which other lending, IRB Approach without own estimates of LGD and CCF	317 056	227 727	64 591	-	64 164	28.2	-	5 134
of which other lending, IRB Approach with own estimates of LGD and CCF	2 065 705	1 850 299	124 408	-	234 491	12.7	-	18 759

Credits in the parts of the credit portfolio for which capital requirements are calculated using the standardised approach, details of capital requirements for various exposure classes where exposures exist 2016

SEK m	Exposure	Exposure value	Of which off-balance-sheet	Average exposure value	Risk-weighted exposure amount	Average risk weight, %	Capital requirement
Sovereign and central banks	245 987	255 748	17 169	476 711	77	0.0	6
Municipalities	24 428	54 908	13 669	55 687	22	0.0	2
Multilateral development banks	636	636	0	584	0	0.0	0
International organisations	49	49	0	18	0	0.0	0
Institutions	7 958	4 215	1 489	4 401	343	8	27
Corporate	19 807	10 640	7 314	11 633	10 017	94	801
Retail	30 212	17 042	11 880	16 281	12 737	75	1 019
Property mortgages	93 767	92 087	7 369	86 361	33 316	36	2 665
Past due items	317	199	10	193	258	130	21
Equities	6 796	6 796	0	6 906	16 126	237	1 290
of which listed equities	0	0	0	117	0	0	0
of which other equities	6 796	6 796	0	6 789	16 126	237	1 290
Other items	10 388	8 571	604	7 133	8 000	93	641
Total standardised approach	440 345	450 891	59 504	665 908	80 896	17.9	6 472
Total IRB and standardised approach	2 845 181	2 550 992	257 663	2 756 077	380 266	14.9	30 422

Exposures approved for IRB Approach according to various definitions and details of capital requirements for various exposure classes 2015

SEK m	Exposure	Exposure amount	Of which off-balance-sheet	Average exposure amount	Risk-weighted exposure amount	Average risk weight, %	Exposure amount-weighted LGD, %	Capital requirement
Corporate exposures	1 268 906	992 382	137 902	980 353	210 429	21	27	16 834
of which repos and securities loans	9 324	9 324	2 910	-	260	2.8	-	21
of which other lending, IRB Approach without own estimates of LGD and CCF	222 737	143 430	74 287	-	42 501	30	-	3 400
of which other lending, IRB Approach with own estimates of LGD and CCF	1 036 845	839 628	60 705	-	167 668	20	25	13 413
of which large corporates	249 919	137 749	35 581	-	61 130	44	-	4 890
of which medium-sized companies	93 896	76 639	9 760	-	32 888	43	-	2 631
of which property companies	517 076	456 871	12 203	-	67 647	15	-	5 412
of which housing co-operative associations	175 953	168 369	3 161	-	6 003	4	-	480
Retail exposures	922 236	918 324	54 027	899 383	66 245	7	18	5 300
Private individuals	893 543	891 487	47 716	872 218	58 841	7	17	4 707
of which property loans	810 315	810 312	20 165	-	43 517	5	-	3 481
of which other	83 228	81 175	27 551	-	15 324	19	-	1 226
Small companies	28 693	26 837	6 311	27 166	7 404	28	34	593
of which property loans	7 551	7 541	12	-	2 016	27	-	161
of which other	21 142	19 296	6 299	-	5 388	28	-	432
Institutional exposures	124 831	117 263	11 508	138 140	20 471	18	18	1 638
of which repos and securities loans	31 143	31 143	7 031	-	424	1.4	-	34
of which other lending	93 688	86 120	4 477	-	20 047	23	-	1 604
Equity exposures	5 229	5 229	-	5 666	15 815	302	-	1 265
of which listed equities	4 418	4 418	-	-	12 811	290	-	1 025
of which other equities	811	811	-	-	3 004	370	-	240
Non credit-obligation assets	2 348	2 348	-	2 259	2 348	100	-	188
Securitisation positions	1 541	28	-	84	2	7	-	0
of which traditional securitisation	1 541	28	-	84	2	7	-	0
of which synthetic securitisation	-	-	-	-	-	-	-	-
Total IRB	2 325 091	2 035 574	203 437	2 025 884	315 310	15.5	-	25 225
of which repos and securities loans	40 467	40 467	9 941	-	683	1.7	-	55
of which operations in the trading book	29 733	29 733	290	-	110	0.4	-	9
of which other lending, IRB Approach without own estimates of LGD and CCF	325 543	237 156	78 764	-	80 714	34	-	6 457
of which other lending, IRB Approach with own estimates of LGD and CCF	1 959 081	1 757 951	114 732	-	233 912	13.3	-	18 713

Credits in the parts of the credit portfolio for which capital requirements are calculated using the standardised approach, details of capital requirements for various exposure classes where exposures exist 2015

SEK m	Exposure	Exposure value	Of which off-balance-sheet	Average exposure value	Risk-weighted exposure amount	Average risk weight, %	Capital requirement
Sovereign and central banks	267 634	270 402	23 539	500 265	72	0.0	6
Municipalities	25 348	58 231	13 072	61 841	18	0.0	1
Multilateral development banks	649	649	1	661	0	0.0	0
International organisations	1	1	0	7	0	0.0	0
Institutions	5 302	4 162	1 865	3 420	603	15	48
Corporate	21 868	12 232	8 814	10 703	11 570	95	926
Retail	31 588	22 417	11 514	21 988	16 774	75	1 342
Property mortgages	72 466	70 925	6 307	66 966	25 367	36	2 029
Past due items	321	229	10	234	319	139	25
Equities	7 978	7 978	0	8 238	17 308	217	1 385
of which listed shares	249	249	0	689	249	100	20
of which other shares	7 729	7 729	0	7 549	17 059	221	1 365
Other items	8 954	9 034	406	8 205	8 375	93	671
Total standardised approach	442 109	456 260	65 528	682 528	80 406	18	6 433
Total IRB and standardised approach	2 767 200	2 491 834	268 965	2 708 412	395 716	16	31 658

Geographical breakdown

IRB-approved exposures by country, divided into corporate, retail, institutional exposures and securitisation positions 2016

SEK m	Corporate exposures	Retail exposures		Institutional exposures	Securitisation positions	
		Private individuals	Small companies		Traditional	Synthetic
Sweden	694 536	760 709	23 195	105 568	-	-
UK	169 191	-	-	84	-	-
Norway	215 888	96 370	1 003	302	-	-
Denmark	57 714	58 852	2 863	139	-	-
Finland	100 784	39 668	1 291	13	-	-
USA	33 285	-	-	5 625	1 302	-
The Netherlands	2 430	-	-	-	-	-
Other countries	28 586	-	-	1 711	-	-
Total	1 302 414	955 599	28 352	113 442	1 302	-

IRB-approved exposures by country, divided into corporate, retail, institutional exposures and securitisation positions 2015

SEK m	Corporate exposures	Retail exposures		Institutional exposures	Securitisation positions	
		Private individuals	Small companies		Traditional	Synthetic
Sweden	701 871	720 784	23 597	90 794	-	-
UK	174 793	-	-	505	-	-
Norway	178 782	84 196	994	260	-	-
Denmark	52 800	50 790	2 872	16	-	-
Finland	92 545	37 773	1 230	22	-	-
USA	31 884	-	-	25 582	1 541	-
The Netherlands	4 472	-	-	-	-	-
Other countries	31 759	-	-	7 652	-	-
Total	1 268 906	893 543	28 693	124 831	1 541	-

Exposures calculated using the standardised approach by country, broken down by exposure classes, details of capital requirement for exposure classes where there are exposures 2016

SEK m	Sovereign and central banks	Municipalities	Multilateral development banks	International organisations	Institutions	Corporate	Retail	Property mortgages	Past due items	Other items	Equity
Sweden	19 010	16 625	636	49	7 508	2 454	5 447	-	9	7 906	6 749
UK	63 690	-	-	-	32	763	15 193	56 475	109	185	-
Norway	6 331	101	-	-	-	738	1 929	578	0	156	-
Denmark	20 926	52	-	-	9	1 790	4 294	-	4	289	3
Finland	103 226	7 650	-	-	53	167	1 270	-	2	494	44
USA	30 519	-	-	-	-	278	2	13	-	453	-
The Netherlands	395	-	-	-	15	5 146	663	31 477	3	13	-
Other countries	1 890	-	0	-	341	8 471	1 414	5 224	190	891	-
Total standardised	245 987	24 428	636	49	7 958	19 807	30 212	93 767	317	10 387	6 796

Exposures calculated using the standardised approach by country, broken down by exposure classes, details of capital requirement for exposure classes where there are exposures 2015

SEK m	Sovereign and central banks	Municipalities	Multilateral development banks	International organisations	Institutions	Corporate	Retail	Property mortgages	Past due items	Other items	Equity
Sweden	40 924	17 787	649	1	4 990	4 363	4 139	-	1	7 301	7 648
UK	55 921	-	-	-	10	1 363	21 476	47 446	82	272	-
Norway	8 321	67	-	-	3	960	1 738	502	-	264	290
Denmark	15 653	1	-	-	47	1 074	1 434	-	16	330	2
Finland	50 292	7 493	-	-	40	306	1 101	-	1	673	38
USA	94 731	-	-	-	4	872	0	36	-	37	-
The Netherlands	377	-	-	-	-	5 194	521	19 699	2	7	-
Other countries	1 415	-	-	-	208	7 736	1 179	4 783	219	70	-
Total standardised	267 634	25 348	649	1	5 302	21 868	31 588	72 466	321	8 954	7 978

Exposure amounts/exposure values by country broken down into volumes calculated according to the IRB Approach and the standardised approach SEK m	2016		2015	
	IRB	Standardised	IRB	Standardised
Sweden	1 423 067	71 690	1 383 023	96 026
UK	145 237	130 982	149 247	121 799
Norway	110 148	24 907	236 556	10 582
Denmark	101 511	134 842	98 473	18 171
Finland	276 903	8 067	96 627	77 778
USA	1 281	32 295	43 195	97 145
The Netherlands	23 565	32 171	2 810	20 624
Other countries	18 389	15 937	25 643	14 135
Total	2 100 101	450 891	2 035 574	456 260

Breakdown by sector and type of counterparty

IRB-approved exposures by sector and counterparty type, broken down into exposure classes SEK m	2016		2015	
	of which SME ¹		of which SME ¹	
Retail exposures				
Private individuals	955 599	-	893 543	-
SME ¹	28 352	-	28 693	-
Corporate exposures				
Housing co-operative associations	198 335	198 316	179 182	179 182
Property management	591 541	383 362	565 523	364 725
Manufacturing	89 177	11 060	96 329	10 903
Retail	43 013	12 362	45 481	12 274
Hotel and restaurant	8 418	6 118	8 686	6 300
Passenger and goods transport by sea	13 905	405	19 112	755
Other transport and communication	29 507	8 478	26 746	4 613
Construction	37 508	17 749	34 216	14 441
Electricity, gas and water	46 388	5 635	44 282	6 272
Agriculture, hunting and forestry	14 759	8 239	13 780	7 617
Other services	31 810	14 238	30 572	14 493
Holding, investment, insurance companies, mutual funds etc.	141 371	14 385	153 300	16 563
Other corporate lending	56 682	5 591	51 698	4 348
Institutional exposures	113 442	-	124 831	-
Securitisation positions	1 302	-	1 541	-
Total	2 401 109	685 938	2 317 513	642 489

¹ SME: Small and medium-sized enterprises.

Exposures calculated using the standardised approach by sector, broken down by exposure class SEK m	2016		2015	
	of which SME ¹		of which SME ¹	
Sovereign and central bank exposures	245 987		267 634	
Regional government or local authorities exposures	24 428		25 348	
Public sector entities				
Multilateral development banks	636		649	
International organisations	49		1	
Institutional exposures	7 958		5 302	
Corporate exposures				
Property management	11 818	11 817	12 206	12 204
Other corporate lending	7 989	2 195	9 663	2 226
Retail exposures				
Private individuals	24 630		28 710	
Property management	147		168	
SME ¹	5 434		2 709	
Secured by mortgages on immovable property				
Property management	24 197	24 176	14 751	14 723
Other lending	69 571	228	57 715	152
Exposures in default				
Private individuals	187		194	
Property management	39	39	37	37
Other lending	91	76	90	80
Equity exposures	6 796		7 978	
Other items	10 388		8 954	
Total	440 345	38 531	442 109	29 422

¹ SME: Small and medium-sized enterprises.

Information about maturities for capital adequacy

IRB-approved exposures broken down by maturity¹ according to capital adequacy regulations 2016

SEK m	Exposure amount	< 1 yr	1 yr	1 yr < 2.5 yrs	2.5 yrs	2.5 yrs < 5 yrs	5 yrs
Corporate exposures	1 008 897	8 005	248 069	156 603	132 928	162 562	300 730
Institutional exposures	105 185	14 070			91 115		
Total	1 114 082	22 075	248 069	156 603	224 043	162 562	300 730

IRB-approved exposures broken down by maturity¹ according to capital adequacy regulations 2015

SEK m	Exposure amount	< 1 yr	1 yr	1 yr < 2.5 yrs	2.5 yrs	2.5 yrs < 5 yrs	5 yrs
Corporate exposures	992 382	9 324	213 693	164 675	143 430	162 875	298 385
Institutional exposures	117 263	31 152			86 111		
Total	1 109 645	40 476	213 693	164 675	229 541	162 875	298 385

¹ The maturity factor M is only calculated for corporate exposures when applying the IRB Approach with own estimates of LGD and CCF. Other exposures are reported in the table with M=2.5. For other maturities, see the table on page 51: Maturity analysis for financial assets and liabilities.

Risk weight and breakdown into risk classes

The tables below show exposures approved for the IRB Approach broken down into risk classes. The same information is presented according to a geographical breakdown. Exposures within a risk class may have different PD values. The PD values in the tables are therefore expressed as exposure-weighted average PD. The breakdown is shown for corporate, institutional and retail exposures.

The PD values applied in the IRB Approach for corporate and retail exposures are based on the Bank's own loss and default history. For large corporates, PD is also estimated on the basis of external observations. Handelsbanken's low, stable default rates and loan loss ratio means that the Bank's PD values are low, particularly in good risk classes where defaults have been extremely rare even in times of major economic turbulence. The risk weights are also affected by the LGD values used. These are also calculated on the basis of the Bank's own loss history for all exposures covered by the IRB Approach with own estimates of LGD and CCF.

The applied PD and LGD include margins of conservatism. Comprehensive tests have also been performed to ensure that the risk

measures are applicable to the Bank's current portfolios. This means that differences between banks' average risk weights are due to the credit quality of the existing exposures and the historic loan losses.

Differing portfolio composition is another factor which leads to variations in different banks' average risk weights for various exposure classes. An important aspect is how banks have chosen to categorise their exposures. Handelsbanken has classified its lending to housing co-operative associations as corporate exposures while certain other banks have decided to classify this as retail exposures. At the same time, lending to housing co-operative associations has lower risk than corporate lending on average. This means that the total average risk weight for the corporate exposures class, including housing co-operative associations, will be lower for Handelsbanken than for banks which have classified housing co-operative associations as retail exposures. The average risk weight for corporate exposures excluding housing co-operative associations is 23.7 per cent (24.8).

Handelsbanken's choice is conservative since exposures which are classified as

corporates have a higher risk weight in the IRB Approach than retail exposures with the same risk measure.

The Bank has very low exposures to counterparties in poorer risk classes. For corporate exposures, 97 per cent (97) of the exposure amount is in risk class 1–5 with low PD values. The corresponding figure for institutional exposures is 100 per cent (100). For retail exposures – private individuals and small companies – the corresponding figures in the better risk classes are 98 per cent (97) and 89 per cent (88), respectively. A clear majority of the Bank's exposures are in risk classes 1–4, which means that the average risk level in the credit portfolio is significantly lower than the level which is assessed as normal risk.

The risk weights applied by Handelsbanken result in a capital requirement that is, in relation to the Bank's actual historical loan losses in the past 10 years, considerably higher than the corresponding ratio for other Nordic and European banks on average. This means that Handelsbanken's risk weights are more cautious in relation to the Bank's historical losses than in models applied by other banks.

Breakdown, risk class according to IRB Approach

IRB-approved corporate exposures, broken down by risk class

	2016					2015				
SEK m	Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount		Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount	
Risk class 1	0.03	93 757	9.29		9.29	0.03	97 508	9.83		9.83
Risk class 2	0.04	287 518	28.50		37.79	0.04	286 571	28.88		38.71
Risk class 3	0.08	383 952	38.06		75.85	0.09	362 642	36.53		75.24
Risk class 4	0.26	154 643	15.33		91.18	0.26	152 811	15.40		90.64
Risk class 5	0.82	61 452	6.09		97.27	0.80	61 388	6.19		96.83
Risk class 6	2.86	10 019	0.99		98.26	2.91	14 030	1.41		98.24
Risk class 7	8.77	6 876	0.68		98.94	7.95	7 361	0.74		98.98
Risk class 8	15.71	3 340	0.33		99.27	15.91	1 970	0.20		99.18
Risk class 9	32.70	760	0.08		99.35	31.96	603	0.06		99.24
Defaults	100.00	6 580	0.65		100.00	100.00	7 498	0.76		100.00
Total		1 008 897	100.00				992 382	100.00		
	Risk class 1–5	981 322				Risk class 1–5	960 920			
	Risk class 1–5	97.27%				Risk class 1–5	96.83%			

IRB-approved institutional exposures, broken down by risk class

SEK m	2016					2015				
	Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount		Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount	
Risk class 1	0.05	45 447	43.21		43.21	0.05	38 010	32.41		32.41
Risk class 2	0.12	46 709	44.40		87.61	0.12	33 412	28.49		60.90
Risk class 3	0.21	6 342	6.03		93.64	0.21	45 576	38.88		99.78
Risk class 4	0.51	6 487	6.17		99.81	0.51	110	0.09		99.87
Risk class 5	1.24	92	0.09		99.90	1.24	88	0.07		99.94
Risk class 6	2.55	75	0.07		99.97	2.55	22	0.02		99.96
Risk class 7	13.25	25	0.02		99.99	13.25	24	0.02		99.98
Risk class 8	35.00	-	-		99.99	35.31	15	0.01		99.99
Risk class 9	35.00	8	0.01		100.00	35.31	6	0.01		100.00
Defaults	100.00	-	-			100.00	-	-		
Total		105 185	100.00				117 263	100.00		
	Risk class 1-5	105 077				Risk class 1-5	117 196			
	Risk class 1-5	99.90%				Risk class 1-5	99.94%			

IRB-approved retail exposures, private individuals, broken down by risk class

SEK m	2016					2015				
	Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount		Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount	
Risk class 1	0.04	264 590	27.70		27.70	0.04	242 512	27.20		27.20
Risk class 2	0.07	340 306	35.62		63.32	0.07	316 737	35.53		62.73
Risk class 3	0.15	205 825	21.54		84.86	0.14	191 789	21.51		84.24
Risk class 4	0.38	84 377	8.83		93.69	0.37	82 190	9.22		93.46
Risk class 5	0.78	38 238	4.00		97.69	0.77	34 911	3.92		97.38
Risk class 6	2.33	5 121	0.54		98.23	1.91	5 451	0.61		97.99
Risk class 7	4.34	7 968	0.83		99.06	3.74	8 131	0.91		98.90
Risk class 8	3.71	1 591	0.17		99.23	3.03	1 760	0.20		99.10
Risk class 9	8.10	5 439	0.57		99.80	6.84	5 942	0.67		99.77
Defaults	100.00	1 891	0.20		100.00	100.00	2 064	0.23		100.00
Total		955 346	100.00				891 487	100.00		
	Risk class 1-5	933 336				Risk class 1-5	868 139			
	Risk class 1-5	97.70%				Risk class 1-5	97.38%			

IRB-approved retail exposures, small companies, broken down by risk class

SEK m	2016					2015				
	Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount		Exposure amount-weighted average PD, %	Exposure amount	Proportion exposure amount, %	Accum. % of total exposure amount	
Risk class 1	0.16	7 098	26.36		26.36	0.14	6 962	25.95		25.95
Risk class 2	0.52	6 688	24.84		51.20	0.43	6 507	24.25		50.20
Risk class 3	0.77	2 856	10.61		61.81	0.73	2 837	10.57		60.77
Risk class 4	1.05	5 114	18.99		80.80	0.96	5 107	19.03		79.80
Risk class 5	2.97	2 084	7.74		88.54	2.63	2 126	7.92		87.72
Risk class 6	4.10	989	3.67		92.21	3.66	1 082	4.03		91.75
Risk class 7	5.78	586	2.18		94.39	4.82	620	2.31		94.06
Risk class 8	9.03	521	1.94		96.33	7.07	610	2.27		96.33
Risk class 9	20.05	382	1.42		97.75	17.02	355	1.32		97.65
Defaults	100.00	606	2.25		100.00	100.00	631	2.35		100.00
Total		26 924	100.00				26 837	100.00		
	Risk class 1-5	23 840				Risk class 1-5	23 539			
	Risk class 1-5	88.55%				Risk class 1-5	87.71%			

Breakdown, risk class and country

IRB-approved corporate exposures, broken down by risk class and country 2016

%	Exposure amount-weighted average PD	Exposure, SEK m	Proportion exposure amount	Accum. of total exposure amount	Exposure amount-weighted average LGD	Sweden	UK	Norway	Denmark	Finland	USA	The Netherlands	Other countries
Risk class 1	0.03	93 757	9.29	9.29	24.36	9.96	0.82	13.13	2.04	9.66	36.73	15.98	8.21
Risk class 2	0.04	287 518	28.50	37.79	23.38	30.25	20.08	25.24	20.42	42.25	23.01	36.41	55.06
Risk class 3	0.08	383 952	38.06	75.85	27.08	37.16	46.77	39.35	37.86	28.78	30.97	36.09	21.58
Risk class 4	0.26	154 643	15.33	91.18	28.83	14.05	24.11	12.79	25.58	10.40	7.97	8.71	6.19
Risk class 5	0.82	61 452	6.09	97.27	30.63	6.88	5.05	5.76	7.36	3.87	1.17	2.81	3.48
Risk class 6	2.86	10 019	0.99	98.26	33.74	0.75	1.47	1.06	0.78	1.69	0.15	-	3.11
Risk class 7	8.77	6 876	0.68	98.94	35.73	0.48	0.51	1.13	0.44	1.72	-	-	1.64
Risk class 8	15.71	3 340	0.33	99.27	37.25	0.11	0.35	1.09	0.25	0.34	-	-	0.06
Risk class 9	32.70	760	0.08	99.35	39.07	0.10	0.02	0.07	0.05	0.04	-	-	-
Defaults	100.00	6 580	0.65	100.00	41.94	0.26	0.82	0.38	5.22	1.25	-	-	0.67
Total		1 008 897	100.00										
		Risk class 1-5	981 322										
		Risk class 1-5	97.27%										

IRB-approved institutional exposures, broken down by risk class and country 2016

%	Exposure amount-weighted average PD	Exposure, SEK m	Proportion exposure amount	Accum. of total exposure amount	Exposure amount-weighted average LGD	Sweden	UK	Norway	Denmark	Finland	USA	The Netherlands	Other countries
Risk class 1	0.05	45 447	43.21	43.21	20.08	42.55	90.09	20.01	4.67	-	-	-	44.99
Risk class 2	0.12	46 709	44.40	87.61	16.02	46.76	2.80	73.39	0.96	10.64	58.68	-	7.89
Risk class 3	0.21	6 342	6.03	93.64	27.90	4.20	1.59	0.04	59.13	9.95	5.83	-	47.03
Risk class 4	0.51	6 487	6.17	99.81	14.97	6.37	4.68	0.47	0.15	77.46	31.51	-	0.05
Risk class 5	1.24	92	0.09	99.90	38.31	0.08	0.08	4.25	0.53	-	3.98	-	0.04
Risk class 6	2.55	75	0.07	99.97	45.00	0.01	0.07	1.68	34.56	-	-	-	-
Risk class 7	13.25	25	0.02	99.99	45.00	0.02	0.69	0.16	-	1.95	-	-	-
Risk class 8	35.00	-	-	99.99	45.00	-	-	-	-	-	-	-	-
Risk class 9	35.00	8	0.01	100.00	-	0.01	-	-	-	-	-	-	-
Defaults	100.00	-	-	-	-	-	-	-	-	-	-	-	-
Total		105 185	100.00										
		Risk class 1-5	105 077										
		Risk class 1-5	99.90%										

IRB-approved retail exposures, private individuals, broken down by risk class and country 2016

%	Exposure amount-weighted average PD	Exposure, SEK m	Proportion exposure amount	Accum. of total exposure amount	Exposure amount-weighted average LGD	Sweden	UK	Norway	Denmark	Finland	USA	The Netherlands	Other countries
Risk class 1	0.04	264 590	27.70	27.70	14.67	30.64	-	-	22.83	49.49	-	-	-
Risk class 2	0.07	340 306	35.62	63.32	17.26	34.84	-	33.80	57.49	21.97	-	-	-
Risk class 3	0.15	205 825	21.54	84.86	17.53	20.37	-	41.76	14.88	2.13	-	-	-
Risk class 4	0.38	84 377	8.83	93.69	19.94	10.40	-	-	2.87	10.10	-	-	-
Risk class 5	0.78	38 238	4.00	97.69	29.00	1.64	-	22.33	-	9.30	-	-	-
Risk class 6	2.33	5 121	0.54	98.23	20.02	0.65	-	-	-	0.49	-	-	-
Risk class 7	4.34	7 968	0.83	99.06	26.56	0.64	-	1.19	1.17	3.20	-	-	-
Risk class 8	3.71	1 591	0.17	99.23	22.57	0.13	-	0.58	-	-	-	-	-
Risk class 9	8.10	5 439	0.57	99.80	20.00	0.57	-	0.17	0.19	2.12	-	-	-
Defaults	100.00	1 891	0.20	100.00	39.65	0.12	-	0.17	0.57	1.20	-	-	-
Total		955 346	100.00										
		Risk class 1-5	933 336										
		Risk class 1-5	97.70%										

Breakdown, risk class and country, cont.

IRB-approved retail exposures, small companies, broken down by risk class and country 2016

%	Exposure amount-weighted average PD	Exposure, SEK m	Proportion exposure amount	Accum. of total exposure amount	Exposure amount-weighted average LGD	Sweden	UK	Norway	Denmark	Finland	USA	The Netherlands	Other countries
Risk class 1	0.16	7 098	26.36	26.36	32.05	25.29		23.94	26.30	46.14			
Risk class 2	0.52	6 688	24.84	51.20	31.53	23.62		-	42.60	21.96			
Risk class 3	0.77	2 856	10.61	61.81	30.26	13.16		-	-	1.00			
Risk class 4	1.05	5 114	18.99	80.80	29.17	18.64		38.52	17.68	13.35			
Risk class 5	2.97	2 084	7.74	88.54	35.35	8.24		11.31	3.96	5.59			
Risk class 6	4.10	989	3.67	92.21	31.73	3.98		2.13	2.44	2.62			
Risk class 7	5.78	586	2.18	94.39	36.81	1.97		15.53	-	0.76			
Risk class 8	9.03	521	1.94	96.33	33.33	2.00		2.40	1.70	1.05			
Risk class 9	20.05	382	1.42	97.75	35.43	1.28		4.96	1.06	2.00			
Defaults	100.00	606	2.25	100.00	44.83	1.82		1.21	4.26	5.53			
Total		26 924	100.00										
		Risk class 1–5	23 840										
		Risk class 1–5	88.55%										

Average PD and LGD by country, exposure amount-weighted 2016

%	Corporate		Institute		Retail, property lending		Retail, other	
	PD	LGD	PD	LGD	PD	LGD	PD	LGD
Sweden	0.51	23.97	0.13	17.73	0.22	13.60	2.21	28.67
UK	1.12	25.75	0.17	45.00	-	-	-	-
Norway	0.82	28.83	0.22	45.00	0.39	20.03	0.71	46.50
Denmark	5.55	34.17	1.02	45.00	0.59	32.86	4.33	51.00
Finland	1.62	27.98	0.69	45.00	1.63	27.00	7.02	44.57
The Netherlands	0.17	44.93	-	-	-	-	-	-
Other	0.56	43.87	0.12	28.07	-	-	-	-

Breakdown, risk class according to IRB Approach without own estimates of LGD and CCF

Corporate exposures – IRB Approach without own estimates of LGD and CCF, broken down by risk class

SEK m	2016					2015				
	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %
Risk class 1	26 996	0.03	34.39	3 099	11.48	29 359	0.03	40.33	4 029	13.72
Risk class 2	43 039	0.05	40.56	8 523	19.80	51 281	0.05	37.27	8 363	16.31
Risk class 3	51 133	0.17	36.48	16 285	31.84	48 787	0.17	35.91	15 068	30.88
Risk class 4	12 523	0.39	36.54	5 998	47.90	13 601	0.38	39.58	7 054	51.86
Risk class 5	4 033	0.98	39.17	3 057	75.81	6 227	0.90	42.07	5 144	82.60
Risk class 6	1 243	3.15	42.84	1 523	122.54	1 601	3.17	42.39	1 880	117.45
Risk class 7	916	7.47	44.01	1 487	162.28	454	7.52	41.23	645	142.27
Risk class 8	56	16.58	42.63	93	166.71	114	17.12	39.19	187	163.17
Risk class 9	32	32.98	40.61	48	152.38	179	36.70	44.07	391	218.85
Defaults	897	100.00	43.08	0	0.00	1 151	100.00	53.60	0	0.00
Total	140 868			40 113		152 754			42 761	

Institutional exposures – IRB Approach without own estimates of LGD and CCF, broken down by risk class

SEK m	2016						2015					
	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %	External rating	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %	External rating
Risk class 1	45 447	0.05	20.08	5 378	11.83	Aaa. Aa	38 010	0.05	22.87	5 367	14.12	Aaa. Aa
Risk class 2	46 709	0.12	16.02	7 492	16.04	Aa. A	33 412	0.12	17.29	5 784	17.31	Aa. A
Risk class 3	6 342	0.21	27.90	2 126	33.53	A	45 576	0.21	14.67	9 016	19.78	A
Risk class 4	6 487	0.51	14.97	2 100	32.38	Baa	110	0.51	40.77	94	86.34	Baa
Risk class 5	92	1.24	38.31	96	104.30	Baa. Ba	88	1.24	32.78	77	88.11	Baa. Ba
Risk class 6	75	2.55	45.00	119	159.41	Ba	22	2.55	21.29	16	70.51	Ba
Risk class 7	25	13.25	45.00	63	256.37	B	24	13.25	45.00	59	241.61	B
Risk class 8	-	35.00	-	-	-	Caa	15	35.31	45.00	40	260.71	B. Caa
Risk class 9	8	35.00	45.00	23	281.28	Caa. C	6	35.31	45.00	18	287.55	Caa. C
Defaults	0	100.00	-	-	-	-	-	100.00	-	-	-	-
Total	105 185			17 397			117 263			20 471		

Breakdown, risk class according to IRB Approach with own estimates of LGD and CCF

Corporate exposures – IRB Approach with own estimates of LGD and CCF, broken down by risk class

SEK m	2016					2015				
	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %
Risk class 1	66 761	0.03	20.30	4 522	6.78	68 149	0.03	22.46	4 871	7.15
Risk class 2	244 479	0.03	20.36	17 835	7.30	235 290	0.03	20.98	17 483	7.43
Risk class 3	332 819	0.07	25.63	43 186	12.98	313 855	0.07	25.82	43 054	13.72
Risk class 4	142 120	0.25	28.15	39 761	27.98	139 210	0.25	28.12	39 452	28.34
Risk class 5	57 419	0.81	30.03	28 987	50.48	55 161	0.79	31.00	29 062	52.69
Risk class 6	8 776	2.82	32.45	6 697	76.31	12 429	2.88	33.16	10 693	86.03
Risk class 7	5 960	8.97	34.45	6 608	110.89	6 907	7.98	35.46	7 824	113.28
Risk class 8	3 284	15.70	37.16	5 874	178.87	1 856	15.83	37.20	2 899	156.21
Risk class 9	728	32.69	39.00	1 388	190.74	424	29.96	41.02	778	183.44
Defaults	5 683	100.00	41.76	7 234	127.33	6 347	100.00	41.84	11 552	182.01
Total	868 029			162 092		839 628			167 668	

Retail exposures, of which property loans with own estimates of LGD and CCF, broken down by risk class

SEK m	2016					2015				
	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %
Risk class 1	247 075	0.04	13.18	4 577	1.85	222 603	0.04	13.70	3 977	1.79
Risk class 2	318 191	0.07	15.96	10 852	3.41	296 022	0.07	15.40	9 015	3.05
Risk class 3	197 734	0.14	17.03	11 395	5.76	184 124	0.14	16.86	9 884	5.37
Risk class 4	78 248	0.37	18.61	9 700	12.40	75 427	0.36	19.50	9 720	12.89
Risk class 5	22 371	0.68	19.93	4 340	19.40	20 192	0.65	19.95	3 881	19.22
Risk class 6	4 528	1.41	17.81	802	17.72	4 837	1.17	18.04	915	18.93
Risk class 7	6 227	3.14	20.55	2 922	46.92	6 502	2.43	19.64	2 568	39.49
Risk class 8	1 399	3.36	20.24	570	40.72	1 560	2.77	20.58	637	40.86
Risk class 9	5 200	7.79	19.24	2 901	55.79	5 609	6.49	18.27	2 812	50.13
Defaults	930	100.00	21.95	1 825	196.04	977	100.00	24.30	2 124	217.31
Total	881 903			49 884		817 853			45 533	

Retail exposures, of which other with own estimates of LGD and CCF, broken down by risk class

SEK m	2016					2015				
	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %	Exposure amount	Exposure amount-weighted average PD, %	Exposure amount-weighted average LGD, %	Risk-weighted exposure amount	Average risk weight, %
Risk class 1	24 613	0.10	34.66	2 062	8.37	26 871	0.08	40.12	2 297	8.55
Risk class 2	28 803	0.18	35.05	2 990	10.38	27 223	0.17	27.87	2 412	8.86
Risk class 3	10 947	0.41	29.87	1 834	16.75	10 502	0.39	31.77	1 781	16.97
Risk class 4	11 243	0.75	33.40	3 067	27.28	11 870	0.69	34.65	3 235	27.26
Risk class 5	17 951	1.17	41.02	6 338	35.31	16 845	1.14	28.29	4 504	26.73
Risk class 6	1 582	6.06	33.66	797	50.36	1 695	5.17	35.29	857	50.54
Risk class 7	2 327	7.91	45.24	1 641	70.51	2 249	7.84	34.58	1 263	56.10
Risk class 8	713	8.28	34.99	364	51.09	810	6.59	32.42	351	43.41
Risk class 9	621	18.03	35.94	435	70.06	688	15.02	35.29	444	64.81
Defaults	1 567	100.00	52.18	2 986	190.59	1 718	100.00	54.05	3 568	207.75
Total	100 367			22 514		100 471			20 712	

Development of risk exposure amount in 2016

In 2016, the Bank's risk exposure amount decreased by SEK 14.3 billion. The effect of exchange rate movements led to an increase of 6.1 billion in the risk exposure amount.

The largest individual decrease of the risk-weighted exposure amount for credit risks during the year derives from lower equity exposures, which reduces the risk-weighted exposure amount by SEK 10.9 billion. The overall effect of the volume migration, rating migration and improved collateral means that the risk-weighted exposure amount decreased by SEK 9.8 billion during the year. In other words, the portfolio had lower risk at the end of 2016 than at the beginning of the year. Quality improvements in the portfolio due to new business being with counterparties with lower risk weights than the average of the Bank's existing credit portfolio (known as volume migration) have contributed SEK 15.8 billion to the decrease. The net effect of existing counterparties migrating between risk classes (known as rating migration), in other words the net of exposures to customers which migrate to better risk classes and those that migrate to poorer classes, was an increase in the risk-weighted exposure amount of SEK 9.6 billion.

The combined effect of the annual validation of the risk estimates was an increase in the risk-weighted amount of SEK 4.7 billion. The "Other effects, credit risk" item includes factors such as changes in shareholdings, the effects of defaults, and changes in maturity. In net terms, excluding the above-mentioned equity holdings, these factors have contributed to a decrease in the risk-weighted exposure amount.

Market risks and operational risk have contributed to a small increase in the risk exposure amount during the year. The risk exposure amount for operational risk increased by SEK 2.0 billion from the previous year, due to higher operating income. The risk exposure amount for market risks increased by SEK 0.6 billion.

Migrations

Trends in the quality of the credit portfolio can be identified to some extent by analysing changes in the internal risk assessment at counterparty level. This is known as rating migration. In this section, the number of migrating counterparties is measured. The previous section referred to the volume effect of this. In 2016, migration for corporate counterparties measured in volume was negative, while it was positive in terms of the number of counterparties. This difference was caused by some counterparties with larger credit volumes having experienced a slightly negative migration.

The Bank's corporate counterparties are given an internal rating which is split into two dimensions. The first refers to the risk of financial strain and the second to the counterparty's financial resistance to such strain. The rating is converted to an internal risk class for application of the IRB Approach.

For private individuals, in addition to the internal rating, other factors are included when setting the risk class for application of the IRB Approach. In the analysis of how the risk assessment changes at counterparty level for private individuals, only the internal rating is used. This grades the risk level in a dimension which combines the risk of financial strain and financial powers of resistance on a scale from very low risk to very high risk.

Handelsbanken's internal rating method is dynamic, which means that the rating is reassessed when there are signs that the counterparty's repayment capacity has changed to lower or higher risk.

In the adjoining graphs, the proportion of counterparties migrating between risk classes is presented for corporate exposures and for small companies, which due to their size are included in the exposure class for retail exposures, and also for migrations based on the internal rating for retail exposures to private individuals.

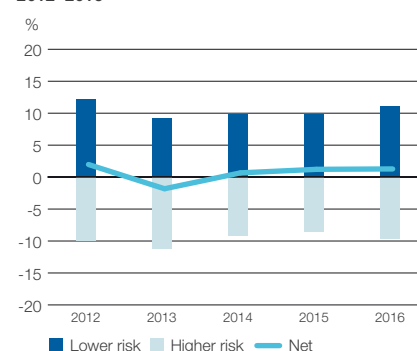
For corporate exposures, the gross migration is stable between the years. Net migration has continuously moved towards lower risk since 2012, except for 2013 when it was slightly

negative. The change is mainly between risk classes which indicate lower risk than normal. Migrations to risk classes that indicate a more substantial risk of default are limited.

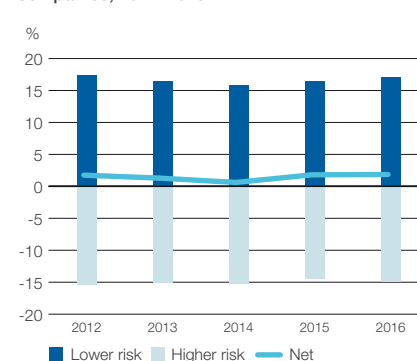
Since 2012, net migration for small companies has been positive, the shifts being small and stable.

For private individuals, the underlying migration development is stable over time. During the past three years, there has been a clear improvement with mainly positive migration. In 2016, the strength in this trend weakened somewhat.

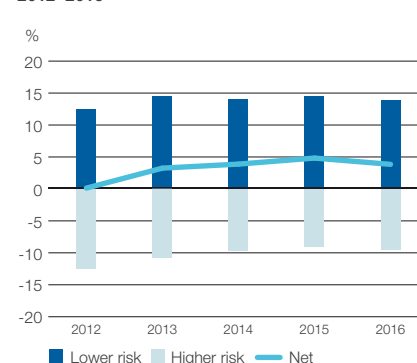
Proportion of counterparties migrating between internal risk classes, corporate exposures, 2012–2016



Proportion of counterparties migrating between internal risk classes, retail exposures – small companies, 2012–2016



Proportion of counterparties whose internal rating migrates, retail exposures – private individuals, 2012–2016



Development of risk exposure amount in 2016 SEK m

	2016
Risk exposure amount, opening balance	473.1
Volume change	1.3
Credit quality	-9.8
<i>of which volume migration</i>	-15.8
<i>of which rating migration</i>	9.6
<i>of which effect of better collateral</i>	-3.6
Model updates	4.7
Methodology and policy, including effects of new regulation	0.0
Foreign exchange movements	6.1
Other effects, credit risk	-17.8
CVA	-1.4
Market risks	0.6
Operational risks	2.0
Risk exposure amount, closing balance	458.8

Securitisation

Handelsbanken has limited exposures which are securitisations. These are holdings in bonds and other debt instruments issued by special purpose vehicles. These exposures are mainly in the Bank's liquidity portfolio. Existing holdings mature at regular intervals and no new investments are made in securitisations. The purpose of the holdings is to utilise them as collateral with various central banks and thus create

liquidity facilities. The Bank has no securitisations of its own.

Handelsbanken has applied the IRB Approach for capital adequacy for securitisations in other operations since the fourth quarter of 2008.

All securitised exposures were acquired prior to 2008. Handelsbanken's total exposure in securitisation positions after credit risk protection amounts to SEK 22 million (28). All positions are in the role of investor. The risk weight for

positions in securitisations is determined on the basis of external credit ratings from rating agencies using the external rating approach. Handelsbanken has no resecuritisations.

All risks related to securitisation positions are managed in the same way as the Bank's other processes, since the limited extent of these positions does not justify separate processes.

Securitisation positions in other operations by risk weight 2016 ¹		Risk weight		
SEK m	Exposure amount	7-10%	12-850%	1,250%
Traditional securitisation	22	-	22	-
Synthetic securitisation	-	-	-	-
Total IRB Approach	22	-	22	-

Securitisation positions in other operations by risk weight 2015 ¹		Risk weight		
SEK m	Exposure amount	7-10%	12-850%	1,250%
Traditional securitisation	28	28	-	-
Synthetic securitisation	-	-	-	-
Total IRB Approach	28	28	-	-

¹ No securitisation positions in trading portfolio 2015 or 2016.

COUNTERPARTY RISKS

Counterparty risk arises when the Bank has entered into derivative contracts with a counterparty for instruments such as futures, swaps or options, or contracts regarding loans of securities. In addition to derivatives, the capital adequacy regulations treat both repurchase transactions and equity loans as counterparty risks.

In calculating the capital requirement and economic capital (EC), counterparty exposures are taken into account based on the exposure amounts stipulated by the capital adequacy regulations. Handelsbanken applies the mark-to-market method to calculate exposure amounts for counterparty risks for capital adequacy purposes. To determine the current replacement cost for all contracts with a positive value, the contracts are assigned their prevailing market values. To then estimate the possible future credit exposure, the prevailing market value is multiplied by the percentage rate stipulated in the regulations, which depends on the maturity of the exposure.

Counterparty risk is regarded as a credit risk where the market value of the contract determines the size of the exposure. If the contract has a positive value, the default of the counterparty means a potential loss for the Bank. Counterparty risk can be divided into two parts: value change risk and payment risk.

Reducing value change risk

Value change risk occurs from the trade date up until delivery and means that the Bank can

suffer costs for winding down the position if the counterparty cannot fulfil its obligations. Value change risk exists in all derivative transactions and in securities transactions in which the Bank has not hedged the payment in advance.

The size of counterparty exposures is restricted by setting credit limits in the regular credit process. The size of the exposures may vary substantially due to fluctuations in the price of the underlying asset. In order to take account of the risk that the exposure may increase, supplements are added to the value of the exposure when setting credit limits. These add-ons are calculated using standard amounts that depend on the type of contract and the time to maturity. The exposures are calculated and followed up daily.

The counterparty risk in derivatives is reduced through "close-out netting agreements", which involve setting off positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with agreements – credit support annex (CSA) agreements – for issuing collateral for the net exposure, which further reduces the credit risk. The collateral for these transactions is mainly cash, but government instruments are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited.

A small number of the collateral agreements entered into by the Bank include terms and conditions concerning rating-based threshold amounts for Handelsbanken. These conditions mean that the Bank must provide further

collateral for the counterparty in question, in the event of the Bank's rating from external parties being lowered. At year-end, a downgrading from AA-/Aa2 to AA-/Aa3 would have meant the Bank having to provide further collateral of SEK 75 million (42).

The majority of Handelsbanken's contracts contain close-out netting and CSA agreements.

Derivatives which are cleared via central counterparties also give rise to capital requirements. Central counterparties are clearing houses which act as the counterparty for both the buyer and seller in various transactions, and thus take over the responsibility for fulfilling the parties' obligations. All parties which use a central counterparty must provide collateral for all transactions. In most cases, the risk weight for centrally cleared derivatives is considerably lower than for other types of derivatives. The risk-weighted exposure amount for derivative transactions with central counterparties was SEK 498 million (342) at year-end.

OTC-derivative transactions also result in capital requirements for credit valuation adjustment risk. The risk is related to the counterparty's credit quality, credit valuation adjustment (CVA). The capital requirement for CVA was SEK 594 million (713) at year-end.

Reducing payment risk

Payment risks arise in transactions where the Bank has fulfilled its commitments in the form of foreign exchange conversion, payments or delivery of securities, but cannot at the same time ensure that the counterparty has fulfilled its commitments to the Bank. The risk amount equals the amount of the payment transaction. The payment risks are not included in the credit limit of each customer; instead, they are covered by a separate limit. At Handelsbanken,

the risk of value changes in spot transactions is categorised as payment risk, while the risk of value changes in derivative transactions is categorised as credit risk.

Setting a limit for the payment risk is a vital part of Handelsbanken's constant aim to limit risks. This includes developing technical solutions which reduce the period of time during which there is a payment risk. In these efforts, Handelsbanken co-operates with various banking sector clearing institutions. The Bank has

also established collaborations with the banks considered to be the strongest and the most creditworthy.

Handelsbanken participates in clearing collaborations such as CLS (Continuous Linked Settlement) for currency trading. Handelsbanken is part-owner of CLS together with around 60 of the largest international FX banks. Handelsbanken is also a partner and direct member of EBA (Euro Banking Association) and its euro payment system.

Counterparty risk broken down into exposure classes, exposure amounts and risk-weighted exposure amounts SEK m	2016		2015	
	Exposure amount	Risk-weighted exposure amount	Exposure amount	Risk-weighted exposure amount
Exposure classes IRB Approach				
Institutional exposures	85 119	11 222	98 060	13 704
Corporate exposures	22 670	3 941	25 597	4 711
Total IRB Approach	107 789	15 163	123 657	18 415

Counterparty risk broken down into exposure classes, exposure amounts and risk-weighted exposure amounts SEK m	2016		2015	
	Exposure amount	Risk-weighted exposure amount	Exposure amount	Risk-weighted exposure amount
Exposure classes standardised approach				
Sovereign and central bank exposures	3 132	67	4 074	63
Other	5 200	468	4 676	258
<i>of which cleared via central counterparties</i>	<i>3 577</i>	<i>72</i>	<i>3 315</i>	<i>66</i>
Total standardised approach	8 332	535	8 750	321
Total IRB and standardised approach	116 121	15 698	132 407	18 736

The exposure amount comprises derivatives, repos and equity loans.

Counterparty risks in derivative contracts excluding standard add-ons for potential future exposure SEK m	2016	2015
Positive gross market value for derivative contracts	109 686	109 287
Netting gains ¹	47 697	49 600
Current set-off exposure	61 989	59 687
Collateral ¹	42 238	35 678
Net credit exposure for derivatives	19 751	24 009

¹ Collateral set off against derivative liabilities in the balance sheet is reported under netting gains.

Counterparty risks in derivative contracts including potential future exposure 2016 SEK m	Current set-off exposure	Potential future exposure	Exposure amount	Risk-weighted exposure amount	Capital requirement
Sovereign exposures	2 389	1 167	3 556	67	5
Institutional exposures	51 673	25 434	77 107	10 652	852
Corporate exposures	11 256	3 972	15 228	3 890	311
Others	238	186	424	373	30
Total	65 556	30 759	96 315	14 982	1 198
<i>of which operations in the trading book</i>	<i>17 349</i>	<i>12 275</i>	<i>29 624</i>	<i>5 688</i>	<i>455</i>

Counterparty risks in derivative contracts including potential future exposure 2015 SEK m	Current set-off exposure	Potential future exposure	Exposure amount	Risk-weighted exposure amount	Capital requirement
Sovereign exposures	1 783	1 035	2 818	63	5
Institutional exposures	45 087	25 296	70 383	13 336	1 067
Corporate exposures	12 671	4 181	16 852	4 473	358
Others	145	86	231	181	14
Total	59 686	30 598	90 284	18 053	1 444
<i>of which operations in the trading book</i>	<i>18 522</i>	<i>13 524</i>	<i>32 046</i>	<i>6 628</i>	<i>530</i>

Market risk

Handelsbanken aims to have low market risks and low volatility in its earnings. Market risks mainly arise in Handelsbanken Capital Markets as a result of customer-driven transactions, and within Group Treasury, through the Bank's funding.

Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risks, equity price risks, exchange rate risks and commodity price risks.

At a full-service bank like Handelsbanken, market risks arise when the Bank's customers demand services where the Bank must have flexible funding. The Bank can also obtain funding on other markets than those where it has its lending so that it can diversify its sources of funding. The funding can have a different maturity than the assets which are to be funded. Market risks can also arise in the Central Treasury's liquidity portfolio, which can be converted into liquidity at short notice in conjunction with possible disruptions in the markets where the Bank conducts its operations. The portfolio secures the Group's payments in the daily clearing operations and forms part of the Bank's liquidity reserve.

Market risks also arise to meet customers' demand for financial instruments with exposure

to the fixed income, currency, equity or commodities markets. As a consequence, it may be necessary for the Bank to hold certain positions. This situation arises for example when the Bank has undertaken to quote prices in its function as a market maker.

Market risks in the Bank's business operations arise – and thus are managed – mainly at Group Treasury and Handelsbanken Capital Markets, although they also exist at Handelsbanken Liv. The market risks at the insurance company, Handelsbanken Liv, are described in a separate section. Consequently, the information on market risks given in this section refers to risks excluding Handelsbanken Liv.

MARKET RISK STRATEGY

Handelsbanken has a restrictive view of market risks. Essentially, market risks in the banking operations are only taken as part of meeting customers' investment and risk management needs. Market risks must be limited by matching cash flows and interest-fixing periods, hedging open positions and taking other actions to limit risk.

Market risks at Handelsbanken have decreased further in recent years, from already low levels to very low at present. This work has been under way for a long time. It started before the financial crisis broke out and before the regula-

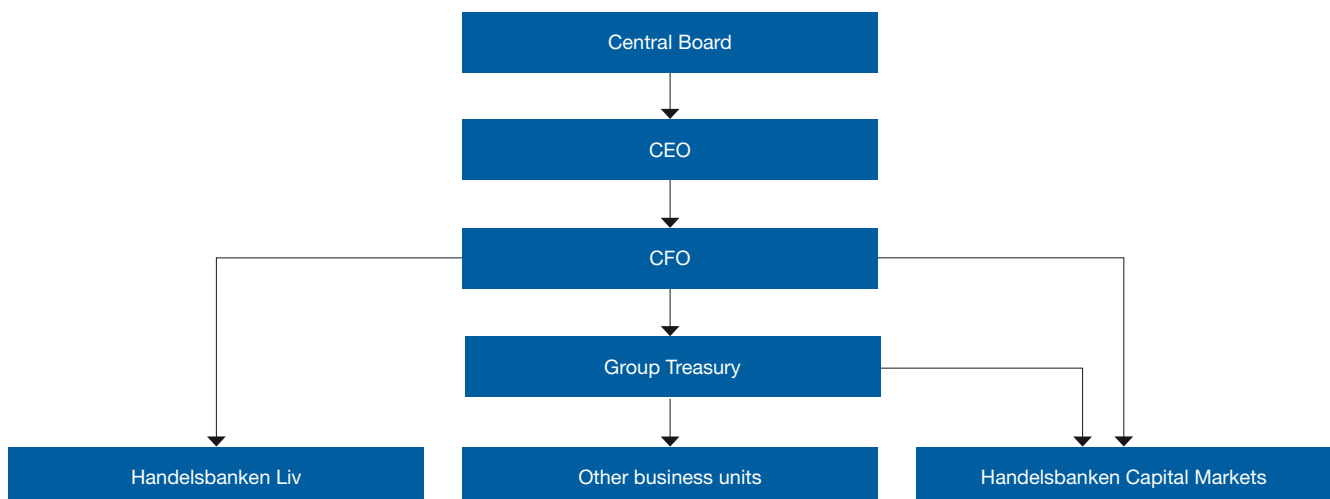
tions started to assign the importance to market risks that they do today. One result of this is that a much smaller part of the earnings come from net gains/losses on financial transactions.

ORGANISATIONAL STRUCTURE

The Head of Group Treasury has operational responsibility under the CFO for managing interest rate, currency and liquidity risks. The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The limits for interest rate, currency and liquidity risk are allocated by the CEO and CFO to the Head of Group Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk are allocated directly to the Head of Business Support Capital Markets by the CFO.

The CEO and CFO also decide on supplementary risk metrics, limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity perspective. The CFO, CEO and Board continually receive reports on the market risks and utilisation of the limits.

Decision levels for market and liquidity risks



VaR for trading book – Handelsbanken Capital Markets and Group Treasury

SEK m	Total		Equities		Fixed income		Currency		Commodities	
	2016	2015	2016	2015	2016	2015	2016	2015	2016	2015
Average	12	12	1	1	12	12	4	5	1	1
Maximum	20	19	4	4	20	17	10	9	6	5
Minimum	6	8	0	0	6	7	1	2	0	0
Year-end	7	13	1	2	6	15	2	3	2	2

Worst outcome in stress test for trading book – Handelsbanken Capital Markets and Group Treasury¹

SEK m	2016	2015
Average	98	114
Maximum	253	234
Minimum	29	37
Year-end	61	102

¹ In 2016, the method was changed so that it reflects current interest rate levels to a lesser extent than previously. As a result of this the comparative figures for 2015 have been recalculated to conform with the new method.

MARKET RISK AT HANDELSBANKEN

Market risk is measured using several different methods. Various sensitivity measures are used, showing the changes in value arising from pre-defined changes in prices and volatilities. Position-related risk measures and probability-based Value at Risk models (VaR) are also used.

VaR

VaR is calculated for the portfolios at Handelsbanken Capital Markets and Group Treasury which are classified as trading book. VaR is a probability-based measure and expresses the losses in Swedish kronor that may arise in risk positions due to movements in the underlying markets over a specified holding period and for a given confidence level. VaR is calculated for individual classes of risk and at portfolio level with a 99-per cent confidence level and a one-day holding period. The method means that different risk classes can be handled in a uniform way so that they can be compared and aggregated into a total market risk. The overall risk in the portfolios which are classified as trading book was SEK 7 million (13) at the year-end. VaR is reported to the CFO, CEO and Board on a regular basis.

The VaR model does not identify risks associated with extreme market fluctuations. The calculations are therefore supplemented with regular stress tests where the portfolios are tested against scenarios based on all events in

the financial markets since 1994. The results of these stress tests are also reported to the CFO, CEO and the Board's risk committee on a regular basis.

Interest rate risk

Interest rate risk mainly arises at Handelsbanken Capital Markets, Group Treasury and in the lending operations. Interest rate risk is measured in several ways at the Bank. General interest rate risk is measured and limits set as the absolute sum of the least favourable changes in fair value per currency in the case of substantial instantaneous upward or downward parallel shifts of one percentage point for all interest rates. At the year-end, the Bank's total general interest rate risk was SEK 1,401 million (1,423). Interest-fixing periods for deposits that lack a contractual maturity are established using an internal method. The basic assumption for such deposits is the shortest possible interest-fixing period, and adjustments are made only for that part that can be regarded as stable and insensitive to interest-rate movements based on historical observations. The risk measure includes interest-bearing items measured at fair value as well as items not measured at fair value and is therefore not appropriate to assess the impact from profit/loss on the balance sheet and income statement.

Specific interest rate risk is measured and limits set using sensitivity to changes in credit spreads, that is, the difference between the

interest on the current holding and the yield on a government bond with the same maturity. This risk mainly arises at Handelsbanken Capital Markets and in Group Treasury's liquidity portfolio. The risk is measured and limits set on the basis of different rating classes and is calculated as the least favourable change in market value in the case of an upward or downward shift of one basis point in all credit spreads. This is performed for each individual counterparty and the outcomes are summed as an absolute total. The total specific interest rate risk at year-end was SEK 9 million (7).

Interest rate risk in the trading book

The trading book at Handelsbanken comprises Capital Markets' and Group Treasury's portfolios that are classified as trading book. The general interest rate risk in the trading book was SEK 81 million (51) and the specific interest rate risk was SEK 7 million (5). Yield curve twist risks, which show changes in the risks in the case of hypothetical changes in various yield curves, are measured and followed up on a regular basis. The non-linear interest rate risk – part of the risk in interest rate options, for example – is measured and a limit set with pre-defined stress scenarios expressed in matrices. This means that the risk is measured as changes in underlying market interest rates and volatilities. VaR and other risk measures are used for the trading book, supplemented by various stress scenarios.

Interest rate risk in other operations

In the lending operations, interest rate risk arises as a result of the lending partly having different interest-rate fixing periods than the funding.

Interest rate risk is mainly managed by means of interest rate swaps. In general, interest rate risk exposure is in markets which are characterised by good liquidity. The general interest rate risk in other operations measured as above was SEK 1,357 million (1,384) and the specific interest rate risk was SEK 2 million (2).

To estimate the effect of interest rate changes on the income statement, the net interest income effect is also measured. The net interest income effect when interest rates change is measured as the change in net interest income over a twelve-month period in the case of a general increase of market rates by one percentage point. This effect reflects the differences in interest-rate fixing periods and volume composition between assets, liabilities and derivatives outside the trading book, assuming that the size

of the balance sheet is constant. In this calculation, the interest-fixing periods for deposits that lack a contractual maturity are established using an internal method based on historical observations and only adjusting the part that is stable as well as insensitive to interest-rate movements. The net interest income effect at the year-end was SEK 1,116 million (929).

General interest rate risk in other operations (change in fair value as the worst outcome in the case of a one percentage point parallel shift of all interest rates) SEK m		
	2016	2015
SEK	756	920
DKK	166	234
EUR	132	68
NOK	88	12
USD	66	112
GBP	135	24
Other currencies	14	14
Total	1 357	1 384

Interest rate adjustment periods for assets and liabilities 2016 SEK m						
	Up to 3 mths	3–6 mths	6–12 mths	1–5 yrs	Over 5 yrs	Total
Assets						
Loans	1 302 302	157 537	102 728	369 968	31 087	1 963 622
Banks and other financial institutions	33 159	107	56	16	9	33 347
Bonds etc.	77 861	5 321	6 502	61 447	9 758	160 889
Total assets	1 413 322	162 965	109 286	431 431	40 854	2 157 858
Liabilities						
Deposits	821 371	4 681	2 889	393	2	829 336
Banks and other financial institutions	140 961	31 243	2 148	580	3 848	178 780
Issued securities	418 039	95 677	91 718	601 304	88 427	1 295 165
Other liabilities	-	-	-	-	-	-
Total liabilities	1 380 371	131 601	96 755	602 277	92 277	2 303 281
Off-balance-sheet items	-306 545	-8 166	-18 289	202 900	63 614	-66 486
Difference between assets and liabilities including off-balance-sheet items	-273 594	23 198	-5 758	32 054	12 191	-211 909

The table shows the interest rate adjustment periods for interest-rate related assets and liabilities as at 31 December 2016. Non-interest-bearing assets and liabilities have been excluded.

Interest rate adjustment periods for assets and liabilities 2015 SEK m						
	Up to 3 mths	3–6 mths	6–12 mths	1–5 yrs	Over 5 yrs	Total
Assets						
Loans	1 237 710	149 780	97 672	351 750	29 555	1 866 467
Banks and other financial institutions	284 882	862	453	131	76	286 404
Bonds etc.	40 709	502	2 754	59 920	12 071	115 956
Total assets	1 563 301	151 144	100 879	411 801	41 702	2 268 827
Liabilities						
Deposits	737 001	5 117	2 508	349	2	744 977
Banks and other financial institutions	125 322	32 221	2 679	547	3 630	164 399
Issued securities	440 990	90 976	87 107	575 551	84 959	1 279 583
Other liabilities	-	-	-	-	-	-
Total liabilities	1 303 313	128 314	92 294	576 447	88 591	2 188 959
Off-balance-sheet items	-233 048	27 449	15 152	162 738	60 726	33 017
Difference between assets and liabilities including off-balance-sheet items	26 934	50 279	23 737	-1 908	13 837	112 879

The table shows the interest rate adjustment periods for interest-rate related assets and liabilities as at 31 December 2015. Non-interest-bearing assets and liabilities have been excluded.

Equity price risk

The Bank's equity price risk mainly arises at Handelsbanken Capital Markets through customer trading and in the Bank's own equity.

The Equity price risk table shows the market value change in the Bank's total equity positions in the case of an instantaneous change in equity prices and volatilities by +/-10 and +/-25 per cent respectively. At the year-end, the Bank's worst case outcome of this risk was SEK 152 million (651).

Equity price risk in the trading book

The equity price risk at Handelsbanken Capital Markets arises in customer-driven equity-related transactions. Handelsbanken Capital Markets is a market maker for structured products, which

gives rise to equity price risk, both linear and non-linear. The non-linear equity price risk arises via options mainly included in the structured products.

The extent of own position-taking, which arises to meet customers' needs, is restricted by the limits decided by the Bank's Board, CEO and CFO. The Bank limits and measures the equity price risk at Handelsbanken Capital Markets using matrices. The advantage of this method is that it effectively identifies equity price risk including the non-linear risk. VaR as well as other risk measures and stress scenarios are used as a complement when measuring the equity price risk. At the year-end, the Bank's VaR for equity price risk in the trading book was SEK 1 million (2).

Equity price risk outside the trading book

The Group's holdings of equities outside the trading book are unlisted securities mainly consisting of various types of jointly owned operations related to the Bank's core business. The holdings are classified as available for sale and are measured at fair value in the balance sheet in accordance with accounting regulations. In general, such holdings are valued at the Bank's share of the company's net asset value, or alternatively at the price of the last completed transaction. The equity price risk is very small.

Equity price risk SEK m	Change in volatility					
	2016			2015		
Change in equity price	-25%	0%	25%	-25%	0%	25%
10%	161	162	162	647	651	654
-10%	-152	-149	-145	-651	-648	-645

Equity exposures outside the trading book SEK m	2016	2015
Classified as available for sale	1 618	6 581
of which listed	-	4 667
of which unlisted	1 618	1 914
Classified as available for sale	1 618	6 581
of which business-related	1 605	5 198
of which other holdings	13	1 383
Fair value reserve at beginning of year	2 138	1 460
Unrealised market value change during the year for remaining and new holdings	773	789
Realised due to sale and settlements during the period	-1 876	-111
Fair value reserve at end of year	1 035	2 138
Included in tier 2 capital	0	0

Exchange rate risk

Handelsbanken has home markets outside Sweden and also operations in a number of other countries. Indirect currency exposure of a structural nature therefore arises, because the Group's accounts are expressed in Swedish kronor. The structural risk is minimised by matching assets and liabilities in the same currency as far as possible. The exchange rate movements that affect the Bank's equity are shown in the table on page 68 of the Annual Report: Statement of changes in equity Group.

The Bank's direct foreign exchange exposure arises as a consequence of customer-driven intra-day trading in the international foreign exchange markets. This trading is conducted at Handelsbanken Capital Markets. The Board, CEO and CFO have set VaR limits for this exchange rate risk.

Some currency exposure also arises in the normal banking operations as part of managing customer payment flows and in funding operations at Group Treasury. The Board, CEO and CFO have set position limits for these risks. At

year-end, the aggregate net position amounted to SEK 689 million (391). The exchange rate risk in the Bank does not depend on trends for an individual currency or group of currencies, because the positions are very short and arise in management of customer-driven flows. The total exchange rate risk in the trading book and other operations was SEK 114 million (36), measured as the impact on the Bank's earnings of an instantaneous 5 per cent change of the Swedish krona.

Exchange rate sensitivity (worst outcome +/-5% change SEK against the respective currency) SEK m	2016	2015
EUR	57	3
NOK	25	20
DKK	6	3
USD	26	4
GBP	2	6
Other currencies	7	8

Commodity price risk

Exposure in commodity-related instruments only occurs as a result of customer-based trading in the international commodity markets and is restricted by limits decided by the Board, CEO and CFO. Trading in commodities is conducted exclusively at Handelsbanken Capital Markets. Commodity price risk, both linear and non-linear, is measured as the absolute total of risk for all commodities to which the Bank is exposed. At the year-end, the commodity price risk was SEK 6 million (5), measured as the maximum loss on price changes up to 20 per cent in underlying commodities and changes in volatility up to 35 per cent. At the year-end, the Bank's VaR for commodity price risk was SEK 2 million (2).

Other market risks

Market risk also arises in the Bank's pension system (pension risk). This risk consists mainly of the risk of a decrease in the value of assets held for securing the Bank's pension obligations.

Fair value measurement

The Risk Control Function checks that the Group's financial instruments are valued correctly. The valuation of financial instruments measured at fair value is performed in accordance with IFRS 13. See note G40 for more information about the assets and liabilities measured at fair value as well as for information about the Bank's valuation techniques.

CAPITAL REQUIREMENTS FOR MARKET RISK

Handelsbanken uses the standardised approach to calculate the statutory capital requirements for market risk. Based on the standardised approach, the capital requirement for market risk for the whole of the Handelsbanken Group was SEK 873 million (825) at the end of 2016. The majority of the capital requirement consists of interest rate risk, which corresponds to SEK 855 million (804).

Capital requirements market risk SEK m	2016	2015
Position risk in the trading book	864	819
Interest rate risk	855	804
<i>of which general risk</i>	598	512
<i>of which specific risk</i>	256	290
<i>of which positions in securitisation instruments</i>	-	-
<i>of which non-delta risk</i>	1	2
Equity price risk	9	15
<i>of which general risk</i>	1	1
<i>of which specific risk</i>	3	4
<i>of which mutual funds</i>	0	2
<i>of which non-delta risk</i>	5	8
Exchange rate risk	-	-
<i>of which non-delta risk</i>	-	-
Commodity risk	9	6
<i>of which non-delta risk</i>	0	0
Settlement risk	0	0
Total capital requirements for market risk	873	825

Funding and liquidity risk

The starting point for Handelsbanken's work on liquidity risk is a well-balanced balance sheet where long-term assets are financed with stable funding. As a consequence of the Bank's low tolerance of risks, Handelsbanken has over time worked on building up liquidity reserves and matching cash flows to limit its liquidity risks.

Liquidity risk is the risk that the Bank will not be able to meet its payment obligations when they fall due without being affected by unacceptable costs or losses.

In the wake of the financial crisis, a number of new regulations have been introduced. The Bank has already previously implemented a number of measures at its own initiative. It has therefore fulfilled these regulations for a long period of time. The measures include a centralised treasury function with overall responsibility for all funding and liquidity risk management, an increased proportion of long-term funding, internal prices that reflect the market price, liquidity risk and maturity. In addition, the transparency related to funding, liquidity risk and the proportion of pledged assets has been considerably increased.

Handelsbanken is the only major Swedish bank which has managed completely on its own

for its funding throughout the latest financial crisis, with no support from central banks or public authorities.

FUNDING STRATEGY

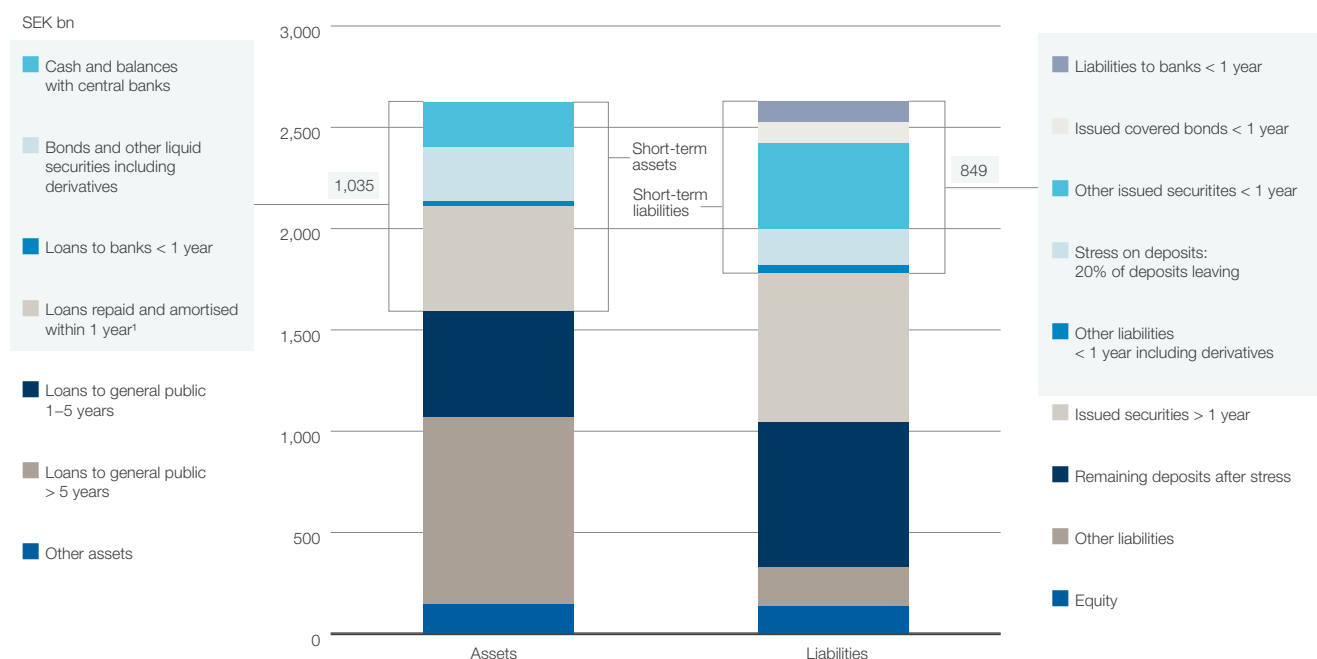
Handelsbanken has a low tolerance of liquidity risks and works actively to minimise them in total and in each individual currency. The aim is to have good access to liquidity, a low level of variation in income and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality. The Bank thus minimises the economic risks in funding and can thereby decide on stable and long-term internal interest rates to the business-operating units.

Furthermore, the Bank aims for breadth in its funding programmes and their use, so that no type of investor is treated at a disadvantage compared to others. This ensures that the Bank can keep its core business intact for a long period of time, even if there is extensive disruption in the financial markets.

The starting point of this work is a well-matched balance sheet, where illiquid assets are financed using stable funding. The illiquid assets comprise credits to households and companies; these credits constitute the Bank's core business. The long-term stable funding of these assets consists of covered bonds issued by Stadshypotek, senior bonds issued by Handelsbanken, deposits from households and a certain amount of deposits from companies, subordinated liabilities and equity. Part of the core operations are short-term lending to households and companies and on the liabilities side, some of the deposits for these customers are shorter term.

A balance sheet is a snapshot of assets and liabilities. To ensure that the Bank's obligations towards customers and investors are fulfilled, it is important to adopt a future-oriented perspective in funding and liquidity risk management. The balance sheet is therefore structured in such a way that the participants of the real economy in the form of companies and households and their needs for credit can be supported even during lengthy periods of stress in the financial markets. Current assets cover current liabilities by a good margin. The

Composition of the balance sheet from a maturity perspective 2016



diagram, Composition of the balance sheet from a maturity perspective, describes the balance sheet in a stressed scenario where 20 per cent of deposits are assumed to disappear within one year and all access to new market funding disappears. Despite the stress, short-term assets are estimated to exceed short-term liabilities by a considerable amount at year-end. A long-term crisis could result in a reduced balance sheet with retained core business, whereby the volume of short-term assets is gradually used to pay back maturing short-term liabilities. In the event of an even longer crisis, measures have been prepared to create liquidity which will provide more support to the business operations.

The market has great confidence in Handelsbanken and its assessment is that Handels-

banken has a low credit risk. One illustration of this is that the cost of insuring a credit risk on the Bank, which is known as the CDS spread, is one of the lowest among European banks, and Handelsbanken has the lowest funding cost of all peer banks.

Good diversification between different types of sources of funding in various markets, currencies and forms of funding instruments is a key component of the funding strategy. This reduces the significance of individual markets or sources of funding. In recent years, the Bank has considerably broadened its long-term international funding and has issued significant volumes of bonds in, for example, the eurozone, the UK, the US, Asia and Australia. The most important sources of funding are deposits from

households and companies as well as covered and senior bonds. The short-term funding mainly comprises deposits from financial companies and institutions as well as issues of certificates and CDs. Group Treasury has a number of different funding programmes for market funding at its disposal, which, in addition to the programmes shown in the Funding programmes/limits in Group table, include covered bonds in Swedish kronor. Bonds and certificates are issued under these programmes in the Bank's and Stadshypotek's names. The funding programmes ensure well-diversified access to funding in terms of different currencies, the number of investors and geographic breakdown.

Handelsbanken's 5-year CDS spread compared with ITRAXX Financials 2007-2016



ITRAXX Financials is an index of CDS spreads for the 25 largest bond issuers in the European bank and insurance sector. It describes the average premium that an investor requires in order to accept credit risk on the companies.

Funding programmes/limits in Group 2016

Programme	Currency	Programme size	Utilised amount	Countervalue SEK m
ECP ¹	EUR	15 000	3 093	29 640
ECP (Stadshypotek) ¹	EUR	4 000	0	0
French commercial paper	EUR	7 500	1 913	18 332
Swedish commercial paper	SEK	25 000	0	0
Swedish commercial paper (Stadshypotek)	SEK	90 000	0	0
USCP	USD	15 000	4 401	39 940
AMTN	AUD	5 000	1 275	8 362
AMTCN (Stadshypotek)	AUD	5 000	750	4 919
EMTN1	USD	50 000	21 759	197 465
EMTCN (Stadshypotek) ¹	EUR	20 000	11 002	105 432
US 144A/3(a)(2)	USD	20 000	11 900	107 994
Stadshypotek US 144A	USD	15 000	3 750	34 032
Samurai	JPY	400 000	160 700	12 482
MTN ¹	SEK	100 000	13 334	13 334
General funding >1 yr ¹	USD	15 000	1 231	11 171
Extendible notes	USD	15 000	7	64
Total				583 167
Total programme or limited amounts, SEK m		1 937 028		
Unutilised amount, SEK m		1 353 861		
Remaining to utilise, %		70		

¹ It is possible to issue in other currencies than the original programme currency under these programmes, where currency conversion takes place at the time of issue.

ORGANISATIONAL STRUCTURE

Handelsbanken has a highly decentralised business model, but all funding and liquidity risk management in the Group is centralised to Central Treasury. Funding and liquidity risk management is governed by policies established by the Board which also decides on limits. Guidelines from the CEO and instructions from the CFO make these policies concrete. The guidelines establish limits, the composition of the funding and guides in the case of disruptions in the funding markets. Furthermore, all liquidity risk limits are channelled to the operations via Group Treasury.

Group Treasury is also responsible for the Bank's clearing operation and monitors liquidity flows during the day to ensure that the Bank has sufficient collateral in its payment systems at any given time to meet the Bank's payment obligations. The Bank's liquidity monitoring takes place locally, near the transactions, and is supplemented by central management of collateral and the liquidity reserve for the whole Group.

The size of collateral in the clearing systems is determined on the basis of what the Bank deems is required to fulfil its obligations, both in normal circumstances and in case of larger flows. If the flow changes, the size of collateral and liquidity is adjusted, and in times of crisis, collateral can also be redistributed and the liquidity reserve can be activated. The Bank secures liquidity in its nostro accounts for expected payment and settlement undertakings through active liquidity planning and monitoring in all currencies.

MARKET FUNDING – COMPOSITION

During the year, Handelsbanken issued long-term market funding totalling SEK 210 billion (214), spread over all the currencies that are important to the Bank. Short-term funding is mainly done by issuing certificates of deposit under the various loan programmes in Sweden, Europe and the US. These loan programmes are supplemented by funding in the international interbank market. During the year, the Bank thus continued to meet investors to the same extent as previously, updated its funding programmes and also in other respects maintained the conditions for bond funding on all relevant funding markets worldwide. This enables funding opera-

tions to be maintained in circumstances that are much more difficult than those which have existed in the past few years.

LIQUIDITY RISK

The Bank handles a large number of incoming and outgoing cash flows every day. The gap between incoming and outgoing cash flows is restricted by means of limits. Group Risk Control reports risk utilisation daily to the CFO, weekly to the CEO, and on a regular basis to the Board.

Liquidity planning is based on an analysis of cash flows for the respective currency. As a general rule, a larger exposure is permitted in currencies with high liquidity than in currencies where the liquidity is low. The strategy is that expected outgoing cash flows from the Bank must always be matched with incoming cash flows into the Bank that are at least of the same amount, and that a positive cash flow and cash position must be maintained – even in stressed conditions. This kind of gap analysis is supplemented by scenario tests, in which the effect on liquidity is stressed and analysed using various assumptions.

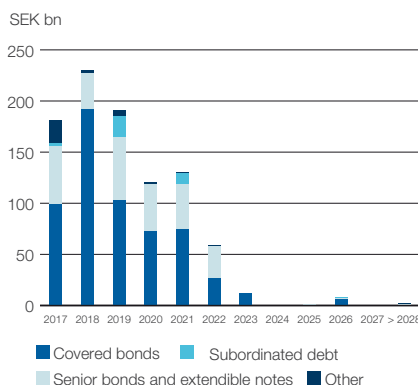
The governance of the Bank's liquidity situation is based on these stress tests, which are performed at an aggregate level and also individually for the currencies that are essential to the Bank. Resistance to more long-term disruptions in the market is therefore measured

on a daily basis through stress testing of cash flows based on certain assumptions. For example, it is assumed that the Bank cannot obtain funding in the financial markets at the same time as 10 per cent of non-fixed-term deposits from households and companies disappear gradually in the first month. It is further assumed that the Bank will continue to conduct its core activities, i.e. that fixed-term deposits from and loans to households and companies will be renewed at maturity and that issued commitments and credit facilities will be partly utilised by customers. The Bank also takes into account that balances with central banks and banks will be utilised and that Group Treasury's securities can immediately supply liquidity if provided as collateral, primarily on the market, and as a last resort in central banks.

Measures to create liquidity are also used to gradually provide the Bank with liquidity. With these conditions, the Bank will be liquid for more than three years. Thus, the Bank also has major powers of resistance to serious, long-term disruptions in the funding markets.

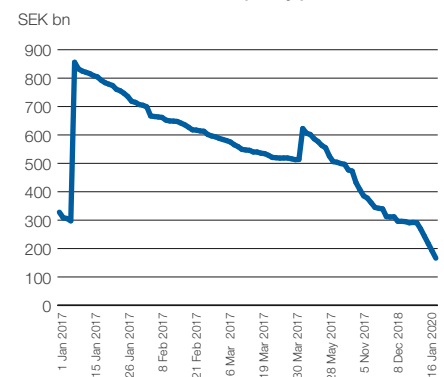
A condition for the Bank to be able to maintain such substantial resistance to disruptions in the financial markets as stated above is that the balance sheet is well balanced. The Composition of the balance sheet from a maturity perspective diagram shows that the volume of current assets significantly exceeds the volume of current liabilities in a stressed scenario where

Maturity profile long-term market funding

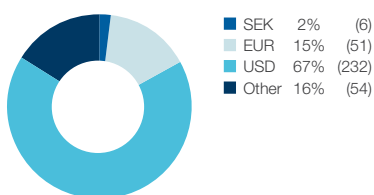


Refers to issued securities as at 31 December 2016 with an original maturity exceeding one year.

Stress test of liquidity, including liquidity-creating measures – accumulated liquidity position

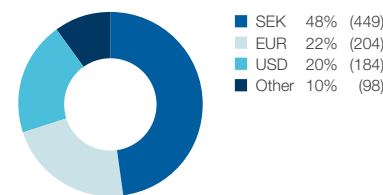


Short-term market funding by currency 2016



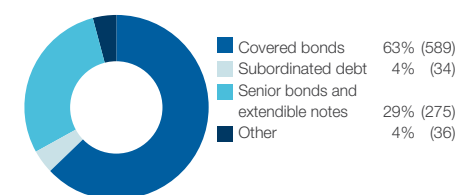
Refers to the currency breakdown as at 31 December 2016 for issued securities with original time to maturity of less than one year. Amounts in brackets SEK billions.

Long-term market funding by currency 2016



Refers to the currency breakdown as at 31 December 2016 for issued securities with original time to maturity of more than one year. Amounts in brackets SEK billions.

Long-term market funding by instrument 2016



Refers to breakdown by instrument as at 31 December 2016 for issued securities with original time to maturity of more than one year. Amounts in brackets SEK billions.

20 per cent of the deposits are assumed to disappear within one year. Furthermore, the volume and quality of unutilised collateral must be able to give the Bank the liquidity it needs in times of crisis. Consistently steering the Bank towards positive future net cash flows, instead of point-in-time ratios, also secures this over time.

The Maturity analysis for financial assets and liabilities table shows cash flows for the contracted payment commitments, including interest flows, due for payment at the latest within the stated time intervals. The table shows holdings of bonds and other interest-bearing securities in the time intervals in which they can be converted to liquidity if they are pledged as collateral or sold. Assets, liabilities and interest flows are also shown that mature in the time intervals corresponding to the contractual maturity dates. Interest flows for lending in the mortgage operations are matched in time with the liabilities that funded the lending. Financial guarantees, committed loan offers and unutilised overdraft facilities are reported in their entirety in a 0–1-month time interval. The total outstanding amount of these commitments does not necessarily represent future funding requirements. For derivative instruments, cash flows are reported net for interest rate swaps and gross for instruments where gross cash flows are paid or received, such as currency swaps.

Since 2013, liquidity coverage ratio (LCR) has been a binding requirement for Swedish banks, and Handelsbanken reports it according to the Swedish Financial Supervisory Authority's definition. The figure states the ratio between

the Bank's liquidity buffer and net cash flows in a very stressed scenario during a 30-day period. The ratio must be more than 100 per cent. The requirement applies to LCR at aggregate level and separately for US dollars and euros. As of 1 October 2015, the European Commission's delegated act contains a minimum European requirement for LCR. The minimum requirement was 70 per cent during 2016, to be gradually raised to 100 per cent by 2018, when the delegated act will be fully implemented. The LCR introduced by the Swedish Financial Supervisory Authority is based on considerably more stressed assumptions, particularly in terms of outflow assumptions regarding deposits and the composition of the liquidity portfolio.

The LCR may display a degree of volatility over time, for example when funding that was originally long term and that finances mortgage loans is replaced by new long-term funding, or when the composition of counterparty categories varies in the short-term funding. At the year-end, the Group's aggregated LCR according to the Swedish Financial Supervisory Authority's definition was 126 per cent (137), which shows that the Bank has large resistance to short-term disruptions in the funding markets. This also applies in US dollars and euros. The Bank's LCR, calculated according to the European Commission's delegated act, was 142 per cent (140). The structural liquidity measure, net stable funding ratio (NSFR) – the ratio between available stable funding and the requirement for stable funding – was 102 per cent (100) for the Group at the end of 2016.

PRICING OF LIQUIDITY RISK

An important part of liquidity risk management is that deposits and lending are priced internally, taking into account the liquidity risks that they give rise to. For example, when the Bank grants a loan with a long maturity this creates the need to obtain additional long-term funding – which is more expensive than shorter-term funding. This is because investors who purchase the Bank's long-term bonds normally demand higher compensation for the maturity. This must be taken into account in the Bank's internal pricing by ensuring that the price which internal units in the Bank have to pay for the loans they obtain from Group Treasury varies according to factors such as the maturity period. No liquidity risks can be taken locally. The internal pricing is important in order to create the right incentive and to avoid unsound risk-taking. The Bank has worked with maturity-based internal prices for a long time. They ensure that the price at contract level takes into account the liquidity risk that the agreement has given rise to. This system was already fully implemented at the Bank in 2010.

Liquidity coverage ratio (LCR) %	2016	2015
EUR	136	161
USD	322	429
Total	126	137

Calculated according to the Swedish Financial Supervisory Authority's directive 2012:6 which came into force on 1 January 2013.

Liquidity coverage ratio (LCR) – decomposition SEK m	2016	2015
Liquid assets	290 058	283 573
Liquid assets level 1	251 189	242 606
Liquid assets level 2	38 869	40 967
Cash outflows	359 659	318 364
Deposits from customers	173 496	141 589
Market funding	151 735	142 770
Other cash outflows	34 428	34 005
Cash inflows	129 176	111 599
Inflows from maturing lending to non-financial customers	21 146	22 612
Other cash inflows	108 030	88 987

The components are defined in line with the Swedish Financial Supervisory Authority's directives and requirements for the liquidity coverage ratio and reporting of liquid assets and cash flows, FFFS 2012:6. Liquid assets level 1 corresponds to Chapter 3, Section 6. Liquid assets level 2 corresponds to Chapter 3, Section 7. Deposits from customers corresponds to Chapter 4, Sections 4–9. Market funding corresponds to Chapter 4, Sections 10–13. Other cash flows corresponds to Chapter 4, Sections 14–25. Lending to non-financial customers corresponds to Chapter 5, Section 4. Other cash inflows corresponds to Chapter 5, Sections 6–12.

Maturity analysis for financial assets and liabilities 2016							
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs	Unspecified maturity
Cash and balances with central banks	222 401	-	-	-	-	-	-
Interest-bearing securities eligible as collateral with central banks ¹	97 464	-	-	-	-	-	-
Bonds and other interest-bearing securities ²	64 344	-	-	-	-	-	-
Loans to credit institutions	24 274	2 465	432	151	1 109	3 637	-
of which reverse repos	4 091	-	-	-	-	-	-
Loans to the public	57 373	255 724	175 411	194 707	365 045	1 008 017	-
of which reverse repos	7 493	-	-	-	-	-	-
Other	22 769	-	-	-	-	-	223 839
of which shares and participating interests	20 412	-	-	-	-	-	-
of which claims on investment banking settlements	2 357	-	-	-	-	-	-
Total assets	488 625	258 189	175 843	194 858	366 154	1 011 654	223 839
Due to credit institutions	98 640	48 077	4 275	4 729	589	6 744	18 944
of which repos	-	-	-	-	-	-	-
of which deposits from central banks	30 792	34 439	1 561	-	-	-	1 868
Deposits and borrowing from the public	17 664	21 061	5 553	867	2 619	2 614	775 803
of which repos	2	-	-	-	-	-	-
Issued securities ³	102 983	361 714	87 129	249 491	438 391	84 163	-
of which covered bonds	87	105 475	17 241	205 687	267 098	48 094	-
of which certificates and other securities with original maturity of less than one year	101 753	222 236	25 435	-	-	-	-
of which senior bonds and other securities with original maturity of more than one year	1 143	34 003	44 453	43 804	171 293	36 069	-
Subordinated liabilities	389	840	3 059	1 228	32 808	-	-
Other	4 105	-	-	-	-	-	320 193
of which short positions	1 572	-	-	-	-	-	-
of which liabilities on investment banking settlements	2 533	-	-	-	-	-	-
Total liabilities	223 781	431 692	100 016	256 315	474 407	93 521	1 114 940
Off-balance-sheet items							
Financial guarantees and unutilised committed loan offers	425 267						

Derivatives 2016							
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs	Total
Total derivatives inflow	272 926	433 368	75 052	103 839	292 940	95 384	1 273 509
Total derivatives outflow	271 566	423 873	71 189	90 801	264 335	92 441	1 214 205
Net	1 360	9 495	3 863	13 038	28 605	2 943	59 304

Maturity analysis for financial assets and liabilities 2015							
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs	Unspecified maturity
Cash and balances with central banks	236 752	-	-	-	-	-	-
Interest-bearing securities eligible as collateral with central banks ¹	75 192	-	-	-	-	-	-
Bonds and other interest-bearing securities ²	44 951	-	-	-	-	-	-
Loans to credit institutions	31 161	13 968	212	230	787	3 920	-
of which reverse repos	14 586	8 833	-	-	-	-	-
Loans to the public	58 113	233 279	171 597	191 513	364 138	940 827	-
of which reverse repos	7 742	-	-	-	-	-	-
Other	34 952	-	-	-	-	-	215 020
of which shares and participating interests	30 387	-	-	-	-	-	-
of which claims on investment banking settlements	4 565	-	-	-	-	-	-
Total assets	481 121	247 247	171 809	191 743	364 925	944 747	215 020
Due to credit institutions	69 819	67 894	1 620	5 868	903	7 736	14 113
of which repos	290	-	-	-	-	-	-
of which deposits from central banks	13 066	55 291	-	5	-	-	1 333
Deposits and borrowing from the public	3 119	43 653	7 729	1 084	2 396	6 650	689 373
of which repos	-	-	-	-	-	-	-
Issued securities ³	98 204	356 399	120 523	182 911	478 689	79 415	-
of which covered bonds	23	44 708	68 531	120 017	337 249	33 424	-
of which certificates and other securities with original maturity of less than one year	96 773	270 064	7 722	-	-	-	-
of which senior bonds and other securities with original maturity of more than one year	1 408	41 627	44 270	62 894	141 440	45 991	-
Subordinated liabilities	374	825	2 566	4 226	21 791	10 416	-
Other	8 940	-	-	-	-	-	315 985
of which short positions	2 416	-	-	-	-	-	-
of which liabilities on investment banking settlements	6 524	-	-	-	-	-	-
Total liabilities	180 456	468 771	132 438	194 089	503 779	104 217	1 019 471
Off-balance-sheet items							
Financial guarantees and unutilised committed loan offers	420 857						

Derivatives 2015							
SEK m	Up to 1 mth	1–6 mths	6–12 mths	1–2 yrs	2–5 yrs	Over 5 yrs	Total
Total derivatives inflow	270 580	390 214	75 129	115 406	274 686	110 695	1 236 710
Total derivatives outflow	269 984	384 083	72 032	108 327	254 483	108 497	1 197 406
Net	596	6 131	3 097	7 079	20 203	2 198	39 304

¹ SEK 68,022m (25,294) of the amount (excl. interest) has a residual maturity of less than one year.

² SEK 10,136m (6,021) of the amount (excl. interest) has a residual maturity of less than one year.

³ SEK 528,907m (550,827) of the amount (excl. interest) has a residual maturity of less than one year.

For deposit volumes the column "Unspecified maturity" refers to deposits payable on demand. The table contains interest flows which means that the balance sheet rows are not reconcilable with the Group's balance sheet. Maturity tables without interest flows, including maturity tables in foreign currencies, can be found in the Fact book at handelsbanken.se/ireng.

LIQUIDITY RESERVE

To ensure sufficient liquidity to support its core operations in stressed financial conditions, the Bank holds large liquidity reserves. Liquidity reserves are kept in all currencies that are relevant to the Bank and are accessible for Group Treasury. The liquidity reserve is independent of funding and foreign exchange markets and can provide liquidity to the Bank at any time – some parts immediately and other parts gradually over a period of time.

The liquidity reserve comprises several different parts. Cash, balances and other lending to central banks are components which can provide the Bank with immediate liquidity. The reserve also comprises government bonds, covered bonds and other high-quality securities which are liquid and eligible as collateral with central banks. These can also provide the Bank with immediate liquidity. The remainder of the liquidity reserve comprises an unutilised issue amount for covered bonds and other liquidity-creating measures.

ENCUMBERED ASSETS AND COVER POOLS

Another important part of Handelsbanken's liquidity management consists of retaining significant volumes of unutilised collateral that can be used in the event of disruptions in the financial markets. One prerequisite for being able to pledge additional collateral is for the Bank to have collateral at its disposal from the outset. The Bank therefore retains substantial volumes of non-encumbered assets that could be used as collateral in the issue of covered bonds and liquid securities with very high credit ratings.

The Bank is restrictive about entering into agreements with other parties than credit institutions, such as CSA agreements that stipulate that the Bank, according to certain criteria, may be forced to provide collateral to a counterparty. Cash collateral pledged under CSA agreements for outstanding derivatives totalled SEK 7,279 million (9,635). For more information, see Handelsbanken's Fact book, Assets pledged

table. In addition to securing the Bank's liquidity, this restrictive approach contributes to limiting the extent to which the Bank's senior lenders have lower priority than lenders who invest in covered bonds, known as subordination.

To assess the degree of subordination between investors of non-encumbered funding and encumbered funding, the volume and credit quality of the non-encumbered assets are the relevant factors. Handelsbanken's restrictive approach to risk-taking means that the non-encumbered assets are of high quality. Since Handelsbanken wishes to have a balanced utilisation of covered and senior bonds, there is a large volume of mortgage loans which are not encumbered. Other non-encumbered loans also have a low risk measured, for example, in terms of the Bank's internal rating.

The table Non-encumbered/non-pledged assets shows that the volume of non-encumbered assets for Handelsbanken is 210 per cent (203) of the outstanding volume of non-encum-

Holdings with central banks and banks, and securities holdings in the liquidity reserve, market value 2016 SEK m	SEK	EUR	USD	Other	Total
Cash and balances with and other lending to central banks	4 821	99 487	30 460	89 765	224 533
Balances with other banks and National Debt Office, overnight	7 567	22	23	100	7 712
Government-issued securities	70 483	6 430	12 519	-	89 432
Securities issued by municipalities and other public entities	2 051	287	4 447	-	6 785
Covered bonds	36 631	2 108	-	10 306	49 045
Own covered bonds	4 602	-	-	-	4 602
Securities issued by non-financial companies	1	26	-	-	27
Securities issued by financial companies (excl. covered bonds)	85	20	-	19	124
Other securities	-	-	-	-	-
Total	126 241	108 380	47 449	100 190	382 260

Holdings with central banks and banks, and securities holdings in the liquidity reserve, market value 2015 SEK m	SEK	EUR	USD	Other	Total
Cash and balances with and other lending to central banks	15 998	45 560	94 626	80 175	236 359
Balances with other banks and National Debt Office, overnight	0	43	75	1 062	1 180
Government-issued securities	33 915	6 900	16 933	-	57 748
Securities issued by municipalities and other public entities	2 045	275	3 068	-	5 388
Covered bonds	35 707	2 554	-	10 521	48 782
Own covered bonds	1 314	-	-	-	1 314
Securities issued by non-financial companies	502	135	-	-	637
Securities issued by financial companies (excl. covered bonds)	214	4	-	15	233
Other securities	-	-	-	-	-
Total	89 695	55 471	114 702	91 773	351 641

bered funding. At the end of the year, the Bank decided to reduce the volume of short-term deposits. This explains the decrease in holdings with central banks and the ratio between non-encumbered assets in relation to the outstanding volume of non-covered funding compared with previous quarters.

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. The Bank also has voluntary OC (over-collateralisation – i.e. extra assets in addition to those which are needed to cover the issued bonds) of 8 per cent which is included in the pool. This exceeds the statutory requirement of 2 per cent. These extra assets are in the pool in case the value of the mortgage loans were to fall to a level such that further assets are needed to match the volume of outstanding bonds.

When assessing the risk that it will be necessary to add further assets, the loan to value (LTV) of the mortgage loans in the cover pool is of fundamental importance. The lower the LTV, the lower the risk that more mortgage loans are required in the pool if prices fall in the property market. Handelsbanken's average LTV – LTV Max – was 50.0 per cent (53.6) in the Swedish pool and 53.6 per cent (56.7) in the Norwegian pool. A Finnish cover pool was added during the year with an average LTV of 48.7 per cent. This shows that the Bank can withstand substantial drops in prices of underlying property assets before further mortgage loans have to be added to the pools.

The assets which the Bank has chosen to keep outside the pool are shown in the Non-encumbered/non-pledged assets table and can be used for issues of covered bonds if necessary.

Encumbered assets and other pledged collateral	Recognised amounts	
	2016	2015
SEK bn		
Loans to the public ¹	663	618
Government instruments and bonds	34	26
Equities	1	1
Cash	17	22
Other	125	113
Total²	840	780
Other pledged assets ³	33	33

Loans to the public are reported at amortised cost. Other pledged assets are reported at fair value. The reported value of the liabilities related to the collateral was SEK 854bn.

¹ Of which over-collateralisation in the cover pool (OC) SEK 61bn (57).

² Of which SEK 20bn (18) is collateral which can be freely reclaimed by the Bank.

³ Of which SEK 27bn (22) is collateral which can be freely reclaimed by the Bank.

Non-encumbered/non-pledged assets	2016		2015	
	Accumulated share of non-secured funding, % ²		Accumulated share of non-secured funding, % ²	
SEK bn	(NEA) ¹		(NEA) ¹	
Cash and balances with central banks	232	28	238	28
Liquid bonds in liquidity portfolio	150	46	114	42
Loans to households including derivatives	466		486	
<i>of which mortgage loans</i>	284	80	283	75
<i>of which loans secured by property mortgage</i>	11	81	14	77
<i>of which other household lending</i>	171	101	189	100
Loans to companies including derivatives	831		786	
<i>of which mortgage loans</i>	186	124	170	120
<i>of which loans to housing co-operative associations excl. mortgage loans</i>	48	129	40	125
<i>of which loans to property companies incl./excl. mortgage loans</i>				
- risk category 1–3	260	160	238	153
- risk category 4–5	98	172	88	163
- of which risk category > 5	10	173	11	165
<i>of which other corporate lending</i>				
- risk category 1–3	144	191	150	182
- risk category 4–5	70	199	71	191
- risk category > 5	15	201	18	193
Loans to credit institutions including derivatives	32		46	
- risk category 1–3	32	205	46	198
- risk category > 3	0	205	0	198
Other lending	0	205	0	
Other assets	44	210	39	203
Total	1 755	210	1 709	203

¹ NEA: Non-encumbered assets.

² Issued short and long non-secured funding and due to credit institutions.

Collateral received available for encumbrance	Fair value of collateral received available for encumbrance		Fair value of encumbered collateral received	
	2016	2015	2016	2015
SEK bn				
Government instruments and bonds	12	11	1	5
Shares	3	4	4	4
Total	15	15	5	9

The carrying amount of the liabilities and other commitments for which the collateral has been pledged amounts to SEK 4bn (8).

Cover pool data	Sweden		Norway		Finland ¹
	2016	2015	2016	2015	2016
SEK m					
Stadshypotek total lending, public	983 160	936 504	79 564	66 986	50 724
Available assets for cover pool	902 862	859 398	75 226	62 264	47 473
Utilised assets in cover pool	626 458	600 025	31 269	17 701	5 193
Maximum LTV, weighted average ASCB definition ²	49.97	53.6	53.63	56.7	48.72
Volume-weighted LTV (LTV Mid)	25.2	27.1	27.5	29.1	24.54
LTV, breakdown					
0–10%	25.5	23.5	23.4	19.6	26.8
10–20%	21.3	20.1	20.3	20.3	23.3
20–30%	17.4	16.8	16.9	17.3	20.5
30–40%	13.7	13.7	14.1	14.9	15.7
40–50%	10.2	10.8	11.2	12.1	11.2
50–60%	6.9	8	8.2	9.2	2.5
60–70%	3.9	5.4	4.8	5.5	0
70–75%	1.1	1.7	1.1	1.1	0
Loan amount, weighted average, SEK	647 500	625 700	3 673 983	3 115 226	825 096
Loan term, weighted average, no. of months ³	93	42	22	22	68
Interest fixing periods, breakdown					
Floating rate, %	47.2	45	100	100	100
Fixed rate, %	52.8	55	0	0	0

¹ New cover pool created during 2016.

² Association of Swedish Covered Bond issuers.

³ As of Q2 2016, calculated from the approval date of the loan instead of the latest date for amendment of specific terms.

Operational risk

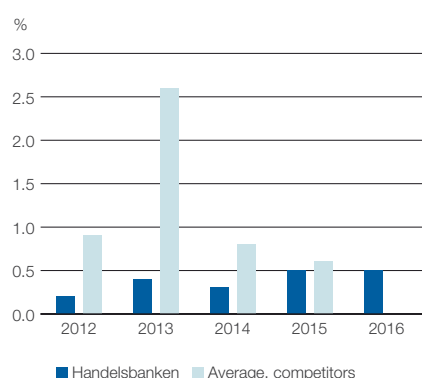
Operational risk must be managed so that the Group's operational risk and losses remain low, both in comparison with previous own losses incurred, and compared to other banks' operational losses.

Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk.

RISK STRATEGY AND RISK LIMITATION

Handelsbanken has a low tolerance of operational risk, while operational risk is an inevitable component of all operations at the Bank. The responsibility for identifying, assessing and managing operational risk is an integral part of managerial responsibility at all levels in Handelsbanken. The Bank's decentralised working method promotes good management of operational risk by means of the cost-consciousness which leads to vigilance against potential loss

Volume-weighted operational losses as a proportion of operating profit*



* Competing banks which have published information about operational losses: SEB, Swedbank, DNB. The banks have different threshold levels for operational losses.

risks in daily procedures and events. Operational errors and deficiencies are reduced as far as possible. This applies to minor but frequent events and major events which could cause major unexpected losses. The strong focus on good administrative order in the Group also contributes to all parts of the operations keeping their risks at a level which is in line with the Bank's strict view of risk.

Operational risk must be managed so that the Group's operational losses remain small, both in comparison with previous own losses incurred, and with other banks' operational losses. The CEO has established limits for operational risks. In 2016 Handelsbanken's operational losses, which comprise possible and actual operational losses and any recoveries, amounted to SEK 107 million (103). It is not unusual that the level of operational losses is adjusted over time due to recoveries or other compensation received, or that other losses are added which are related to a previously reported incident. This may affect the comparison figures for previously reported losses.

ORGANISATIONAL STRUCTURE

Management of operational risk is carried out in the business operations and its work is checked by local risk control and Group Risk Control. Specially appointed local co-ordinators (local OpRisk co-ordinators) for operational risk are in place at regional banks, main departments, subsidiaries and units outside the Bank's home markets to assist managers in their managing of operational risk. They are responsible for ensuring that existing methods and procedures for managing operational risk are used in the business operations. They are also responsible for monitoring that the business operations take and implement appropriate proactive measures. Local risk control at regional banks, main departments, subsidiaries and units outside the Bank's home markets check that management

of operational risk is correctly performed. This is done by means of regular quality assurance and evaluation of the operations' work with operational risk.

Group Risk Control has the overall responsibility for the methods and procedures used to identify, steer, control and report operational risks, and for follow-up at Group level. To achieve and maintain good quality in this management, Group Risk Control has close, regular co-operation with local OpRisk co-ordinators and local risk control. Group Risk Control is also responsible for analysing and reporting the Group's operational risk to the management and Board.

METHODS FOR IDENTIFYING, ASSESSING AND MANAGING OPERATIONAL RISK

As an aid to continual identification, assessment and management of operational risks, the Bank has a reporting and case management system for incidents, a self-assessment procedure and Key Risk Indicators.

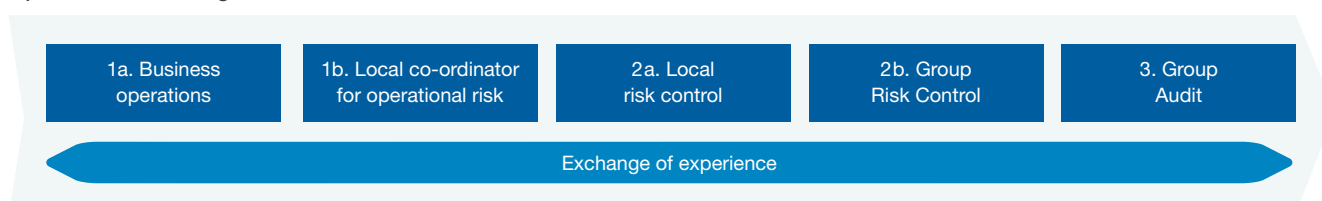
Incident reporting

All employees throughout the Group must collect facts about incidents which have affected their unit and which result in a loss in excess of SEK 25,000. To further promote the unit's proactive work with risks, all employees are encouraged to also collect facts about incidents which lead to smaller losses or no loss at all.

Incidents reported are reviewed and categorised on a regular basis by the local OpRisk co-ordinator. The Bank categorises operational risk according to seven types of events:

- execution, delivery and process management
- business disruptions and system failures
- clients, products and business practices
- external crime
- damage to physical assets
- employment practices and workplace safety
- internal fraud.

Operational risk management and control at Handelsbanken



Self-assessment procedure

OPRA Risk Analysis

OPRA Risk Analysis is a self-assessment procedure to document and assess operational risks which may have an impact on the Bank. It is carried out at least once a year at all units. The respective head of all regional banks, main units, subsidiaries and international units outside the Bank's home markets is responsible for this being performed. The local OpRisk co-ordinator provides support for the planning and implementation. Normally, between five and eight experienced employees who have a good overview of the unit's operations and risks participate in the self-assessment procedure. The aim is to assess the consequence and likelihood of an event. The assessment of the impact includes both financial losses and lost reputation. Information that is important as the basis of OPRA Risk Analysis includes facts and statistics from incidents reported over the past year, audit reports, compliance reports, external public events in the business environment, and OPRA Risk Analyses from other units and essential processes that are relevant. The self-assessment procedure results in an action plan stating the risks to be reduced, how this will be done, who is responsible and time limits for when measures are to be taken. The action plan is a working document that is regularly followed up during the year by the business operations with the support of the local OpRisk co-ordinator. Local risk control is informed about the completed OPRA Risk Analysis, including the action plan, and it evaluates the procedure. Group Risk Control provides regular support to the local OpRisk co-ordinator's planning, implementation and follow-up and also performs an annual aggregate assessment of the evaluations from all local risk control units.

Key Risk Indicators

Key Risk Indicators are applied in order to identify and warn of heightened operational risk. The local OpRisk co-ordinators regularly collect data and present it to the local management. Some Key Risk Indicators are collected by Group Risk Control and presented to management and the Board. If a threshold value for a risk indicator is exceeded, a consequence and probability assessment is carried out and documented by the responsible unit.

OPERATIONAL RISKS WITHIN IT AND INFORMATION SECURITY

The Bank's operations are conditional on availability and security in its IT services. Operational

risks in this area are managed according to the same procedures as in other parts of the Bank, with the addition of special procedures for managing specific types of risk within the area in question, for example:

- monitoring IT production
- management of IT incidents
- business intelligence with regard to cyber threats
- on-call preparedness for dealing with IT security incidents
- preparedness for managing attempted fraud
- transaction monitoring.

NEW PRODUCTS AND SERVICES

The Bank pays great care when processing new products and services and major changes to existing products and services. Each business area, subsidiary and regional bank with product responsibility processes new products in accordance with central guidelines. There is an established decision procedure for how new products can be introduced, and a risk analysis is always performed under the leadership of the local risk control before a product is launched. The analysis takes account of the risks for the Bank and for the customer, including operational risk. Group Risk Control is involved in complex cases or when this is justified for other reasons.

ESSENTIAL PROCESSES

The Bank has identified and documented the processes which are essential to the Bank's operations. The Bank's list of essential processes is reviewed and revised on a regular basis. Risk analyses are performed annually, and when there is a change in an essential process.

CONTINGENCY AND CONTINUITY PLANNING

There are contingency and continuity plans in place in all parts of the Group for dealing with serious disruptions. Continuity plans are made for organisational units, IT systems and essential processes. Contingency planning helps the crisis team to quickly and systematically start to deal with a crisis situation and its effects. There is a central crisis team for the whole Group, and a local crisis team within each regional bank, subsidiary and international unit outside the Bank's home markets and also at Group Risk Control, Group IT, Group Finance, the national organisations in Sweden and in the UK, and Handelsbanken Capital Markets.

The Group Crisis Team has permanent staff consisting of key members of management or those close to them. The Group Crisis Team functions as a liaison crisis team in the event of a major crisis in the Group, supports the local crisis teams working with an acute crisis and functions as a crisis team for the main central departments. Continuity planning focuses on taking preventive measures to minimise the consequences of a serious disruption of business operations. Local risk control performs an annual evaluation of the procedure. Group Risk Control then performs an aggregated evaluation at Group level.

ORGANISATIONAL CHANGES

The Bank has instructions for business operation and/or organisational changes. These instructions state that there must be a decision procedure for decisions about major business operation and/or organisational changes, and the responsibility of the different functions in the process must be clearly stated. Before a decision is made about a business operation/organisational change, a risk analysis must be performed. Decisions and decision documentation must be documented.

ORX

The Bank is a member of ORX (Operational Riskdata eXchange Association). The main purpose of ORX is for participating banks to exchange anonymised data concerning incidents leading to operational losses. ORX also has an important function in standardising and ensuring the quality of data on operational risks. Extensive research is being done on methods regarding operational risk and it is an important forum for exchange of information.

CAPITAL REQUIREMENT

Handelsbanken uses the standardised approach to calculate the capital requirement for operational risk. According to the standardised approach, the capital requirement is calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

The total capital requirement for operational risk for the whole of the Handelsbanken Group was SEK 4,815 million (4,655) at the end of 2016.

Risk in the insurance operations

The risks in the insurance business arise partly in management of customers' insurance assets and how these assets match future commitments.

The risk in the insurance business mainly comprises market risks and insurance risks.

MARKET RISK

Handelsbanken Liv conducts life insurance operations with traditional management, unit-linked insurance and portfolio bond insurance. For unit-linked and portfolio bond insurance, the customer chooses the investment option and bears the market risk. In traditional insurance with guaranteed interest, Handelsbanken Liv bears the risk of fulfilling the financial guarantees entailed by the insurance terms.

The financial guarantee means that the company makes a capital contribution at the value of the insurance contract at specific points in time if the value is less than the guaranteed value of the insurance. Any capital contributions are realised at the year-end or when there is an insurance event.

Handelsbanken Liv's Board establishes the annual investment policy for the company, which is ultimately the controlling document for allocation of the company's investment assets relating to traditionally managed insurance. The purpose of the investment policy is to provide instructions on how the assets are to be invested given the undertakings to the policyholders and the statutory requirements of the Swedish Insurance Business Act and the applicable regulations of the Swedish Financial Supervisory Authority.

Handelsbanken Liv has a low risk tolerance. The goal of the asset management is to secure the company's obligations to the policyholders.

Market risk at Handelsbanken Liv arises in the management of investment assets for the traditional insurance and from the fact that the value of the company's guaranteed obligations is sensitive to interest rate changes.

The total market risk at Handelsbanken Liv is calculated using Value at Risk (VaR) with a 99.5 per cent confidence level and a holding period of three months. In addition, the company's solvency ratio, the so-called traffic-light model and liability coverage are checked according to statutory requirements. The market risk management model used by Handelsbanken Liv weights the risk of a capital contribution at insurance contract level together with the risk of

a capital contribution at company level due to the increased present value of future guaranteed amounts. Market risk is measured in terms of the overall sensitivity of the capital contributions to market disruptions. The risk exposure is checked daily against a limit stipulated by the Board of Handelsbanken. The larger of the value of contributions to policyholders or contributions due to solvency constitutes the risk utilisation. Sub-categories of financial risk are interest rate risk, equity risk, credit risk, property risk and exchange rate risk. The main risk at Handelsbanken Liv is interest rate risk. At year-end, VaR was SEK 785 million (819).

Liquidity risk in the insurance operations is the risk that the company will not be able to meet its payment obligations when they fall due, or that the company will not be able to sell securities at acceptable prices. This risk is limited by most of the investment assets being invested in listed securities with good liquidity.

INSURANCE RISK

Insurance companies set their premiums based on assumptions regarding the size of costs for future insurance events. Insurance risk is the risk that the actual and assumed insurance costs differ. The ultimate governing document is Handelsbanken Liv's risk policy, established by the Board of the insurance company. Insurance risk at Handelsbanken Liv is related to the following events:

- mortality – payment to beneficiaries in the event of the death of the insured person
- longevity – payment that is dependent on the insured person living, e.g. pension disbursements
- morbidity – payment in the event of illness or work incapacity
- accident – payment in the event of accident.

An insurance policy may contain combinations of protection for these four events.

Most of Handelsbanken Liv's policies are taken out by small companies and private individuals. There is no risk concentration in terms of insurance risk, other than that most of the policies are taken out in Sweden.

Increased life expectancy in Sweden affects the insurance company's future obligations. The effect is positive for mortality insurance but negative for life insurance since life expectancy is rising and pension disbursements must then be made over a longer period. In 2015, Handelsbanken Liv started to use the life

expectancy assumptions based on the industry standard, DUS14, and observed mortality in its own portfolio. If mortality continues to decline and in general were to be ten per cent lower than the company's assumptions, the present value of the expected increased cost would be SEK 77 million (67) for the part of the portfolio with longevity risk. Most of Handelsbanken Liv's insurance policies with mortality risk are, however, priced annually. This means that the company can unilaterally change the premium from year to year. Thus, an incorrect mortality assumption can be changed with rapid effect.

Changes in morbidity occur much more rapidly than changes in mortality, which may contribute to variations in the risk result. The result therefore depends both on how many insured persons fall ill and how many recover in relation to the assumptions applied. Sickness/disability insurance products are generally designed in such a way that the premium can be changed annually, thus allowing the company to compensate for changes in morbidity. The morbidity result in 2016 was SEK 133 million (53). Of this amount, SEK 83 million relates to settlement assumptions and updated methodology regarding how sickness and IBNR (incurred but not reported) reserves are calculated. SEK 15 million of the result is attributable to cases of sickness that occurred during the year, SEK 27 million to settling existing cases and the remaining SEK 8 million to incurred but not reported cases, and also to payment of sickness cases.

The insurance operations report their market and insurance risks as well as operational risk to the insurance company's Board and Chief Executive, to Group Risk Control and to the Bank's risk committee, which acts in an advisory capacity to the Bank's CFO and CEO. The risk situation is also reported regularly to the Board of the Bank.

Compliance risk

The objective is to identify and manage the risks that the Bank does not meet its obligations according to the internal and external regulations which apply to licensed operations.

Compliance risk is the risk that the Bank does not comply with laws, regulations and internal rules, or accepted business practices or standards.

The Handelsbanken Group has high ambitions regarding good administrative order, ethical standards and compliance with laws and regulations. In its Compliance Policy, Handelsbanken's Central Board has established that: "The Bank has a low tolerance with regard to compliance risks and, as far as possible, it must endeavour to prevent these risks." The objective is that no breaches of regulations should occur within the Group's operations, and that compliance risks are identified and managed.

Poor management of compliance risks may lead to increased operational and legal risks, reputation risk and the risk of intervention by the supervisory authorities. The work of compliance aims to identify compliance risks and to ensure that the requisite action is taken to manage them.

The Swedish Financial Supervisory Authority's regulations and general guidelines regarding governance, risk management and control at credit institutions (FFFS 2014:1), the European Banking Authority's Guidelines on Internal Governance (GL44), and the European Securities and Markets Authority's Guidelines on certain aspects of the MiFID compliance function requirements establish the guidelines for how supervisory authorities consider the compliance function should be set up, and how credit institutions should work with compliance matters. The Basel Committee's "Compliance and the compliance function in banks" also provides guidelines for how a bank's compliance function should be structured. Handelsbanken has implemented this work method through its policies, guidelines and instructions.

ORGANISATIONAL STRUCTURE

Handelsbanken's compliance function is organised as a central compliance department (Group Compliance), and also local compliance officers or departments (local compliance) in every business area, regional bank and central department, and in all countries where Handelsbanken has local operations.

RESPONSIBILITIES

Compliance is an essential part of Handelsbanken's operations and is thus the responsibility of all managers and employees in the Group. The compliance function is responsible for identifying and assessing material compliance risks, performing regular controls and assessments as to how the Bank fulfils its obligations with regard to legislation, regulations and other rules applying to the licensed operations, providing support and advice to the Bank's units regarding compliance questions and reporting to management and the Board regarding compliance and compliance risks. Group Compliance has the function responsibility for all compliance work at Handelsbanken. Local compliance has the operational responsibility at each unit.

Local compliance functions are evaluated by Group Compliance, in order to assess whether they have satisfactory independence and sufficient quantitative and qualitative resources.

RISK-BASED COMPLIANCE WORK

Compliance's risk-based work follows a structure based on identifying regulations, risk analysis for prioritisation, activities in the form of support and advice as well as controls, identifying compliance risks and reporting compliance risks. To evaluate Handelsbanken's compliance risks, a three-level assessment scale is used: "Low", "Medium" and "High". The assessments are based on the risk of sanctions, losses or damage to the brand. The Chief Compliance Officer reports identified compliance risks and action taken every quarter to the CEO, every six months to the Board's risk committee and annually to the Board.

COMPLIANCE RISKS

In 2016, a few compliance risks were reported as high and were subject to urgent action to reduce them to an acceptable level. In 2016, the risk that the Bank would be used for money laundering or for financing of terrorism was the highest risk. An extensive project is in progress to ensure good management of the risks and compliance in the Group in this area.

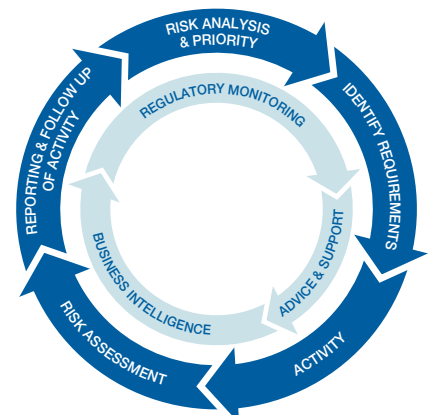
The increasingly comprehensive and detailed regulations concerning investment advice and insurance mediation constitute a compliance risk for Handelsbanken and for the banking system as a whole. The Bank has undertaken extensive measures in order to manage this risk. New system support for advisory services

has been implemented, comprehensive internal training has been carried out, and internal control of the advice given has been enhanced. In this area of operations, projects are in progress to further improve support for advisors and to secure the process ahead of the forthcoming regulations.

Within the framework of the Asset Quality Review and internal risk classification (IRB), Swedish and international supervisory authorities have raised questions primarily concerning the possibility of an external party being able to reproduce the risk classification that is carried out as part of Handelsbanken's decentralised expert model. As a result of this, the compliance risk in this area was also deemed to be higher. During the year, several measures were taken, in the form of training efforts and the compilation of new support instructions to ensure that the Bank can retain its expert-based working method, while continuing to comply with additional requirements.

Another area which comprises a potential risk for the Bank and the banking sector as a whole is data quality. The Bank is deemed to have complete information for its risk management, but future, new requirements are very strict in terms of automatic aggregation of data in various dimensions. A large internal project is in progress to ensure compliance in this area when the new regulations come into force.

Compliance work process



Risk in the remuneration system

Handelsbanken's remuneration system is intended to boost the Bank's competitiveness and to contribute to higher profitability by attracting, retaining and developing skilled staff. Handelsbanken has a low tolerance of risk in its remuneration system.

Remuneration risk is the risk of loss or other damage arising due to the remuneration system.

The aim of Handelsbanken's policy on salaries is to increase the Bank's competitiveness and profitability, to enable the Bank to attract, retain and develop skilled staff, and to ensure good skills development and management succession planning. Good long-term profitability and productivity performance at the Bank create the conditions for stable and positive salary development for the Bank's employees.

Remuneration for work performed is set individually for each employee, and is paid in the form of a fixed salary, customary salary benefits and a pension provision. At Handelsbanken, salaries are set at local level. Salaries are set in salary reviews between the employee and their line manager. These principles have been applied for many years. They mean that managers at all levels participate regularly in salary processes, and take responsibility for the Bank's salary policy and the growth in their own unit's staff costs. Salaries are based on salary-setting factors defined in advance: the nature and level of difficulty of the work, skills, performance and results achieved, leadership (for managers who are responsible for the career development of employees), supply and demand in the market, and the task of ambassador for the Bank's corporate culture.

To ensure that Handelsbanken has a well-designed remuneration system, risk in the remuneration system is managed as a separate

risk class, with the same allocation of responsibilities as other types of risk. Handelsbanken has low tolerance of remuneration risks and actively strives to keep them at a low level. One of the ways this is achieved is by only using variable remuneration to a very limited extent. Where variable remuneration exists, it is subject to deferred payment.

ORGANISATION AND RESPONSIBILITY

In 2016, 229 (239) employees who have been able to earn variable remuneration, earned SEK 79 million (91) in variable remuneration. This amount corresponds to a small part of total salaries and the number of employees who receive variable remuneration is also a small proportion of the total number of employees. The Bank's principles for remuneration to employees are long established. The principles for the Bank's remuneration system are stipulated in the remuneration policy which is decided upon by the Board. More detailed guidelines and implementation directives are decided by the CEO. The responsibility for identifying and managing remuneration risks rests with every responsible manager in the operations. Local risk control regularly monitors that the remuneration system is applied as intended. Group Risk Control is responsible for analysing the risks associated with the remuneration policy and the remuneration system before the remuneration policy is processed and established by the Board. This is done at least once a year. The report analyses elements such as the incentive structure, the balance between fixed and variable remuneration, deferral rules, and effects on own funds. In addition, Group Risk Control evaluates the application of the remuneration system. Based on this risk analysis and evalua-

tion, an assessment is made as to whether the remuneration system is designed in a way that could threaten the Bank's financial position. The data for the calculation of variable remuneration must be risk-adjusted, based on an assessment of present and future risks.

RISKS IN THE REMUNERATION SYSTEM

Handelsbanken's remuneration policy and remuneration system are deemed to generate low risks and promote sound and effective risk management, counteract excessive risk-taking, fit in with the Bank's low tolerance of risks, and support the Bank's long-term interests. The remuneration system is designed in such a way that there is no risk that the Bank's own funds are undermined as a result of mandatory payment of variable remuneration. It is possible to completely or partly reduce the variable remuneration.

For more detailed information and statistics about the Bank's remuneration system, see the Corporate Governance Report and note G8 in the Annual Report.

Variable remuneration	2016	2015
Earned variable remuneration ¹ , SEK m	79	91
Salaries and fees, SEK m	8 103	7 986
No. of persons who are able to earn variable remuneration ²	229	239
Average number of employees	11 759	11 819
Earned variable remuneration, as a proportion of salaries and fees, %	1.0	1.1
No. of persons who are able to earn variable remuneration as a proportion of average number of employees, %	1.9	2.0

¹ All variable remuneration is paid in cash. The amounts are excluding social security costs. The amounts are determined after the Annual Report is published.

² The number of persons who are allocated variable remuneration is determined after the Annual Report is published. Of the 239 persons who were able to earn variable remuneration in 2015, 182 received an allocation.

Economic capital

Handelsbanken is well capitalised in relation to its total risks. The Group's total values exceed by a wide margin the values that could be lost in an event that would be extremely detrimental to the Group.

Handelsbanken's model for calculating economic capital identifies in one measurement the Group's overall risks and indicates the capital which, with very high probability, will cover unexpected losses or decreases in value.

Group Risk Control is responsible for comprehensive monitoring of the Group's various risks. The Bank's model for economic capital (EC) is an instrument in this monitoring. It is also part of the Bank's assessment of the internal capital requirement which is reported quarterly to the Board. This assessment is intended to ensure that the Group has sufficient capital at all times in relation to all risks in the Group. The Group perspective means that economic capital also includes risks in the insurance operations and risks in the Bank's pension obligations.

Economic capital is calculated with a time horizon of one year and a confidence level that reflects an acceptable level of risk and desired rating. The Board has determined that the calculation of EC must be made with a 99.97 per cent confidence level, which captures an event which is extremely unfavourable for the Bank. EC is the difference between the outcome in an average year – with positive results and good growth in the value of the Bank's assets – and the outcome at a 99.97 per cent confidence level.

Diversification effects between the different risk classes are taken into account when calculating EC. Since the risks are partly independent of each other, the capital requirement for all risks is lower than the sum of the economic capital for each individual risk.

The capital and other financial resources which form a buffer that can absorb negative outcomes are called available financial resources (AFR). AFR is Handelsbanken's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

In risk and capital management, the Group applies a shareholder perspective. The economic capital model provides an overall view of the Group which makes it possible to optimise the risk and capital situation from the shareholder's perspective. The outcome of the calculations plays an important role when new transactions or structural changes are considered.

Credit risk is calculated using simulated outcomes of default for all the Group's counterparties and exposures.

Market risks comprise the risk in the assets classified as the trading book, the interest rate risk in the banking operations, market risks in the insurance operations, and the risk in the investment portfolio of other operations.

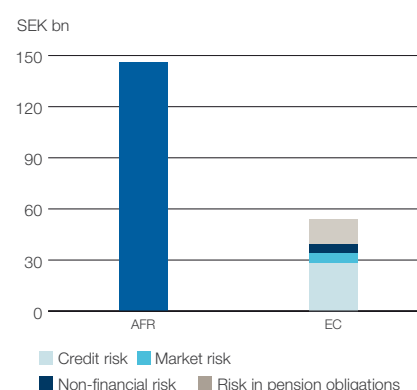
The risk in the pension obligations mainly consists of the risk of a decrease in the assets held for securing the Bank's pension obligations. Most of the pension obligations are in Sweden and are secured there in a pension foundation and insured in an occupational pension fund.

The non-financial risks are operational risk, business risk, property risk and insurance risk. Business risk is related to unexpected changes in financial performance in each business area. For example, these may arise due to demand or competition changing unexpectedly, thus resulting in lower volumes and squeezed margins. Property risk captures the risk of a fall in the value of the properties which the Bank owns.

At year-end, EC was SEK 54.2 billion (56.7), of which credit risks accounted for the main part of the total risk. The Board stipulates that the AFR/EC ratio should be at least 120 per cent. The ratio was 269 per cent (228) at year-end, which illustrates that the Bank is well-capitalised in relation to its overall risks. The Swedish Financial Supervisory Authority has come to the same conclusion in its overall capital assessment of the Bank.

The risk and capital situation reported is a snapshot picture, even though the risk calculations include margins of conservatism for business cycle fluctuations. To perform a final assessment of the Group's capital adequacy requirements, account must also be taken of the stress and scenario analysis carried out as part of the Bank's capital planning.

Total of AFR and EC including diversification 2016



Capital planning

If Handelsbanken were to suffer serious losses despite its low risk tolerance, the Bank holds capital to ensure its survival even in the wake of unexpected, extreme events. Capital planning is based on assessments of the capitalisation based on statutory capital requirements, coupled with calculations of economic capital and stress tests.

Handelsbanken's capital planning aims to ensure that the Group has the right amount of financial resources available at all times and that the capital is of optimal composition.

The capital requirement is a function of the Group's risks, expected development, the regulations and target ratios, Handelsbanken's model for economic capital and also of stress tests. The Bank's capital requirement is reported weekly to the CFO and the CEO, and at least quarterly to the Board.

As part of proactive capital planning, there is a contingency and action plan with specific measures that can be taken if the Bank needs to improve its capital position. The purpose of the contingency and action planning is to ensure that there is a warning system that identifies potential threats at an early stage and that the Group is prepared to take rapid action, if necessary.

At least annually, a long-term capital plan is drawn up, which is designed to give a comprehensive overview of the Group's current capital situation, a forecast of expected capital performance, and the outcome in various scenarios. These scenarios are designed to substantially differ from expected events and thus harmonise with the Group's low risk tolerance. The capital plan also contains proposals for how to maintain the capital situation at a satisfactory level in a strongly negative business environment, from both a regulatory and shareholder perspective.

The capital planning is divided into short-term and mid- to long-term forecasting. The part of capital planning that comprises short-term forecasts up to two years ahead principally focuses on assessing existing performance and the development of the capital requirement. This forecasting is necessary to enable continual adaptation of the size and composition of own funds.

Capital planning is performed through an ongoing analysis of changes in volume, risk and performance, and by monitoring events that may affect the capital requirements and capital level. Short-term forecasting includes all sub-components that make up the Group's own funds and, in addition to the regulatory minimum requirements and buffers, the capital

requirement includes Pillar 2 of the regulations. This work also includes conducting various sensitivity analyses, with a short-term perspective, of the expected change in the capital adequacy requirement and own funds. The Bank can thus be prepared to alter the size and composition of its own funds if required – for example through market operations.

The result of the short-term analysis forms the basis of any capital operations performed and is reported weekly to the CFO and CEO and, if necessary, to the Board. The analysis is based on a cautious basic scenario, with decision points in the near future for how existing earnings capacity can cope with various changes in volume, as well as the effects which arise from potential capital operations.

The part of capital planning that comprises mid- to long-term forecasts aims to ensure compliance with statutory capital adequacy requirements and that the Group's available financial resources (AFR) at all times cover by a good margin all risks calculated according to the economic capital model.

The long-term forecast also includes an assessment of the trend for the Bank's overall capital over the period: the minimum requirements, the combined buffer requirements and the Pillar 2 requirement. The objective is to forecast the expected performance and judge whether the Bank's resistance is satisfactory in various scenarios. The planning horizon is at least five years and takes account of the Group's overall business performance trend.

A basic scenario forms the foundation of the long-term capital forecast. This scenario is obtained from expected performance in the next five years regarding profit, volume growth, financial assumptions such as loan losses, and performance of the equity, property and fixed income markets. The basic scenario is then compared to the outcomes in a number of business cycle and crisis scenarios. The stress scenarios have been established following analysis of the historical links between the impacts of different macroeconomic variables on the financial markets and have been selected by using the scenarios expected to have the most severe impact on Handelsbanken.

At the end of 2016, the common equity tier 1 ratio was 25.1 per cent (21.2). The ratio between AFR and EC was 269 per cent (228) at the same date. Thus, AFR exceeds the assessed internal capital requirement (EC) by a very good margin.

The Bank's strong position is further emphasised by the result of the various forward-looking stress scenarios which are carried out, showing that Handelsbanken's long-term capital situation is very stable from both a financial and regulatory perspective.

The capital planning also monitors regulatory developments and assesses impact and needs as a result of additional new requirements. For example, within the framework of this, a needs estimate is made, based upon the expected application of the resolution regulations' minimum requirement for own funds and eligible liabilities (MREL).

THE GROUP'S TARGETS FOR REGULATORY CAPITAL

The Board continuously sets the targets for the Bank's capitalisation. A cornerstone of the internal capital requirement assessment of the regulatory capital situation is stress and scenario analysis of the Bank's situation, both long-term and short-term. The scenarios used are principally based on the Bank's internal risk tolerance and the direct requirements resulting from the regulations and other requirements from public authorities. In addition to the internal assessment of the capital requirement, the Swedish Financial Supervisory Authority has communicated that the target figures of Swedish banks must not be lower than the total capital requirement calculated by the Authority, regardless of the banks' internal calculations. The Bank has taken this into account when setting the target figures for the regulatory capitalisation.

The Board has decided that the common equity tier 1 ratio, which is the most relevant measure for the governance of the Bank under the current regulatory framework, under normal circumstances must be between 1 and 3 percentage points above the total common equity tier 1 capital assessment communicated to the Bank by the Swedish Financial Supervisory Authority. The other capital tiers (the tier 1 ratio and the total capital ratio) must be at least 1 percentage point above the total capital assessment communicated to the Bank by the Swedish Financial Supervisory Authority for the respective capital tiers.

In November 2016, the Swedish Financial Supervisory Authority informed Handelsbanken that the Authority assesses that Handelsbanken's total requirement for common equity tier 1 capital at the end of Q3 2016 was SEK 98.8 billion, corresponding to a common equity tier 1 ratio of 21.3 per cent.

Own funds and capital requirement

Handelsbanken aims to be well capitalised in relation to its risks at all times, and to fulfil the capital adequacy requirements established by supervisory authorities, including in situations of financial stress. This is part of the Bank's strategy to have a business model that is independent of changes in the business cycle.

Handelsbanken is obliged to meet the requirements of the capital adequacy regulations and also requirements regarding the financial conglomerate.

The Bank's goal is that the common equity tier 1 ratio must under normal circumstances amount to between 1 and 3 percentage points above the total common equity tier 1 capital requirement communicated to the Bank by the Swedish Financial Supervisory Authority. Furthermore, the tier 1 ratio and the total capital ratio must be at least 1 percentage point above the total capital requirement communicated to the Bank by the Swedish Financial Supervisory Authority for the respective capital tiers.

OWN FUNDS

The Bank's Annual Report provides a description of the composition of own funds for the consolidated situation, the terms applying to the different parts of own funds, and the deductions made from various items.

For the Bank's risk management, it is important that in risk terms, both the Group and the regulatory consolidation can be viewed as one unit. To enable efficient risk management in the Group, capital may need to be re-allocated among the various companies in the Group. In general, Handelsbanken is able to re-allocate capital among the Group companies, to the extent that is permitted by legislation, for example, with reference to capital adequacy requirements and restrictions in corporate law. The Bank sees no other material or legal obstacles to a rapid transfer of funds from own funds, or repayment of liabilities between the parent company and its subsidiaries.

Balance sheet	2016		2015	
	Consolidated situation	Banking group	Consolidated situation	Banking group
SEK m				
ASSETS				
Cash and balances with central banks	199 362	199 362	202 630	202 630
Other loans to central banks	25 527	25 527	34 118	34 118
Interest-bearing securities available as collateral with central banks	94 247	97 205	71 441	74 777
Loans to other credit institutions	31 347	31 347	49 597	49 656
Loans to the public	1 964 751	1 963 622	1 867 846	1 866 467
Value change of interest-hedged item in portfolio hedge	35	35	27	27
Bonds and other interest-bearing securities	60 311	63 909	40 977	44 513
<i>of which interest-bearing instruments classified as available for sale (carrying amount)</i>	5 464	5 464	3 479	3 479
<i>of which interest-bearing instruments classified as available for sale, accumulated value change</i>	-62	-107	-100	-194
Shares and participating interests	19 345	20 412	29 338	30 387
<i>of which shares classified as available for sale (carrying amount)</i>	1 618	1 618	6 581	6 581
<i>of which shares classified as available for sale, accumulated value change</i>	1 041	1 041	2 268	2 268
Investments in associates	6 510	255	6 626	245
Assets where the customer bears the value change risk	4 500	118 646	3 422	105 146
Derivative instruments	82 632	82 633	85 347	85 347
<i>of which cash flow hedges</i>	2 487	2 487	4 940	4 940
Reinsurance assets	-	9	-	10
Intangible assets	9 288	9 393	8 179	8 254
Property and equipment	2 387	2 387	2 348	2 348
Current tax assets	26	38	143	143
Deferred tax assets	962	962	1 489	1 489
<i>of which related to cash flow hedges</i>	-	-	-	-
<i>of which related to interest-bearing instruments classified as available for sale</i>	22	22	37	37
Pension assets	-	-	-	-
Assets held for sale	1	1	-	1 442
Other assets	5 338	5 615	8 786	8 887
Prepaid expenses and accrued income	6 153	6 222	6 164	6 247
Total assets	2 512 722	2 627 580	2 418 478	2 522 133
LIABILITIES AND EQUITY				
Liabilities to credit institutions	178 734	178 781	163 770	163 770
Deposits and borrowing from the public	826 274	829 336	754 164	753 855
Liabilities where the customer bears the value change risk	4 599	118 745	3 501	105 225
Issued securities	1 261 765	1 261 765	1 245 367	1 245 367
Derivative instruments	31 745	31 738	40 596	40 592
<i>of which cash flow hedges</i>	-	-	-	-
Short positions	1 572	1 572	2 416	2 416
Insurance liabilities	-	574	-	607
Current tax liabilities	488	514	970	996
Deferred tax liabilities	7 832	7 875	8 799	8 844
<i>of which related to cash flow hedges</i>	702	702	1 393	1 393
<i>of which related to interest-bearing instruments classified as available for sale</i>	6	6	130	130
Provisions	719	731	101	113
Pension obligations	2 121	2 161	5 263	5 314
Liabilities related to assets held for sale	-	-	-	759
Other liabilities	9 210	9 427	13 854	14 206
Accrued expenses and deferred income	14 412	14 580	17 440	17 585
Subordinated liabilities	33 400	33 400	34 216	34 216
<i>of which tier 1 capital loans</i>	13 167	13 167	12 332	12 332
<i>of which loans with remaining time to maturity > 5 yrs</i>	17 354	17 354	16 706	16 706
<i>of which loans with remaining time to maturity < 5 yrs</i>	-	-	2 420	2 420
<i>of which other loans</i>	2 879	2 879	2 758	2 758
Total liabilities	2 372 871	2 491 199	2 290 457	2 393 865
Minority interest	6	6	4	4
Share capital	3 013	3 013	2 956	2 956
<i>Holdings of own shares</i>	-	-	-	-
Share premium reserve	5 628	5 628	3 204	3 204
<i>of which equity from combined financial instruments</i>	1 045	1 045	1 045	1 045
Other reserves	9 273	9 268	8 557	8 440
Retained earnings	101 857	102 222	97 705	97 322
Profit for the year (belonging to shareholders of Svenska Handelsbanken AB)	20 074	16 244	15 595	16 342
Total equity	139 851	136 381	128 021	128 268
Total liabilities and equity	2 512 722	2 627 580	2 418 478	2 522 133

Linkages between financial statements and prudential exposures 2016	Credit risk					Market risk	Not subject to capital requirements or subject to deduction from capital
	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Subject to credit risk framework	Subject to counterparty risk framework	Subject to securitisation framework	Subject to market risk framework	
SEK m							
Assets							
Cash and balances with central banks	224 889	224 889	224 889	-			
Loans to other credit institutions	31 347	31 347	27 259	4 088			
Loans to the public	1 963 622	1 964 751	1 954 827	7 493	1 302		1 129
Bonds and other interest-bearing securities	161 115	154 558	6 211	12 916	-	154 904	-
Shares and participating interests	20 412	19 345	1 618			18 794	
Investments in associates	255	6 510	6 442				68
Derivative instruments	82 633	82 632		82 632		19 741	
Other	143 307	28 690	16 303				12 387
Total assets	2 627 580	2 512 722	2 237 549	107 129	1 302	193 439	13 584
Liabilities							
Due to credit institutions	178 781	178 734					
Deposits and borrowing from the public	829 336	826 274					
Issued securities	1 261 765	1 261 765				5 763	
Short positions	1 572	1 572				226	
Derivative instruments	31 738	31 745		31 745		23 280	
Other	188 007	72 781					
Total liabilities	2 491 199	2 372 871		31 745		29 269	

Linkages between financial statements and prudential exposures 2015	Credit risk					Market risk	Not subject to capital requirements or subject to deduction from capital
	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Subject to credit risk framework	Subject to counterparty risk framework	Subject to securitisation framework	Subject to market risk framework	
SEK m							
Assets							
Cash and balances with central banks	236 748	236 748	236 748	-			
Loans to other credit institutions	49 656	49 597	26 203	23 394			
Loans to the public	1 866 467	1 867 846	1 857 434	7 742	1 541		1 129
Bonds and other interest-bearing securities	119 289	112 418	5 501	12 916	-	106 916	-
Shares and participating interests	30 387	29 338	6 582			22 756	
Investments in associates	245	6 626	6 558				68
Derivative instruments	85 347	85 347		85 347		30 998	
Other	133 994	30 558	16 528				14 030
Total assets	2 522 133	2 418 478	2 155 554	129 399	1 541	160 670	15 227
Liabilities							
Due to credit institutions	163 770	163 770					
Deposits and borrowing from the public	753 855	754 164					
Issued securities	1 245 367	1 245 367				7 890	
Short positions	2 416	2 416				2 416	
Derivative instruments	40 592	40 596		40 596		31 721	
Other	187 865	84 145					
Total liabilities	2 393 865	2 290 458		40 596		42 027	

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	
	2016	2015
SEK m		
Common equity tier 1 (CET1) capital: instruments and reserves		
Capital instruments and the related share premium accounts	7 597	5 832
<i>of which share capital</i>	7 597	5 760
<i>of which convertible securities</i>		72
Retained earnings	101 857	97 705
Accumulated other comprehensive income (and any other reserves, to include unrealised gains and losses according to the applicable accounting standards)	10 084	8 556
Funds for general banking risk		
Amount of qualifying items referred to in Article 484 (3) and the related share premium accounts subject to phase-out from CET1		
Public sector capital injections grandfathered until 1 January 2018		
Minority interests (amount allowed in consolidated CET1)	-	-
Independently reviewed interim profits net of any foreseeable charge or dividend	10 352	4 153
Common equity tier 1 (CET1) capital before regulatory adjustment	129 890	116 246
Common equity tier 1 (CET1) capital: regulatory adjustment		
Additional value adjustments (negative amount)	-645	-553
Intangible assets (net of related tax liability) (negative amount)	-9 355	-8 246
[non-relevant in EU regulation]		
Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)	-	-
Fair value reserves related to gains or losses on cash flow hedges	-2 487	-4 940
Negative amounts resulting from the calculation of expected loss amounts	-1 527	-1 395
Any increase in equity that results from securitised assets (negative amount)	-	-
Gains or losses on liabilities valued at fair value resulting from changes in own credit standing	-	-
Defined benefit pension fund assets (negative amount)	-	-
Direct and indirect holdings by an institution of own CET1 instruments (negative amount)	-636	-577
Holdings of the CET1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution (negative amount)	-	-
Direct and indirect holdings by the institution of the CET1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-	-
Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-	-
[non-relevant in EU regulation]	-	-
Exposure amounts of the following items which qualify for a RW of 1,250%, where the institution opts for the deduction alternative	-	-
<i>of which qualifying holdings outside the financial sector (negative amount)</i>	-	-
<i>of which securitisation positions (negative amount)</i>	-	-
<i>of which free deliveries (negative amount)</i>	-	-
Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)	-	-
Amount exceeding the 15% threshold (negative amount)	-	-
<i>of which direct and indirect holdings by the institution of CET1 instruments of financial sector entities where the institution has significant investments in those entities</i>	-	-
[non-relevant in EU regulation]		
<i>of which deferred tax assets arising from temporary difference</i>	-	-
Losses for the current financial year (negative amount)	-	-
Foreseeable tax charges relating to CET1 items (negative amount)	-	-
Regulatory adjustments applied to common equity tier 1 capital in respect of amounts subject to pre-CRR treatment		
Regulatory adjustments relating to unrealised gains and losses pursuant to Article 467 and 468		
<i>of which filter for unrealised loss, shares classified as available for sale</i>		
Amount to be deducted from or added to common equity tier 1 capital with regard to additional filters and deductions required pre-CRR		
Qualifying AT1 deductions that exceed the AT1 capital of the institution (negative amount)	-	-
Total regulatory adjustments to common equity tier 1 (CET1) capital	-14 650	-15 711
Common equity tier 1 (CET1) capital	115 240	100 535

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013		Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	
	2016		2015	
SEK m				
Additional tier 1 (AT1) capital: instruments				
Capital instruments and the related share premium accounts	10 815		9 981	
<i>of which classified as equity under applicable accounting standards</i>				
<i>of which classified as liabilities under applicable accounting standards</i>	10 815		9 981	
Amount of qualifying items referred to in Article 484 (4) and the related share premium accounts subject to phase-out from AT1	2 353	2 353	2 351	2 351
Public sector capital injections grandfathered until 1 January 2018				
Qualifying tier 1 capital included in consolidated AT1 capital (including minority interest not included in row 5) issued by subsidiaries and held by third parties	-		-	
<i>of which instruments issued by subsidiaries subject to phase-out</i>				
Additional tier 1 (AT1) capital before regulatory adjustments	13 168		12 332	
Additional tier 1 (AT1) capital: regulatory adjustments				
Direct and indirect holdings by an institution of own AT1 instruments (negative amount)	-400	-400	-399	-399
Holdings of the AT1 instruments of financial sector entities where those entities have reciprocal cross holdings with the institution designed to inflate artificially the own funds of the institution (negative amount)	-		-	
Direct and indirect holdings of the AT1 instruments of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-		-	
Direct and indirect holdings of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-		-	
Regulatory adjustments applied to additional tier 1 capital in respect of amounts subject to pre-CRR treatment and transitional treatments subject to phase-out as prescribed in Regulation (EU) No 585/2013 (i.e. CRR residual amounts)				
Residual amounts deducted from additional tier 1 capital with regard to deduction from common equity tier 1 capital during the transitional period pursuant to Article 472 of Regulation (EU) No 575/2013				
<i>of which items to be detailed line by line, e.g. material net interim losses, intangibles, shortfall of provisions to expected losses etc.</i>				
Residual amounts deducted from additional tier 1 capital with regard to deduction from tier 2 capital during the transitional period pursuant to Article 475 of Regulation (EU) No 575/2013				
<i>of which items to be detailed line by line, e.g. reciprocal cross holdings in tier 2 instruments, direct holdings of non-significant investments in the capital of other financial sector entities etc.</i>				
Amounts to be deducted from or added to additional tier 1 capital with regard to additional filters and deductions required pre-CRR				
Qualifying (T2) deductions that exceed the T2 capital of the institution (negative amount)				
Total regulatory adjustments to additional tier 1 (AT1) capital	-400		-399	
Additional tier 1 (AT1) capital	12 768		11 933	
Tier 1 capital (T1 = CET1 + AT1)	128 008		112 468	
Tier 2 (T2) capital: instruments and provisions				
Capital instruments and the related share premium accounts	17 354		17 150	444
Amount of qualifying items referred to in Article 484 (5) and the related share premium accounts subject to phase-out from T2				
Public sector capital injections grandfathered until 1 January 2018				
Qualifying own funds instruments included in consolidated T2 capital (including minority interest and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third party	-		-	
<i>of which instruments issued by subsidiaries subject to phase-out</i>				
Credit risk adjustments	-		-	
Tier 2 (T2) capital before regulatory adjustment	17 354		17 150	

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	
	2016	2015
SEK m		
Tier 2 (T2) capital: regulatory adjustments		
Direct and indirect holdings by an institution of own T2 instruments and subordinated loans (negative amount)	-	-
Holdings of the T2 instruments and subordinated loans of financial sector entities where those entities have reciprocal cross holdings with the institutions designed to inflate artificially the own funds of the institution (negative amount)	-	-
Direct and indirect holdings of the T2 instruments and subordinated loans of financial sector entities where the institution does not have a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)	-	-
<i>of which new holdings not subject to transitional arrangements</i>	-	-
<i>of which holdings existing before 1 January 2013 and subject to transitional arrangements</i>		
Direct and indirect holdings of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amounts)	-1 129	-1 129
Regulatory adjustments applied to tier 2 capital in respect of amounts subject to pre-CRR treatment and transitional treatments subject to phase-out as prescribed in Regulation (EU) No 575/2013 (i.e. CRR residual amounts)		
Residual amounts deducted from tier 2 capital with regard to deduction from common equity tier 1 capital during the transitional period pursuant to Article 472 of Regulation (EU) No 575/2013		
<i>of which items to be detailed line by line, e.g. material net interim losses, intangibles, shortfall of provisions to expected losses etc.</i>		
Residual amounts deducted from tier 2 capital with regard to deduction from additional tier 1 capital during the transitional period pursuant to Article 475 of Regulation (EU) No 575/2013		
<i>of which items to be detailed line by line, e.g. reciprocal cross holdings in tier 2 instrument, direct holdings of non-significant investments in the capital of other financial sector entities etc.</i>		
Amounts to be deducted from or added to tier 2 capital with regard to additional filters and deductions required pre-CRR		
Total regulatory adjustments to tier 2 (T2) capital	-1 129	-1 129
Tier 2 (T2) capital	16 225	16 021
Total capital (TC = T1 + T2)	144 233	128 489
Risk-weighted assets in respect of amounts subject to pre-CRR treatment and transitional treatments subject to phase-out as prescribed in Regulation (EU) No 575/2013 (i.e. CRR residual amount)	458 787	473 132
<i>of which additional capital to insurance companies in the Group not deducted from common equity tier 1 capital (residual values according to Regulation (EU) No 575/2013)</i>	15 633	15 633
<i>of which deferred tax claims not deducted from common equity tier 1 capital (residual values according to Regulation (EU) No 575/2013)</i>	1 856	3 220
Items not deducted from T2 instruments (Regulation (EU) No 575/2013 residual amounts) (items to be detailed line by line, e.g. indirect holdings of own T2 instruments, indirect holdings of non-significant investments in the capital of other financial sector entities, indirect holdings of significant investments in the capital of other financial sector entities etc.)	-	-
Total risk-weighted assets	458 787	473 132
Capital ratios and buffers		
Common equity tier 1 capital (as a percentage of total risk exposure amount)	25.1	21.2
Tier 1 capital (as a percentage of total risk exposure amount)	27.9	23.8
Total capital (as a percentage of total risk exposure amount)	31.4	27.2
Institution-specific buffer requirement (CET1 requirement in accordance with Article 92 (1) (a) plus capital conservation and countercyclical buffer requirements plus a systemic risk buffer, plus systemically important institution buffer expressed as a percentage of total risk exposure amount)	6.4	6.1
<i>of which capital conservation buffer requirement</i>	2.5	2.5
<i>of which countercyclical buffer requirement</i>	0.9	0.6
<i>of which systemic risk buffer requirement</i>	3.0	3.0
<i>of which Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer</i>	0	0
Common equity tier 1 capital available to meet buffers (as a percentage of risk exposure amount)	20.6	16.7
[non-relevant in EU regulation]		
[non-relevant in EU regulation]		
[non-relevant in EU regulation]		

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

Transitional own funds	Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013	
	2016	2015
SEK m		
Capital ratios and buffers		
Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)	0	3
Direct and indirect holdings of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount below 10% threshold and net of eligible short positions) [non-relevant in EU regulation]	-	-
Deferred tax assets arising from temporary difference (amount below 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	-743	-1 288
Applicable caps on the inclusion of provisions tier 2		
Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to the application of the cap)		
Cap on inclusion of credit risk adjustments in T2 under standardised approach		
Credit risk adjustments included in T2 in respect of exposures subject to internal rating-based approach (prior to the application of the cap)		
Cap for inclusion of credit risk adjustments in T2 under internal ratings-based approach		
Capital instruments subject to phase-out arrangements (only applicable between 1 January 2013 and 1 January 2022)		
Current cap on CET1 instruments subject to phase-out arrangements	174	203
Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)		
Current cap on AT1 instruments subject to phase-out arrangements	7 335	8 558
Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)		
Current cap on T2 instruments subject to phase-out arrangements	4 444	5 185
Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)		

Geographical breakdown of credit exposures which are relevant for calculation of the countercyclical capital buffer 2016	Sweden	Norway	Other countries	Total
Credit exposures	1 322 559	278 510	529 160	2 130 229
Exposure value according to standardised approach	19 357	2 013	113 965	135 335
Exposure amount according to IRB Approach	1 303 202	276 497	415 195	1 994 894
Exposures in the trading book	396	619	127	1 142
Total of long and short positions in the trading book	396	619	127	1 142
Value of credit exposures in the trading book for internal models	-	-	-	-
Securitisation exposures	-	-	22	22
Exposure amount according to IRB Approach	-	-	22	22
Total capital requirement	13 098	4 032	12 029	29 159
of which credit exposures	13 027	3 988	11 980	28 995
of which trading book exposures	71	44	47	162
of which securitisation exposures	-	-	2	2
Capital requirement weights, %	44.9	13.8	41.3	
Countercyclical capital buffer	1 814	559	1 666	4 039

Geographical breakdown of credit exposures which are relevant for calculation of the countercyclical capital buffer 2015	Sweden	Norway	Other countries	Total
Credit exposures	1 290 522	240 637	509 938	2 041 097
Exposure value according to standardised approach	20 543	2 549	99 722	122 814
Exposure amount according to IRB Approach	1 269 979	238 088	410 216	1 918 283
Exposures in the trading book	633	549	182	1 364
Total of long and short positions in the trading book	633	549	182	1 364
Value of credit exposures in the trading book for internal models	-	-	-	-
Securitisation exposures	-	-	28	28
Exposure amount according to IRB Approach	-	-	28	28
Total capital requirement	14 693	3 380	12 121	30 194
of which credit exposures	14 591	3 317	12 059	29 967
of which trading book exposures	102	63	62	227
of which securitisation exposures	-	-	0	0
Capital requirement weights, %	48.7	11.2	40.1	
Countercyclical capital buffer	1 377	317	1 133	2 827

Amount of institution-specific countercyclical capital buffer	2016	2015
Total risk exposure amount	458 787	473 132
Institution-specific countercyclical capital buffer, %	0.9	0.6
Institution-specific countercyclical capital buffer, SEK m	4 039	2 827

Change in own funds SEK m	2016	2015
Common equity tier 1 capital – opening amount	100 535	98 084
Profit for the period	20 074	15 595
Dividend	-9 721	-11 442
Conversions	2 518	91
Minority interests	0	0
Deferred tax	-545	1 155
Capital contributions outside consolidated situation	0	0
Securitisation positions	0	0
Goodwill and other intangible assets	-1 109	-124
Value adjustments for positions measured at fair value	-91	-552
Own shares	-193	-110
Special deduction for IRB institutions	-132	708
Items affected via other comprehensive income		
AFS shares	40	2 138
AFS interest	53	21
Pensions (IAS 19)	3 797	-3 573
Exchange rate effects	1 247	-1 303
Net investment hedging	-111	-307
Other, incl. changes in investment portfolio	-1 122	154
Common equity tier 1 capital – closing amount	115 240	100 535
Additional tier 1 capital – opening amount	11 933	8 043
<i>Additional tier 1 instruments</i>		
Issues	0	9 981
Calls	0	-5 521
Exchange rate effects	837	-169
Conversions	-1	-2
Regulatory adjustments capital	-1	-399
Additional tier 1 capital – closing amount	12 768	11 933
Total tier 1 capital	128 008	112 468
Tier 2 capital – opening amount	16 021	16 731
<i>Tier 2 capital instruments</i>		
Issues	0	0
Exchange rate effects	648	-457
Adjustment for time to maturity	-444	-253
Tier 2 capital – closing amount	16 225	16 021
Total own funds	144 233	128 489

Capital instruments main features, CET

Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	SE0000193120	SE0000152084
Governing law(s) of the instrument	Swedish law	Swedish law
<i>Regulatory treatment</i>		
Transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
Post-transitional rules	Common equity tier 1 capital	Common equity tier 1 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Share capital, class A	Share capital, class B
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 7,445m	SEK 152m
Nominal amount of instrument	SEK 2,958m	SEK 55m
Issue price	SEK 7,445m	SEK 152m
Redemption price	N/A	N/A
Accounting classification	Equity	Equity
Original date of issuance	1871	1990
Perpetual or dated	Perpetual	Perpetual
Original maturity date	N/A	N/A
Issuer call subject to prior supervisory approval	N/A	N/A
Optional call date, contingent call dates and redemption amount	N/A	N/A
Subsequent call dates, if applicable	N/A	N/A
<i>Coupons/dividends</i>		
Fixed or floating dividend/coupons	N/A	N/A
Coupon rate and any related index	N/A	N/A
Existence of dividend stopper	N/A	N/A
Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A
Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A
Existence of step-up or other incentive to redeem	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible	Non-convertible
If convertible, conversion trigger(s)	N/A	N/A
If convertible, fully or partially	N/A	N/A
If convertible, conversion rate	N/A	N/A
If convertible, mandatory or optional conversion	N/A	N/A
If convertible, specify instrument type convertible into	N/A	N/A
If convertible, specify issuer of instrument it converts into	N/A	N/A
Write-down features	No	No
If write-down, write-down trigger(s)	N/A	N/A
If write-down, full or partial	N/A	N/A
If write-down, permanent or temporary	N/A	N/A
If temporary write-down, description of write-up mechanism	N/A	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Lowest, next senior is additional tier 1 capital	Lowest, next senior is additional tier 1 capital
Non-compliant transitioned features	No	No
If yes, specify non-compliant features	N/A	N/A

Capital instruments main features, AT1

Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	SE0002450601	XS0406264092	XS1194054166
Governing law(s) of the instrument	Swedish law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
<i>Regulatory treatment</i>			
Transitional CRR rules	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
Post-transitional rules	Non-eligible	Tier 2 capital	Tier 1 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Additional tier 1 capital	Additional tier 1 capital	Additional tier 1 capital
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 3m	SEK 2,350m	SEK 10,815m
Nominal amount of instrument	SEK 3m	SEK 2,350m	USD 1,200m
Issue price	100%	100%	100%
Redemption price	100%	100%	100%
Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
Original date of issuance	12 Jun 2008	19 Dec 2008	25 Feb 2015
Perpetual or dated	Perpetual	Perpetual	Perpetual
Original maturity date	No maturity date	No maturity date	No maturity date
Issuer call subject to prior supervisory approval	Yes	Yes	Yes
Optional call date, contingent call dates and redemption amount	21 May 2013	19 Mar 2019	1 Mar 2021
Subsequent call dates, if applicable	Callable at any time with 40-day qualification period	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date
<i>Coupons/dividends</i>			
Fixed or floating dividend/coupons	Floating	Fixed	Fixed
Coupon rate and any related index	0.18%	11.00%	5.25%
Existence of dividend stopper	Yes	Yes	Yes
Fully discretionary, partially discretionary or mandatory (in terms of timing)	Partially discretionary	Partially discretionary	Fully discretionary
Fully discretionary, partially discretionary or mandatory (in terms of amount)	Partially discretionary	Partially discretionary	Fully discretionary
Existence of step-up or other incentive to redeem	Yes	Yes	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Convertible	Non-convertible	Non-convertible
If convertible, conversion trigger(s)	Fully discretionary	N/A	N/A
If convertible, fully or partially	Fully or partially	N/A	N/A
If convertible, conversion rate	SEK 62.52 per share	N/A	N/A
If convertible, mandatory or optional conversion	Optional	N/A	N/A
If convertible, specify instrument type convertible into	Share capital, class A	N/A	N/A
If convertible, specify issuer of instrument it converts into	Svenska Handelsbanken AB	N/A	N/A
Write-down features	Yes	Yes	Yes
If write-down, write-down trigger(s)	Expected breach of capital requirement	Expected breach of capital requirement	Common equity tier 1 ratio 8% consolidated, 5.125% parent company
If write-down, full or partial	Full or partially	Full or partially	Full or partially
If write-down, permanent or temporary	Temporary	Temporary	Temporary
If temporary write-down, description of write-up mechanism	Fully discretionary	Fully discretionary	Fully discretionary
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans
Non-compliant transitioned features	Yes	Yes	N/A
If yes, specify non-compliant features	Step-up and dividend stopper	Step-up and dividend stopper	N/A

Capital instruments main features, T2

Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	XS1014674227	XS0842167719	XS0842167552
Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
<i>Regulatory treatment</i>			
Transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital
Post-transitional rules	Tier 2 capital	Tier 2 capital	Tier 2 capital
Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
Instrument type (types to be specified by each jurisdiction)	Subordinated loan	Subordinated loan	Subordinated loan
Amount recognised in regulatory capital (currency in million, at most recent reporting date)	SEK 14,355m	SEK 1,749m	SEK 1,250m
Nominal amount of instrument	EUR 1,500m	SEK 1,750m	SEK 1,250m
Issue price	100%	100%	100%
Redemption price	100%	100%	100%
Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
Original date of issuance	15 Jan 2014	12 Oct 2012	12 Oct 2012
Perpetual or dated	Dated	Dated	Dated
Original maturity date	15 Jan 2024	12 Oct 2022	12 Oct 2022
Issuer call subject to prior supervisory approval	Yes	Yes	Yes
Optional call date, contingent call dates and redemption amount	15 Jan 2019	12 Oct 2017	12 Oct 2017
Subsequent call dates, if applicable	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date	Callable each subsequent interest payment date after first redemption date
<i>Coupons/dividends</i>			
Fixed or floating dividend/coupons	Fixed	Fixed	Floating
Coupon rate and any related index	2.66%	4.47%	2.38%
Existence of dividend stopper	No	No	No
Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory
Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory
Existence of step-up or other incentive to redeem	No	No	No
Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible
If convertible, conversion trigger(s)	N/A	N/A	N/A
If convertible, full or partial	N/A	N/A	N/A
If convertible, conversion rate	N/A	N/A	N/A
If convertible, mandatory or optional conversion	N/A	N/A	N/A
If convertible, specify instrument type convertible into	N/A	N/A	N/A
If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A
Write-down features	No	No	No
If write-down, write-down trigger(s)	N/A	N/A	N/A
If write-down, full or partial	N/A	N/A	N/A
If write-down, permanent or temporary	N/A	N/A	N/A
If temporary write-down, description of write-up mechanism	N/A	N/A	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending
Non-compliant transitioned features	No	No	No
If yes, specify non-compliant features	N/A	N/A	N/A

Capital requirements and total risk exposure amounts	2016		2015	
	Total risk exposure amount	Capital requirement	Total risk exposure amount	Capital requirement
SEK m				
Credit risk excluding counterparty risk	364 568	29 166	376 980	30 159
of which standardised approach	80 361	6 429	80 085	6 408
of which IRB Approach	284 207	22 737	296 895	23 751
of which equity exposures	4 959	397	15 815	1 265
of which securitisation positions in other operations	24	2	2	0
of which external credit valuation approach	24	2	2	0
Counterparty risk	15 698	1 256	18 736	1 499
of which calculated using the mark-to-market method	15 698	1 256	18 736	1 499
Settlement risk	0	0	0	0
Credit valuation adjustment risk (CVA)	7 429	594	8 911	713
Market risk	10 910	873	10 318	825
of which standardised approach	10 910	873	10 318	825
Operational risk	60 182	4 815	58 187	4 655
of which standardised approach	60 182	4 815	58 187	4 655
Total	458 787	36 704	473 132	37 851
Adjustment according to Basel I floor		61 531		56 982
Capital requirement, Basel I floor		98 235		94 833
Total own funds, Basel I floor		145 760		129 884

CAPITAL REQUIREMENT

The capital requirements for credit risk are calculated by a risk-weighted exposure amount being calculated for all the exposures in the regulatory consolidation. The risk-weighted exposure amount is calculated for credit risk – partly using the IRB Approach with and without own estimates of LGD and CCF, and partly using the standardised approach. Handelsbanken also uses the standardised approach for calculating the capital requirements for market risk and operational risk.

The adjoining table shows the total capital requirement and its various components.

CAPITAL ADEQUACY FOR THE FINANCIAL CONGLOMERATE

Institutions and insurance companies which are part of a financial conglomerate must have own funds which are adequate in relation to the capital requirement for the financial conglomerate. Own funds for the financial conglomerate have been calculated by means of a combination of the aggregation and settlement method and the consolidation method. This means that own funds for the consolidated situation have been combined with own funds for the Handelsbanken Liv AB insurance group. Correspondingly, in order to calculate the requirement for the conglomerate, the solvency requirement for the insurance group has been added to the capital requirement for the consolidated situation.

Capital adequacy analysis %	2016	2015
Common equity tier 1 ratio, CRR	25.1	21.2
Tier 1 ratio, CRR	27.9	23.8
Total capital ratio, CRR	31.4	27.2
Total risk exposure amount, CRR, SEK m	458 787	473 132
Own funds in relation to capital requirement according to Basel I floor	148.0	137.0
Institution-specific buffer requirement	6.4	6.1
of which capital conservation buffer requirement	2.5	2.5
of which countercyclical capital buffer requirement	0.9	0.6
of which systemic risk buffer requirement	3.0	3.0
Common equity tier 1 capital available for use as a buffer	20.6	16.7

Capital adequacy financial conglomerate SEK m	2016	2015
Own funds after reduction and adjustments	145 971	129 660
Capital requirement	102 557	95 729
Surplus	43 414	33 931

LEVERAGE RATIO

Handelsbanken is of the opinion that the leverage ratio is an unsuitable measure to use for capital requirements because it entails high capital requirements for low-risk assets, which benefits banks with high risks in their balance sheets and gives banks with low risk a reason to dispose of low-risk assets.

Handelsbanken's leverage ratio for 2016 was 4.8 per cent (4.4). The increase is due to the fact that the Bank's tier 1 capital has increased more than the Bank's total assets in percentage terms.

For a more detailed discussion of the disadvantages of binding leverage ratio requirements, see Handelsbanken's publications: The socio-economic consequences of introducing a leverage ratio for banks (2010), Risk-weighted capital requirements – do they work? (2014), and the 2013 report Risk and Capital Management – Information according to Pillar 3, all of which are available at www.handelsbanken.se/ireng.

Leverage ratio common disclosure SEK m	2016	2015
On-balance-sheet exposures (excluding derivatives and securities financing transactions)		
On-balance-sheet items (excluding derivatives, SFTs and fiduciary assets)	2 417 175	2 299 796
Asset amounts deducted in determining Tier 1 capital	-14 650	-15 710
Total on-balance-sheet exposures (excluding derivatives, securities financing transactions and fiduciary assets)	2 402 525	2 284 086
Derivative exposures		
Replacement cost associated with all derivatives transactions (i.e. net of eligible cash variation margin)	30 213	17 624
Add-on amounts for potential future exposure associated with all derivatives transactions (mark-to-market method)	30 758	30 597
Exposure determined under original exposure method	-	-
Gross-up for derivatives collateral provided where deducted from the balance sheet assets pursuant to the applicable accounting framework	-	-
Deductions of receivables assets for cash variation margin provided in derivatives transactions	-6 917	0
Exempted central counterparty leg of client-cleared trade exposures	-	-
Adjusted effective notional amount of written credit derivatives	8 917	0
Adjusted effective notional offsets and add-on deductions for written credit derivatives	-679	0
Total derivative exposures	62 292	48 221
Securities financing transaction exposures		
Gross securities financing transaction assets (with no recognition of netting), after adjusting for sales accounting transactions	12 914	32 172
Netted amounts of cash payables and cash receivables of gross securities financing transaction assets	-	-
Counterparty credit risk exposure for securities financing transaction assets	4 436	4 786
Derogation for securities financing transactions: Counterparty credit risk exposure in accordance with Article 429b (4) and 222 of Regulation (EU) No 575/2013	-	-
Agent transaction exposures	-	-
Exempted central counterparty leg of client-cleared securities financing transaction exposures	-	-
Total securities financing transaction exposures	17 350	36 958
Other off-balance-sheet exposures		
Off-balance-sheet exposures at gross notional amount	492 788	483 859
Adjustments for conversion to credit equivalent amounts	-314 413	-303 538
Other off-balance-sheet exposures	178 375	180 321
Exempted exposures		
Exemption of intragroup exposures (solo basis) in accordance with Article 429 (7) of Regulation (EU) No 575/2013 (on and off-balance-sheet)	-	-
Exposures exempted in accordance with Article 429 (14) of Regulation (EU) No 575/2013 (on and off-balance-sheet)	-	-
Capital and total exposures		
Tier 1 capital	128 008	112 468
Total leverage ratio exposures	2 660 542	2 549 587
Leverage ratio		
Leverage ratio	4.8%	4.4%
Choice on transitional arrangements and amount of derecognised fiduciary items		
Choice on transitional arrangements for the definition of the capital measure	Transitional	Transitional
Amount of derecognised fiduciary items in accordance with Article 429 (13) of Regulation (EU) No 575/2013	0	-1 162

Summary reconciliation of accounting assets and leverage ratio exposures SEK m	2016	2015
Total assets as per published financial statements	2 627 580	2 522 133
Adjustment for entities which are consolidated for accounting purposes but are outside the scope of regulatory consolidation	-114 858	-103 655
Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the leverage ratio exposure measure in accordance with Article 429 (13) of Regulation (EU) No 575/2013	0	-1 162
Adjustments for derivative financial instruments	-20 341	-37 126
Adjustments for securities financing transactions	4 436	4 786
Adjustment for off-balance-sheet items (i.e. conversion to credit equivalent amounts of off-balance-sheet exposures)	178 375	180 321
Adjustment for intragroup exposures excluded from the leverage ratio exposure measure in accordance with Article 429 (7) of Regulation (EU) No 575/2013	-	-
Adjustment for exposures excluded from the leverage ratio exposure measure in accordance with Article 429 (14) of Regulation (EU) No 575/2013	-	-
Other adjustments	-14 650	-15 710
Total leverage ratio exposure	2 660 542	2 549 587

Split-up of on-balance-sheet exposures (excluding derivatives, securities financing transactions and exempted exposures) SEK m	2016	2015
Total on-balance-sheet exposures (excluding derivatives, securities financing transactions and exempted exposures), of which:	2 402 525	2 284 086
Trading book exposures	175 292	147 300
Banking book exposures	2 227 233	2 136 786
<i>of which covered bonds</i>	5 019	2 981
<i>of which exposures treated as sovereigns</i>	297 369	312 267
<i>of which exposures to regional governments, multilateral development banks, international organisations and public service entities <u>not</u> treated as sovereigns</i>	107	63
<i>of which institutions</i>	11 695	12 462
<i>of which secured by mortgages of immovable properties</i>	1 606 790	1 487 863
<i>of which retail exposures</i>	81 816	84 262
<i>of which corporate</i>	199 532	209 144
<i>of which exposures in default</i>	4 833	5 898
<i>of which other exposures (e.g. equity, securitisations and other non-credit obligation assets)</i>	20 072	21 846

MINIMUM REQUIREMENT FOR OWN FUNDS AND ELIGIBLE LIABILITIES (MREL)

The Bank Recovery and Resolution Directive 2014/59/EU (BRRD) also includes extra capital requirements. The Directive has been implemented in Sweden by the Resolutions Act (2015:1016), which includes regulations for minimum requirements for own funds and eligible liabilities (MREL). The requirements are to be established by the resolution authority – in Sweden, the National Debt Office – for each individual institution in connection with the

preparation of a resolution plan. The Swedish National Debt Office is expected to publish a memorandum for establishing the requirements during the first quarter of 2017, but has not yet established any stricter requirements in addition to the prevailing capital requirements for Handelsbanken. The National Debt Office has not yet decided exactly what forms of debt instruments may be used to comply with future MREL requirements in addition to those that are included in own funds.

Consolidated situation

Companies included in consolidated situation	Ownership share, %	Corporate identity number	Domicile
Handelsbanken AB (publ)¹		502007-7862	Stockholm
SUBSIDIARIES			
Handelsbanken Finans AB¹	100	556053-0841	Stockholm
Kredit-Inkasso AB	100	556069-3185	Stockholm
Handelsbanken Rahoitus Oy	100	0112308-8	Helsinki
Kredit-Inkasso AS	100	955074203	Fredrikstad
Handelsbanken Finans (Shanghai) Financial Leasing Co., Ltd	100	310101717882194	Shanghai
Stadshypotek AB¹	100	556459-6715	Stockholm
Svenska Intecknings Garanti AB Sigab (inactive)	100	556432-7285	Stockholm
Handelsbanken Fondbolagsförvaltning AB	100	556070-0683	Stockholm
Handelsbanken Fonder AB	100	556418-8851	Stockholm
Handelsinvest Investeringsförvaltning A/S	100	12930879	Copenhagen
Handelsbanken Fondbolag Ab	100	1105019-3	Helsinki
Handelsbanken Kapitalförvaltning AS	100	973194860	Oslo
Xact Kapitalförvaltning AB	100	556997-8140	Stockholm
AB Handel och Industri	100	556013-5336	Stockholm
Heartwood Wealth Management Limited	100	04132340	London
Heartwood Nominees Limited (inactive)	100	2299877	London
Heartwood Second Nominees Limited (inactive)	100	3193458	London
Private Office Limited (inactive)	100	4332528	London
Optimix Vermogensbeheer N.V.	100	33194359	Amsterdam
Optimix Beheer en Belegging B.V. (inactive)	100	33186584	Amsterdam
Other			
Ejendomsselskabet af 1. maj 2009 A/S ¹	100	59173812	Hillerød
Forva AS	100	945812141	Oslo
Handelsbanken Markets Securities, Inc ¹	100	11-3257438	New York
Lokalbolig A/S	62.79	78488018	Hillerød
Rådstuplass 4 AS	100	910508423	Bergen
SIL (Nominees) Limited (inactive)	100	1932320	London
Svenska Property Nominees Limited (inactive)	100	2308524	London
Lila stugan i Stockholm AB (inactive)	100	556993-9084	Stockholm
Ecster AB (inactive)	100	556993-2311	Stockholm
Blå stugan i Stockholm (inactive)	100	556993-9357	Stockholm
Subsidiary of Handelsbanken Liv Försäkrings AB			
Handelsbanken Fastigheter AB	100	556873-0021	Stockholm
ASSOCIATES			
Bankomatcentralen AB	20	556197-2265	Stockholm
BGC Holding AB	25.38	556607-0933	Stockholm
Bankgirocentralen BGC AB ²	100	556047-3521	Stockholm
Bankgirot Business Transactions Sweden AB ²	100	556564-5404	Stockholm
Finansiell ID-teknik BID AB	28.3	556630-4928	Stockholm
UC AB	24.48	556137-5113	Stockholm
UC Affärsfakta AB ²	100	556613-0042	Stockholm
UC Marknadsinformation AB ²	100	556948-5518	Stockholm
UC Aktieadministration AB ²	100	556961-2079	Stockholm
UC Bostadsvärdering AB ²	100	556576-7133	Stockholm
UC allabolag AB ²	100	556730-7367	Stockholm
Bankomat AB	20	556817-9716	Stockholm
BDB Bankernas Depå AB ²	100	556695-3567	Stockholm
Getswish AB	20	556913-7382	Stockholm
Add Value Fund Management B.V.	45	19196768	Amsterdam

¹ Credit institution.² Ownership in subsidiaries and associates.

Companies not included in consolidated situation	Ownership share, %	Corporate identity number	Domicile
Handelsbanken Liv Försäkrings AB (group excl. Handelsbanken Fastigheter AB)	100	516401-8284	Stockholm
Svenska Re S.A.	100	RCS Lux B-32053	Luxembourg
Handelsbanken Skadeförsäkrings AB	100	516401-6767	Stockholm
Dyson Group plc	44.5	163096	Sheffield
EFN Ekonomikanalen AB	100	556930-1608	Stockholm
SHB Liv Försäkringsaktiebolag	100	2478149-7	Helsinki
Svenska RKA International Insurance Services AB (inactive)	100	556324-2964	Stockholm

Definitions and explanations

ADDITIONAL TIER 1 CAPITAL

Additional tier 1 capital comprises perpetual subordinated loans which meet the requirements stated in Regulation (EU) No 575/2013 and can therefore be included in the tier 1 capital.

AFR

Available Financial Resources is the Bank's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

BUFFER REQUIREMENT FOR SYSTEMICALLY IMPORTANT INSTITUTIONS

The buffer requirement for banks that are considered particularly important in systemic terms. For institutions that are systemically important on a global scale, the requirement can be up to a maximum of 3.5 per cent. For other systemically important institutions, it can be a maximum of 2 per cent.

CAPITAL CONSERVATION BUFFER

The buffer requirement of 2.5 per cent, the purpose of which is to ensure that all banks maintain buffer capital over and above the minimum capital requirements.

CAPITAL REQUIREMENT

The statutory capital requirement means that an institution which is subject to CRR must have a common equity tier 1 ratio of at least 4.5 per cent, a tier 1 ratio of at least 6 per cent and a total capital ratio of at least 8 per cent. This means that own funds for the respective ratio must be at least the stated percentage of the risk exposure amount. For definitions of the respective own funds amounts, see Common equity tier 1 capital, Tier 1 capital and Total capital. In this calculation, own funds are reduced by the net of expected loss (EL) minus provisions.

COMBINED BUFFER REQUIREMENT

The sum of the capital conservation buffer, the countercyclical buffer, and the buffer requirement which is the higher of the requirement for systemically important institutions or the systemic risk buffer.

COMMON EQUITY TIER 1 CAPITAL

Common equity tier 1 capital is one of the components of own funds and mainly comprises equity. Deductions are made for dividends generated, goodwill and other intangible assets, etc., and also the difference between an expected loss and provisions made for probable loan losses.

COMMON EQUITY TIER 1 RATIO

Common equity tier 1 capital in relation to total risk exposure amount.

COUNTERCYCLICAL BUFFER

The purpose of the buffer requirement, which varies over the business cycle, is to counteract excessively high credit growth. The level is set by the Swedish Financial Supervisory Authority, and can be between 0 and 2.5 per cent.

CRD IV

The EU Credit institution directive: Directive (EU) No 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

CREDIT CONVERSION FACTOR

The factor used when calculating the exposure amount for unutilised overdraft facilities, committed loan offers, guarantees and other off-balance-sheet commitments.

CREDIT RISK PROTECTION

Risk-reducing factors and measures, such as property mortgages.

CRR

The EU Capital Requirements Regulation for credit institutions and investment firms: Regulation (EU) No 575/2013 on prudential requirements for credit institutions and investment firms.

CVA

(Credit valuation adjustment) The credit valuation adjustment risk measures the risk that the market value of a derivative will decrease, owing to the creditworthiness of the counterparty weakening. The credit valuation adjustment is a component in the regulations for valuation of derivatives. The adjustment in the value is based on the counterparty's creditworthiness. An exposure to a counterparty with weaker creditworthiness must have a lower carrying amount than the equivalent exposure to a counterparty with better creditworthiness. In this context, credit risk means that if a given counterparty's creditworthiness weakens, the balance sheet values of all derivative transactions with this counterparty with a positive market value decrease – and thus the Bank's equity decreases. To factor in this risk in the capital adequacy, the credit valuation adjustment risk has been introduced as part of the capital adequacy regulations.

DEFAULT

An exposure to a specific counterparty is deemed to be in default if either of the following criteria is fulfilled:

- The institution deems it probable that the counterparty will not be able to fulfil its commitments to the institution without the institution having to realise any collateral, or take similar measures.
- The counterparty is more than 90 days late with a payment, unless it is an insignificant amount.

EC

(Economic Capital) Handelsbanken's model for calculating economic capital, which identifies in one metric the Group's overall risks and indicates the capital which, with very high probability, will cover unexpected losses or decreases in value.

EL

(Expected loss) This is $PD \times LGD \times \text{exposure amount}$.

EXPOSURE AMOUNT

Exposure amount (exposure at default) is the amount which is subject to capital adequacy requirements. It is calculated inclusive of interest and fees. Off-balance-sheet amounts are recalculated with the credit conversion factor (CCF). For derivatives, the exposure amount is calculated as positive MTM (mark-to-market) plus value change risk, i.e. the nominal amount multiplied by the upward adjustment factor.

EXPOSURE VALUE

Exposure value is the same as exposure amount. The exposure value concept is used in the standardised approach for credit risk.

IRB

Internal ratings-based approach.

IRB APPROACH

There are two versions of the IRB Approach: the simpler version, the IRB Approach without own estimates of LGD and CCF (in previous regulations called the foundation approach), and the more advanced method, the IRB Approach with own estimates of LGD and CCF (in previous regulations called the advanced approach).

LEVERAGE RATIO

Tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated with conversion factors defined in the standardised approach and regulatory adjustments from own funds.

LGD

(Loss Given Default) The proportion of an exposure that the Bank loses on average in the event of a default.

LOAN LOSS RATIO

Loan losses and changes in value of repossessed property in relation to loans to the public and credit institutions (excluding banks), and also repossessed property and credit guarantees at the beginning of the year.

MREL

(Minimum requirement for own funds and eligible liabilities) This refers to a requirement, expressed in percentage terms, which states the minimum level that the Bank's eligible qualified liabilities and own funds must be, in relation to the Bank's total liabilities and own funds. This requirement is set by the Swedish National Debt Office in accordance with the Swedish Resolution Act (2015:1016).

OWN FUNDS/TOTAL CAPITAL

Own funds are the sum of tier 1 and tier 2 capital.

PD

(Probability of Default) The probability of a borrower defaulting within one year. For example, a PD of 0.2 per cent implies that two borrowers out of 1,000 are expected to default within one year.

ELIGIBLE LIABILITIES

Unsecured debt which in other respects fulfils the criteria of the Swedish Resolution Act (2015:1016).

RISK EXPOSURE AMOUNT

The capital requirement in accordance with CRR, multiplied by 12.5. The risk exposure amount is used in conjunction with market risk and operational risk.

RISK WEIGHT

A measure to describe the level of risk an exposure is expected to have according to the capital adequacy regulations.

RISK-WEIGHTED EXPOSURE AMOUNT

Exposure amount multiplied by risk weight. The risk-weighted exposure amount is used in conjunction with credit risk and counterparty risk.

SECURITISATION

A programme whereby the credit risk associated with an exposure or pool of exposures is tranching, and the payments within the framework of the programme are dependent upon the performance of the exposure or pool of exposures. The subordination of tranches determines the distribution of losses during the ongoing life of the programme.

SOLVENCY RATIO

A concept used in insurance operations. The solvency ratio equals own funds divided by the solvency capital requirement and is a measure of the margin the company has to meet its commitments. The ratio for a demutualised, profit-distributing life insurance company cannot be compared with the ratio for a mutual life insurance company.

STANDARDISED APPROACH

The method of calculating and reporting credit risks according to CRR. This relies on standardised risk weights based on external ratings. The standardised approach is also applied for market risk and operational risk.

SYSTEMIC RISK BUFFER

A buffer requirement of 3 per cent for the largest banks in Sweden. The aim of the systemic risk buffer is to protect the banking system as a whole in times of financial instability.

TIER 1 CAPITAL

Common equity tier 1 capital including additional tier 1 capital.

TIER 1 RATIO

Tier 1 capital in relation to total risk exposure amount.

TIER 2 CAPITAL

Tier 2 capital is one of the components of own funds, and mainly consists of subordinated loans which fulfil the requirements stated in Regulation (EU) No 575/2013 to be included as tier 2 capital.

TOTAL CAPITAL RATIO

Total capital in relation to total risk exposure amount.

TOTAL RISK EXPOSURE AMOUNT

Total risk exposure amount is the sum of risk exposure amount and risk-weighted exposure amount.

FINANCIAL INFORMATION

The following reports can be downloaded or ordered from handelsbanken.se/ireng:

- annual reports
- interim reports
- risk reports
- corporate governance reports
- fact books
- sustainability reports.

FINANCIAL CALENDAR 2017

8 February	Annual accounts 2016
29 March	Annual General Meeting
26 April	Interim report January–March 2017
18 July	Interim report January–June 2017
18 October	Interim report January–September 2017

